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"Kalpataru Projects International Limited
Q4 FY24 Earnings Conference Call "
May 09, 2024

MANAGEMENT : MR. MANISH MOHNOT - MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER
MR. S. K. TRIPATHI - DEPUTY MANAGING DIRECTOR
MR. SANJAY DALMIA - EXECUTIVE DIRECTOR
MR. AMIT UPLENCHWAR - DIRECTOR , GROUP
STRATEGY
MR. RAM PATODIA - PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day and welcome to Kalpataru Project International Limited Q4 FY24 Earning Conference Call hosted by Dam Capital Advisors Limited. As a reminder, all participant lines will be in listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from Dam Capital. Thank you and over to you, ma'am.

Bhoomika Nair: Thanks. Good morning everyone and a warm welcome to the Q4 FY 24 Earnings Call of Kalpataru Project International Limited. We have the management today being represented by Mr. Manish Mohnot, Managing Director and CEO, Mr. S. K. Tripathi, Deputy Managing Director, Mr. Sanjay Dalmia, Executive Director, Mr. Amit Uplenchwar, Director, Group Strategy and Mr. Ram Patodia, President, Finance and CFO. At this point, I'll hand over the floor to Mr. Mohnot for his initial remarks, post which we'll open up the floor for Q&A. Over to you, sir.

Manish Mohnot: Thank you, Bhoomika. Good morning everyone and thank you for joining us for Earnings Call today. As always, it's a pleasure to interact with all of you. Let me first start with major highlights of our performance for financial year 24. The last year has been a remarkable year as we achieved several important and strategic milestones. We have achieved highest ever annual consolidated revenue of INR 19,626 crores, EBITDA of INR 1,628 crores, and order book of INR 58,415 crores.

Our order inflows were at highest level of over INR 30,000 crores. Furthermore, we achieved major breakthrough in strategic order wins in India and overseas markets like securing significant projects in the Middle East oil & gas sector, metro tunneling projects in Kanpur and Bhopal, and substantial orders in T&D business, both domestic and international. Along with the largest B&F project in Hyderabad. Our focus on project closures gained strong momentum as we achieved a record number of project closures with over 70 projects physically completed

in financial year 24. In regard to our market capitalization, we recently reached a milestone of INR 20,000 crores.

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More importantly, we continue to further strengthen our balance sheet position with notable performance on the working capital and leverage front despite delivering record revenue growth and incurring

capex of over INR 450 crores in financial year 24. The net debt in our standalone business decreased by 29% compared to previous quarter, reaching INR 1,833 crores at the end of March 24. With net working capital of 99 days and finance cost as a percentage of revenue at 2%, we are in line with our guidance for FY24.

FY24 also marks our first year as a combined entity since the completion of merger with JMC. Since the closing of merger, we have taken a number of important strategic initiatives and I can definitely say that we are witnessing significant success on the synergy front. I want to particularly emphasize on the following.

First, that we have made noteworthy strides with our ability to bid and secure large-size multi-faceted EPC projects as we have achieved major breakthrough in oil & gas in the Middle East, underground metro tunneling using TBMs, design-build projects in the B&F industrial plants, data centers and airports. These projects will help us significantly improve our capabilities and will distinguish us in the global EPC market in the coming years.

Secondly, we have brought a lot of efficiencies and improved on the working capital and finance cost front. The average finance cost as a percentage of sales of erstwhile JMC during the period 20-22 was around 3% while similar of KPL was around 1.9%. The merged entity with a high growth revenue base and despite a high interest cost environment has successfully delivered finance cost as a percentage of sales of 2% in its first year of operations. Similarly, on the net working capital days, we have achieved a target below 100 days. The diversified business mix of the combined entity gives us a lot of advantage to prioritize and optimize our capital deployment.

Third and the most important, the merged entity has now gained the muscle to invest in future capabilities and deploy additional resources to support and prepare ourselves for the next leg of growth. We have significantly scaled up our ability in terms of the following. Capex for plant and equipment both in EPC and manufacturing, management bandwidth for improved, seamless and timely project execution, design and engineering capability in civil, electrical and mechanical areas with focus on MEP integrated jobs also. Adoption of digitalization process across our processes and systems and fast track our commitments to sustainability and ESG. Coming now to the details of our performance. We concluded the year with the highest ever annual consol revenue of INR 19,626 crores and standalone revenue of INR 16,760 crores. The 20% growth in consol revenue and 17% growth in standalone revenue for full year 24 was on account of robust project execution, healthy order book position and a diversified business mix.

Our annual consol EBITDA increased by 19% to reach INR 1,628 crores, while standalone EBITDA reached INR 1,366 crores, reflecting a growth of 18% for full year 24. Our consol EBITDA margin stood at 8.3% and the standalone EBITDA margin was at 8.2% for FY24. Our EBITDA margin for full year 24 has remained stable despite a rising cost environment and

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resource augmentation in view of future growth. In Q4, PBT before exceptional items showed robust growth of 103% at consol level and 48% on standalone basis.

Similarly, annual consol PBT before exceptional items grew by 27% to INR 701 crores, while standalone PBT increased by 13% to reach INR 774 crores for FY24. The standalone PBT margin before exceptional items stood at 4.8% in Q4 and 4.6% for full year 24. The exceptional item of INR 35 crores in Q4 at standalone level pertains to impairment in value of investment in the Indore real estate project.

Around 80% of the inventory has been sold and we expect to complete the sale of balance inventory in the current financial year. Excluding the impact

of extraordinary items, our consol

PAT is up by 35% to INR 510 crores, with EPS improving from INR 23.2 to INR 31.4 per share. Similarly, standalone EPS rose from 31.5 in FY23 to 34.4 in FY 24. If we eliminate the impact

of extraordinary items. Our order book including LM G Sweden and Fasttel Brazil stood at INR 58,415 crores as on 31st March 2014. In FY24, our order inflows grew by 19% worldwide to INR 30,022 crores. The growth in order inflows was primarily given by T&D, B &F and Oil & Gas business. In FY25 till date, we have secured orders totalling around INR 850 crores. Additionally, we have an L1 position of over INR 5,000 crores.

Moving to segmental performance for the financial year. Firstly, in the T&D business, the business outlook has significantly improved over the last 12 to 15 months due to increasing adoption of renewables and rise in power demand resulting in the development and upgradation of grid infrastructure globally. The visibility of tenders in the domestic T&D market is estimated to be around INR 50,000 crores annually at least for the next 2 to 3 years. Similarly, in our targeted international markets in Latin America, Middle East, Africa and Europe, we are witnessing good traction in the T&D Cap ex. Overall, we anticipate our T&D business to remain robust and achieve substantial growth in the coming years.

In the T&D business, we have secured record order inflows of over INR 11,150 crores with order booking in the domestic market up by 48% in FY24. Our T&D order book has reached INR 20,678 crores at the end of March 24. Additionally, we have an element position on an order of INR 2,000 crores primarily in the domestic market.

In terms of revenue, the T&D business saw a 30% Y-o-Y growth driven by strong project progress and a healthy order book. Our LMG Sweden business has witnessed strong momentum with order inflows of INR 1,656 crores, a growth of over 150% compared to FY23.

LMG's order book stands at INR 2,000 crores. We expect LMG to continue to deliver strong growth driven by significant opportunities in the Sweden and Nordic markets. In FY24, our Brazil subsidiary Fasttel achieved a revenue growth of around 60%. Our order inflows have nearly doubled in FY24 compared to last year, reaching a total of INR 1,400 crores, resulting in a closing order book of around INR 1,500 crores.

In our B&F business, I am pleased to announce that FY24 was a pivotal year as we made significant progress in design-built EPC projects and secured several large and prestigious Kalpataru Projects International Limited

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projects in residential buildings, airports, data centres and industrial plants. This advancement will greatly enhance our capabilities and provide us with good competitive edge going forward. Our order inflows in the B&F business in FY24 amounted to INR 6,528 crores, with the year-end order book reaching INR 11,000 crores. Additionally, we have an L1 position of INR 1,900 crores. The business achieved a commendable growth of 16% for full year '24, driven by robust in-house execution capabilities.

We anticipate our B&F business to maintain a double-digit growth, supported by a healthy order book and excellent business visibility in residential and commercial buildings, airports, industrial plants, data centres, etc. In the oil & gas business, our efforts over the past few years to establish our presence in the international hydro markets, fructified in FY24 and we secured LOI for a large gas pipeline order in Middle East. This project stands as a testament to our dedicated efforts to enhance our global reach and the recognition of our capabilities by global major clients.

This project will help us immensely to improve our competitive position and propel our oil & gas business on a strong growth trajectory moving forward. The oil

& gas business reported

order inflows of INR 7,953 crores with revenue of INR 822 crores in FY24.

In the Urban Infra business, we are witnessing good traction in ordering and a plethora of opportunities in the urban mobility segment. Additionally, the focus of government recently announced in the Union Budget to increase capital outlay for infra development to over INR 11 lakh crores further provides impetus to the urban infra business in sustaining growth in the future.

Our Urban Infra business witnessed a remarkable revenue growth of 75%. We have achieved significant progress in our Urban Infra business by securing two underground metro rail tunnel projects. Our water business revenue grew strongly by 34% Y-o-Y to reach INR 3,500 crores in FY24. We secured orders worth INR 1,600 crores resulting in an order book of INR 10,667 crores in FY24. Our current focus is on enhancing our execution capabilities and strengthening our competitive position to effectively handle large size projects.

In the railway business, we generated revenue of INR 1,425 crores maintaining our focus on project closure and selective order bidding in response to increased competition. During FY24, we secured orders totalling INR 1,000 crores resulting in a closer order book of INR 3,900 crores. We are increasingly prioritizing the enhancement of our business in key areas such as metro electrification, S&T, RRTS and high speed rail.

On our road BOOT projects, revenue per day has increased to INR 58 lakhs per day for FY24

compared to INR 54 lakhs per day in FY23. We have infused around INR 84 crores in FY24 primarily towards repayment of debt.

Based on our performance for the year, the Board of Directors has proposed a dividend of INR 8 per share.

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Before I move to outlook for FY25, I want to particularly emphasize that in the last four years, especially post-COVID, we have invested closer to INR 1,700 crores in capex in our core EPC businesses and a gross block in property, plant and equipment stands at around INR 3,400 crores at the end of March '24. Simultaneously, we have delivered revenue growth of 14% CAGR with consistent profitability during the period 2021-'24. Our net working capital days, finance costs and debt levels have remained stable and are in line with business growth. This very well depicts the underlying strength of our business model with a large focus on profitable growth and maintaining a strong balance sheet.

Let me now address the outlook for FY25. We will continue with the current growth momentum and aim to achieve a historic high in terms of physical project execution, revenue and profit. Our robust financial profile, expertise in diverse EPC sectors, extensive global presence and capacity to handle large-scale projects position us well to capitalize on significant infrastructure investments, particularly in sectors like power transmission, urban mobility, oil & gas, water in India and international markets.

For FY25, we are targeting a revenue growth in excess of 20% with PBT margin closer to 5% and minimum improvement of 25-50 basis points for what we have seen in the current year. Last year has been exceptional in terms of order inflows and we will continue our pursuit for healthy order inflows in the current year.

Our prime priority in FY25 will be on further strengthening of our balance sheet through efficient working capital management and divestment of non-core assets. We aim to keep our net working capital days below 100 days and finance costs at 2% of sales in our core EPC business.

With this, I would request the moderator to open the lines for Q&A. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kan

Kandpal: So, my first question is, sir, if you can help us with the prospect pipeline segment-wise. You did touch upon that. You're looking at next level of growth given the large international order? So, what does it do in terms of bidding, scale, scope, qualification, etcetera? So, that is my second question.

And my third question is on the margins. So, now the international order book has gone up in the mix. So, despite that, I think you are building in some expansion in margins, almost by 50 basis points. So, what gives you that confidence given some of the larger players where the international mix has gone up in the order book? They have basically maintained this year's margin guidance. So, just some commentary on that.

Manish Mohnot: So, just to answer your first question in terms of, you know, where the priorities in terms of order book for the next year. Clearly, our focus would continue to be on our core businesses, which is T&D, building and for T&D domestic, we are seeing a huge traction coming up.

Buildings and factories in areas like commercial, residential, data centers, airports, and industrial plants.

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Water and oil & gas international, not as much in the oil and gas domestic sector. We are witnessing, you know, huge tenders coming up in all of them. Although, the last few months, there's been slightly dull because of all this election, you know, going on right now. But otherwise, prior to March and the plans going forward, we see huge traction in all of them. Specifically, in the oil & gas business, with that huge presence in the international market in Middle East, our focus currently would be to make sure that building the team and delivering on whatever we have committed becomes important.

As far as margins are concerned, you know, we have been guiding primarily margins at the PBT level. So, if you look at our guidance, previous year was 4.5% to 5%. We ended the year at around 4.6%. We believe we should be able to give a minimum 25 basis point improvement in margins. I have guided for 25 to 50 basis points, given the size and scale.

On the international front, you know, our order book profile is very different than a lot of competitors in our Indian market. If you look at our international order book, you know, on the

transmission side, more than 50% comes from Latin America, with Chile, Guyana, Suriname, Brazil, all of them. It's not as much in Africa and Middle East, while they are also focused markets.

If you look at the oil and gas, it's completely driven by one large client, one of the best clients in the world in Middle East. If you look at roads, it's only a few countries where we are working on and we've been there for the last seven to eight years. So it's not that we are in to those competitive markets like primarily Middle East. Middle East is highly competitive as far as Kalpataru is concerned. That's not our big focus.

We are exploring new markets. We've been in those markets for the last five to 10 years. We've delivered a lot of those projects and we're confident of delivery there. With all of this, we do not see any difficulty in delivering on margins what we have projected, unless there's a significant increase in any of the underlying costs, which we don't see happening soon.

Parikshit Kandpal: What will be the EBITDA margin? So what does this 4.5% to 5% PBT translate in terms of standalone EBITDA margins?

Manish Mohnot: So for the current year, our EBITDA margin has been in the range of 8.1%. And EBITDA margin would be in that range of 8% to 8.5% only. But as I said earlier also, we guide people on PBT margin because our leverage ratios are very different than the larger industry. So for us, I think our guidance will always be on PBT margins, which we are saying we will try and touch closer to 5%.

Parikshit Kandpa

I: But sir, as our mixed, we were in double-digit margins earlier. So how do we see this? This year also, we are saying we'll be at 8%, 8.5%. But do you think that now the margins have reset and will stabilize at the current levels or do you see the trajectory moving towards double digit or midterm? So what will be our guidance going into next few quarters? At which quarter level exit we will touch maybe 9% and then move towards double digit?

Manish Mohnot: Well, you see, double digit margins were there pre-COVID levels in specific sectors only. If you look at the merged entity, we actually were never in the double digit margin ever and that's the Kalpataru Projects International Limited
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industry norm for people who are diversified and of that large size and scale. We definitely believe margin improvements should come sooner than later. And we believe that next two, three years, we should see at least 50 to 75 basis point increments coming even in FY25-'26 and hopefully after that also, primarily driven by the significant growth coming in T&D, B&F and the international business.

Now, are we targeting at an organization level to reach double digit margin in FY25-'26? Might be difficult. But yes, a definite improvement of closer to 50 to 75 basis points every year, starting from next year is visible at least on the current order book. Even a current order book visibility is there for the next two and a half years. So that gives me that confidence that going forward, we should be reaching those levels. But double digit isn't happening soon.

Parikshit Kandpal: But on FY 26 as a blended, as a whole year, will we cross 9% to 9.5% broadly in that band for FY26 at least?

Manish Mohnot: So we should be at 50 to 75 basis point improvement even next year. As of now, we will be giving further guidance as we close the year for next year. But definitely, we should be targeting there but not reaching double digit.

Parikshit Kandpal: Okay. And just lastly, sir, on these international entities, both LMG and Fasttel, if you can help us with the revenue and EBITDA, PBT numbers for this year, and how do you see the profitability panning out in FY 26 and FY 25, given the expecting strong inflows there?

Manish Mohnot: So, at Linjemontage level, we did revenue of around INR 1,000 crores in the current year, with EBITDA in the range of 3.5%. At the Fasttel level, we did revenue of around INR 700 crores and at EBITDA level, they were negative INR 16 crores. Both the organizations have got both the subsidiaries have got very good orders in Q4, very good profitable orders in Q4. So we expect Linjemontage to grow by at least 25%, with EBITDA margins more in the range of 5% to 6%. And we expect Fasttel to grow again at 20% plus for the current year. And they will definitely be positive at both EBITDA and PBT levels.

Parikshit Kandpal: The PBT margins will also be similar, like at 5% to 6% in Linjemontage?

Manish Mohnot: Yes, Linjemontage hardly has any interest cost, so EBITDA will be equivalent to PBT. Maybe a difference of less than 50 basis points.

Parikshit Kandpal: Okay. And just lastly, sir, on this oil & gas pipeline disorder, so what is the execution time period given there is a large order? So, if you can help us on that.

Manish Mohnot: So I think the execution time period is between 36 months to 42 months. But delivery in terms of actual at the site would start from Q3 of the current year. And then I think over the next two years, you'll see significant delivered. But the timeline is 36 to 42 months.

Parikshit Kandpal: Order book inflow growth, did you give that guidance? Sorry, I missed that. That was my last

Manish Mohnot: So we have not yet given our order book inflow growth, although we are very bullish on it. And

we would like to wait for the post-election clarity in the sectors in which there is a clear focus. And we would be giving that order book guidance growth maybe in Q1. As of today, we have already declared INR 850 crores L1 is INR 5,000. We have already bid for tenders worth INR 15,000 crores for which we are expecting results in the next maybe month or two months. We are very bullish. But we would be coming out with a guidance closer to the end of Q1 once we have clarity on our government's capex plans.

Parikshit Kandpal: Okay, sir. Sure. Thank you.

Moderator: Thank you. Next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Mr. Anwani, you can go ahead with your question.

Amit Anwani: Sir, I wanted to understand about the you did highlight it that the margin ramp up will start starting FY 26 by 50 to 70 basis points and obviously led by two, three sectors which you highlighted. So I just wanted to understand across segments and then international and domestic, how has the margin profile fared this year and what are the key segments where we are witnessing better margin orders in the near future and FY 25?

Manish Mohnot: So I think typically we do not have guidance of margins or details of margins at the division -- at an individual division level, but I can say that except railways, all our other divisions except railways and urban to a certain extent, because urban is small and we are still in the investing stage, all the other divisions were in the range of EBITDA which was more close to 9 % to 10 %. Our highest EBITDA came from our B & F business followed by our international business. Going forward, we expect all our business segments, except railway, to be in the similar range. It's only been railways where we have consciously scaled down and where we have focused more on closure of projects, and we are not growing so much in the near future where margins will be more in the range of 5 % to 6% at EBITDA level. Otherwise, all businesses have been in the similar range of 9 % to 10 %.

Amit Anwani: Sure, sir. Sorry if I might have missed the current order which we won from Middle East. Just wanted to understand, though we are not in a position to give guidance for domestic markets, any guidance with respect to intake from the international market? And since we have guided for 20 %, can we and we see other players also guiding pretty robust international intake opportunity amid the capex happening in the GCC countries. Just wanted to understand your perspective with respect to international markets for the order intake. And also segment-wise, color would be helpful?

Manish Mohnot: So we continue to be focused on the international markets driven primarily by Latin America, Africa, Middle East and Southeast Asia. Our key order book influence international markets for FY24-'25 will still be on the transmission side, where the focus is much higher, followed by oil & gas and civil projects. We continue to be bullish in a lot of markets, but we are very cautious of not bidding in markets where retention is high or where competition is very high. So our focus is primarily on markets where the payment terms are not so bad and competition is limited. So
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we continue to be bullish, and growing that business at 20 % will not be a challenge, not even for next year but even for the next couple of years, given the order book visibility today.

Amit Anwani: Sure, sir. Thanks for taking my question. All the best.

Manish Mohnot: Thank you.

Moderator: Thank you. Next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: On your revenue for this year, we were initially guiding at a standalone level of 20 % plus. We were expecting that some of the pickup in the Chennai

air projects, all of that could kind of come

through. Any reason why we've sort of come up at the lower end, and do we expect that some of this sort of comes back in FY25?

Manish Mohnot: I think you're right, Deepak. We guided at the beginning of the year of revenue was in excess of 20%, but we had a setback in terms of a large Australian project which did not fructify in Q2 because of some statutory reasons which we had declared at the end of Q2. Based on that, we had revised the guidance to closer to 20 %. We've reached 17 %, 18%. I think it's just that a few

projects did not deliver in February, March due to elections, supply constraints, all of that. It's similar to what we had benchmarked or targeted internally. And with that visibility of order book, I think growing at 20 % next year would not be a challenge at all.

Deepak Krishnan: Yes, maybe just a follow-up one. We wanted to understand any progress on the road sector divestment. We were looking at one of the projects and just wanted to understand this infusion issue on logistics. How is this? What are we considering this for? And would there be any other future infusion as well?

Manish Mohnot: Yes, so as far as road projects are concerned, as we had guided earlier also for one of our largest project, V EPL, we have already, we have advisors working with us in terms of getting an offer. We have got some non-binding offers and we are working on those. The other two projects, we are still not in the market because the tail life is very less. It's around six to eight years. But once we have clarity in this large project, we'll look at that also. As far as Shubham is concerned, I think, we're turning around the organization by a capital structuring perspective also, right, converting loan to equity.

And going forward, I expect maybe this year could be one more year of challenge. But 2025-'26 onwards, they should be positive in terms of EBITDA and PBT both. While we focus on enhancing the, effectiveness and operational capabilities there, we also are clear that it's non-core to us. We will be looking at divestment there also, maybe over a period of time, but definitely not in the current year.

Our current year focus on divestment will be primarily on one of the large road assets and making sure that our amount stuck on, our amount on Indore real estate, which is closer to INR 170 crores, gets fully released in the current year. Now that we have all the buildings ready and now, so we will be selling off the balance and getting out of that project in the current year.

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Moderator: Thank you. Next question is from the line of Ramakrishnan V from Equity Intelligence. Please go ahead.

Ramakrishnan V: Yes, good morning and congratulations for the good set of numbers. Sir, I have a question on the T&D segment. You have been talking that every year there is a INR 50,000 crores domestic front opportunities and there is a huge traction is happening there. And I think we have got a order book of around INR 20,678 crores. Sir, can you explain this? As of now, I think there are three to four player in markets. And with this, some of these companies who have gone into NCLT now come back. So what is the competitive scenario? Can you enlighten?

Manish Mohnot: Just so that we are clear, our INR 20,000 crores plus order book is on overall T&D, not necessarily only on domestic. Our domestic T&D order book is closer to INR 6,000 crores, excluding the L1. On the traction front, yes, we are seeing an order of influence and tenders of closer to INR 50,000 crores, which are visible today, including the state legislature boards, the private sector, and power grid.

As far as competition is concerned on the T&D space, for orders exceeding INR 500 crores, we have not seen too much competition. It's limited to those four

, five, six players only. But for

projects which are less than INR 500 crores, we have seen some competition. But it's still not as intense as you see in the railway sector or as you see in some of the smaller urban projects. So competition is still limited. For the newer players, I think it will take a lot of time for them to reach that size and scale to deliver on those large-scale projects, because now the large-scale projects come with a reduced timeframe of delivery.

So earlier, the same power grid we used to do, INR 200, INR 300 crores, used to give us three years for delivery. Now with INR 700, INR 800 crores, they're asking for 18 to 24 months. I think competition is still limited, and I don't see that increasing in the near future because it requires a very different delivery skill set.

Ramakrishnan V: Okay. Thanks and all the best, sir.

Moderator: Thank you. Next question is from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta: Thank you for the opportunity and congratulations to the team for a phenomenal show, both on the financial and even on things such as capacity building, etc. So just one quick question.

Clarity on the other expense line items are both on the consol and standalone has seen a major spike. On the consol, it's grown by almost 66% year over year versus a sales growth of 22%. Is there a reclassification from the gross margin or the cost of goods sold to other expense or there is some one-offs in that, if you can just clarify.

Manish Mohnot: Sure. Good morning, Jonas, and thank you for your comments. So, Jonas, on a consol basis, yes, the other expenses went up significantly primarily because of specific areas of ECL and exchange loss. We had done some ECL provisioning on a couple of clients, and when the balance sheet comes, you'll look at that. The expected credit loss, there are a couple of private sector

clients where we had to take that call based on the formula-based approach and exchange loss for the current year.

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So even on standalone, there are three areas. One, freight costs, which went up much higher compared to last year because of those three months of disruption which happened, which all of us are aware of. There was an ECL provision which came in and that you'll see in the balance sheet, we have done an additional ECL provision of closer to INR 70 crores in the current year. ECL is expected credit loss, and there's exchange loss in the current year. On an overall profitability, it does not have an impact, but exchange loss gets into other expenses which was a small gain in the previous year. So it looks like all one-offs. We don't expect the ECL to come in next year. I created stabilized back, so I don't see that impact coming. And with the hedging profile this year, hopefully with minimal volatility, we shouldn't have any exchange loss. So this all looks like one-offs. As far as COGS is concerned, COGS is COGS. There's nothing which has moved from there to other expenses. That's not accounted. But yes, a lot of them looks like one-offs which should get, revised getting into the next year.

Ramakrishnan V: Got it. So INR 70 crores of ECL is in Q4 alone, not through the year, right?

Manish Mohnot: I think it was primarily done in Q4, if I'm not mistaken. Yes, it was done in Q4 only.

Ramakrishnan V: And the FX loss, if you can quantify that?

Manish Mohnot: FX for the current year, which has come in other expenses, at a standalone level, is around INR 52 crores in Q4, okay? And it's around INR 80 crores in consol.

Ramakrishnan V: Got it.

Manish Mohnot: But this is only Q4, okay?

Ramakrishnan V: Yes, got it. Thanks a lot and all the best.

Moderator: Thank you. Next question is from the line of Saif Saurabh Gujar from ICICI Prudential AMC. Please go ahead.

Saif Sohrab G

Gujar: Thank you for the opportunity, sir. So if you can help us with outlook for Linjemontage and Fasttel, the subsidiaries, and how has the performance been and how do you expect the margins ramping up for those two?

Manish Mohnot: I think I had spoken about it, but I'll speak again. In terms of Linjemontage we've seen very good traction coming in from October till March, winning some significant orders on the substation side, including orders on 200 kV substation, where we just got qualified in Sweden last year. The entire opportunity in Sweden has multiplied to 2x in the last two years, given the mindset of the Swedish as a country to move to fossil fuel free by 2040.

So our order book has closer to doubled in the last five months. We have already bid for three, four large contracts for which we will have clarity maybe by June. With the current visibility, we expect that business to grow at 35% in the next year, 30 to 35% in the next year. And margins coming back to those levels of 5% to 6% at EBITDA level where they were prior to 2023. As far as Fasttel Brazil is concerned we had difficulties the last 2 years were very difficult to exit

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the existing projects which we had and close all the old projects. We are nearly out of all the old projects except for maybe a couple of them.

And the new order book is at a healthy margin with EBITDA in the range of 9 to 10% and PBT in the range of 6 to 7%. We definitely expect them to turn around in terms of profitability.

Although growth there will not be significant in terms of top line, but on EBITDA and PBT we see them completely turning around and being positive on both the metrics.

Saif Sohrab Gujar: Okay, thanks sir.

Moderator: Thank you. Next question is from the line of Kaushik Poddar from KB Capital Market Private Limited. Please go ahead.

Kaushik Poddar: You spoke of a PBT margin of 4.5% to 5%. Is it at the consolidated level or is it at the Indian entity level?

Manish Mohnot: It's at a stand alone level. Even at a consol level we are targeting margins to reach closer to 4% from the current levels of 3.7% where we are. So, at a consol level also we expect margins to improve, but what guidance we have given is more at a stand alone level.

Kaushik Poddar: At a consol level you are talking of 4% PBT?

Manish Mohnot: Closer to. So we are currently at around 3.6% at a consol level. We would be targeting closer to 4%.

Kaushik Poddar: Your order guidance you will be giving at the end of the first quarter that's what you said?

Manish Mohnot: Yes. While we are very bullish and we have a good L1 segment and we bid for a lot of projects, but we believe that we will be able to have better clarity once we have clarity post-June on the capex outlay of the government and specific sectors. For example, we are not so bullish on railways in the current year and if that outlay is too big it might not help us, but in the other sectors we are very positive. So we will just wait for June-July and then give guidance on that.

Kaushik Poddar: What you told us, what you narrated is that water is one of your focus sectors. Can you say something more on this issue?

Manish Mohnot: Sorry, I am not very clear on what you are saying. Water continues to be a focus sector for the last 3 years, 4 years. Last 3 years we have doubled revenue in that sector if not more than that.

Last year there was a 35% growth in revenue, year before that we grew at around 50%. In the current year we have consolidated that segment because the order book is already closer to INR 12,000 crores and we have not taken much orders in water. With INR 12,000 crores order book visibility for the next 3 years of revenue already existed today. So our focus is a lot more on strengthening the team making sure we focus on delivery, because the order book visibility is

already 3 years.

We continue to be very bullish in the sector on the domestic front and also on the international front where we are seeing a lot of tractions. Although I do not believe internationally we will be doing a lot in the current year, but as I said earlier ours is a process which takes a few years to Kalpataru Projects International Limited

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fructify, but over the next couple of years at least water you will see a lot happening in the international front also.

Kaushik Poddar: Okay. Thank you. Thank you.

Moderator: Thank you. Next question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: Hi. Good morning Manishji and team.

Manish Mohnot: Good morning Bharat.

Bharat Sheth: Sir, can you give a little more color on O&G pipeline after winning this large order how do we see over the next 2 years -3 years one is on the order side or opportunity side and particularly we are staying away from the domestic market so what is the major reason for that so if you can explain a little more?

Manish Mohnot: On the oil & gas front over the last 10 years our primary focus was on the domestic markets. We started looking at the international market only maybe 3 years -4 years ago where we started building a team and we got leaders who joined us. So the journey started 3 years ago and now we have got a large project from one of the largest clients in Middle East which needs to be delivered over the next 3 years.

Our focus in the next 12 months would be to strengthen our delivery capabilities on the international market build a team and not necessarily look at ramping up that order book because that order book is already closer to INR 8,000 crores which gives us visibility for at least the next 3 years. We will still be looking at opportunities, we will still be making sure that we qualify and bid for projects, but it will not be something which will be targeting as a focus area from an order book build up. On the domestic oil & gas sector we have not seen much orders coming up from any of the large PSUs.

In the last 6 months I don't think we have bid for orders more than INR 1,000 crores in the oil and gas sector and we have seen competition from some very small players although it is only six players, seven players very small players where we are not able to compete and win. Given that visibility in international is good with limited competition good margins our focus next couple of years is going to be more international than domestic, but as and when there is an opportunity we will be looking at the domestic market also because we are the only among the large players in this sector for the last 10 years working with all the large oil and gas PSUs

Bharat Sheth: So overall EBITDA side rather than PBT margin because your international EBITDA is not, but PBT side so if you can give some color on how is the vis-a-vis domestic and what was in past and particularly in O&G side?

Manish Mohnot: So our oil & gas projects we have just started and it would be very early for me to start looking at what margins eventually they will deliver, but definitely at a tender stage it has been a reasonably good margin with a high single digit margin similar to our order book on other sectors. Clearly on ROCE this project would be very good because the payment terms are Kalpataru Projects International Limited

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attractive with very minimal retention at the end of the project, but in terms of margins it is similar to our other order book profile of a high single digit EBITDA level .

Bharat Sheth: Wherein on power and T&D can you give a little more color particularly competitiveness in domestic and international market where we are present and are we looking at any additional market in this year?

Manish Moh

not: As I said earlier the domestic T&D market is looking very bullish starting from October, November onwards and while we speak we have bid for tenders more than INR 6,000 crores which are yet to be opened in the last month or so in the domestic market itself. So we have seen huge traction and competition is limited because there are those five or six players who are there. See again I would like to reiterate it is not easy to be winning this project and delivering 18 to 24 month life cycle, right from design engineering to tower testing, to manufacturing, to the entire mobilization of gangs and delivery in that timeline. I am saying this is a capability which only three or four players in this country have.

So I believe that opportunity will continue to be good for the next 12 months to 18 months at least and which would help us build our order book and also keep the plant fully busy today the plant is already loaded 100%. As far as international markets are concerned it has been a long process for us. We have always explored unexplored.

Our local thing is explored, unexplored and that is what we have done. We have gone to those countries and geographies after spending lot of time maybe 3 years -4 years at a business development level to take projects with reasonably good margins. International transmission typically at a double digit margin with ROCE in excess of 35%, 40% at least in the Latin America and the African market our Middle East margins have been lower not as high as good as the international other geographies and the Middle East ROCE is very low because the retention terms are very high there. So on an overall basis I think international will continue to do well in terms of both margins as well as ROCE and domestic we continue to be bullish at least for the next 12 to 18 months.

Bharat Sheth: And last question sir we have spent around INR 1,600 crores, INR 1,700 crores in last 4 years and we were also evaluating some kind of manufacturing so first of all I mean what are the benefits that are which are this capex in which area and how do we see the benefit of that playing out in coming year and current year capex guidance?

Manish Mohnot: Sure. So a lot of what if I look at a major capex in the last 3 years you know more than 50% would have gone in form work and staging and shuttering primarily for the building and factory sector whether it is for residential commercial data centers or airports right so significant portion has gone there. A good portion is also gone in expansion of the plant operations both in Raipur and Gandhinagar where we are not only doing transmission today we are doing transmission, we are doing staging and shuttering, we are doing railway girders, we are doing form work and we are doing a lot of other aspects of the business also.

So a lot of capex has gone there. We have also invested in capex in the international market whether it is on the road project which we are doing in Ethiopia where we have invested in good Kalpataru Projects International Limited

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capex because we believe that market looks positive and also the international geographies where we have built up our P&M capability, Plant and machinery in terms of excavators or whatever else. So over the last three years it has been across businesses.

In the current year we are targeting a capex of closer to INR 500 crores with significant focus in Urban infra, the tunnel boring machines which should be coming in in the current year and B&F. So Urban infra and B&F would be closer to 75 % of capex for the current year and we are targeting a minimum capex of INR 500 crores for the current year.

Bharat Sheth: Okay. Great, sir. Thank you.

Manish Mohnot: Thank you.

Bharat Sheth: All the best. Thank you.

Moderator: Thank you. Next question is from the line of Ashwani from Emkay Global . P

lease go ahead.

Ashwani: Yes, Thanks for the opportunity. So our first question is on the opportunity pipeline that you see in the metro and also if you can touch upon T&D as well.

Manish Mohnot: So good morning Ashwani. So on the metro side, we see a lot of projects coming up both from a civil as well as urban infra perspective. We are currently selective on bidding for metro projects looking at the competitive intensity and looking at the capex commitment which is required. We've already committed ourselves on two large projects in terms of capex on the underground metro.

So for the current year while we'll be bidding for selective metro projects, we see that as a huge

opportunity going forward. But for as far as KPIL is concerned, we'll be selective in bidding and winning orders in metro for the current year. As far as T&D is concerned, I think we have already spoken about it in my call two, three times that we continue to stay very bullish both on the domestic and international side.

Ashwani: Any supply chain issue you've seen the we have been hearing about supply chain issues from other your competitors in the T&D. What's your sense on that? And till what time we continue to see this kind of supply chain issues?

Manish Mohnot: So we did see some supply chain issues coming up in February, March and that also impacted revenue slightly. But was it so significant? It wasn't so significant for us because there wasn't a lot of supply strand for Q4 as far as KP IL is concerned. We're seeing some issues in a few specific areas like transformers and reactors and some of those. But otherwise we believe that it's okay. It's something which we already budgeted in our current year guidance.

So whatever earlier what used to come in two months would now take four months and that's been budgeted already in the current year guidance. And we assume that there shouldn't be any issues in the international freight corridor to create any further issues. And to us it's not had a huge impact and we believe that with whatever it exists today we will be able to deliver what we have targeted.

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Ashwani: Sir, within our targeted segments, like all this B&F which is the segment where you see relatively a bit of slowdown. We have obviously strong visibility in a lot of segments, but any segment where you see a bit of slowdown compared to last couple of years?

Manis h Mohnot: So in terms of tendering, actually there's no segment where we are seeing a slowdown . If you go back historically, at least last year, same time I was slightly bearish on T&D domestic, which I am not today. So in terms of tendering, we are seeing a good opportunity in domestic T&D, international T&D, water, B&F and urban infrastructure and even railways.

We have constantly decided not to be focusing a lot more on railways because of the intense competition. Otherwise, the visibility in terms of tenders is huge, but the competition is 20 to 25 players, which makes it very difficult for us to go and compete against small players. On the visibility front, till at least March just pre -elections, we were seeing visibility across all segments, but we are conscious about where we want to grow and where we do not want to grow, looking at our existing order book, looking at the capex commitments which is required and looking at the delivery time frame for a lot of projects.

Ashwani: What was the equity infused in the BOT assets and what is the guidance for this year? Thank you.

Manish Mohnot: So, I think we invested INR 85 crores in the previous year and we believe we should be doing a similar amount in the current year, primarily for repayment of debt and major maintenance on a few projects. So, we should, for the current year also, we should be in a similar range.

Ashwani: Thank you very

much. Those were my questions.

Moderator: Thank you. Next question is from the line of Arafat Saiyed from InCred Research . Please go ahead.

Arafat Saiyed: Yes, hi, sir. Thanks for taking my question. So, my first question on the quantum of divestment you are looking for FY 25 and 26. Any color on that?

Manish Mohnot: Sure. Good morning. I think on the divestment side, clearly as I said, on the Indore real estate, we expect the entire INR 170 crores to come in the next 12 months and that would be a good inflow for us. As far as the road asset is concerned, we've gotten some offers evaluating that. Hopefully by the end of Q1, we should be having some clarity on that. The only positive is that all the assets are now doing so well that they are self -sufficient on every aspect.

What we are now repaying is only the bank loans because the loans are all due in the next three years, whereas the tail life is 20 years after that. So while we are targeted to get out of this or to divest the assets, but in the current environment, we are also very comfortable in terms of not much infusion to maintain or run any of those businesses. So Indore definitely happening in the current year.

VEPL, we've got offers, we'll be reviewing that and we'll be coming back to all of you by the end of Q1. The other two assets, we've not started the process also right now because the tail life is very small. We will come back maybe in Q2, Q3 once we have clarity on VEPL and what our

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strategy going forward would be. As far as Shubham is concerned, as I said earlier, definitely

we have declared that as non-core, but we do not see any divestment plans in the current year. We will be reviewing it in FY 2025-26.

Arafat Saiyed: Fine, sir. My next question is again, let's say on the pledging. So all the pledging has been used in the past couple of quarters. So what's the trend currently, sir? And are you looking for further reducing this pledge or what's the current pledging status?

Manish Mohnot: So I think over the last 20 years, the pledge has stayed in the except for the three years where it went up at 25%-30%. It's already reached those levels of 31% today. We definitely believe that it will continue to go down, but from peak of 59%, it's come down to 31%. The promoter has guided to reach 30% by March 25. We're already at 31% today. So I believe it should go down from here, but there isn't a number which we have. We definitely believe that it will not go up from here in any form.

Arafat Saiyed: Fine, sir. That's it from the side.

Manish Mohnot: Thank you.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Ms. Bhoomika Nair from Dam Capital for closing comments. Over to you, ma'am.

Bhoomika Nair: Yes. I would just like to thank the management for giving us the opportunity to host the call and also all the participants for being there. Thank you very much, sir, and wish you all the very best. Any closing remarks from your side?

Management: Thank you, Bhoomika, and thank you for the patience to all the investors on the call. Thank you very much.

Moderator: Thank you. On behalf of Dam Capital Advisors Limited that conclude this conference. Thank you for joining us, and you may not disconnect your lines.

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Q1 FY '25 Earnings Conference Call"
July 30, 2024

MANAGEMENT : M R. MANISH MOHNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. S.K. TRIPATHI – DEPUTY MANAGING DIRECTOR

MR. SANJAY DALMIA – EXECUTIVE DIRECTOR

MR. AMIT UPLENCHWAR – DIRECTOR GROUP
STRATEGY
M

R. RAM PATODIA – PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to the Kalpataru Projects International Limited Q1 FY '25 Earnings Conference hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited.

Thank you and over to you, ma'am.

Bhoomika Nair: Thanks, Steve. Good morning everyone and a warm welcome to Kalpataru Project International Limited Q1 FY '25 Earnings Call. We have with us from the management, Mr. Manish Mohnot, Managing Director and CEO, Mr. S. K. Tripathi, Deputy Managing Director, Mr. Sanjay Dalmia, Executive Director, Mr. Amit Uplenchwar, Director, Group Strategy and Mr. Ram Patodia, President, Finance and CFO. At this point, I'll hand over the floor to Mr. Mohnot for his initial remarks, post which we'll open up the floor for Q&A. Thank you and over to you, sir.

Manish Mohnot: Thank you, Bhoomika

Good morning, everyone, and thank you for joining us for our earnings call today. It's always a pleasure to connect with all of you. Let me first start with a quick update on the operating context before I get into more details on our performance for first quarter of '25. We have delivered a noteworthy performance on the revenue front with sustained earnings in the first quarter of '25. As most of you are aware that the first quarter of every fiscal generally typical seasonality of low labor availability and delayed collections. However, the severity this time was intense given general elections as most of the manpower did not return to the sites timely, leading to lower-than-expected growth.

Secondly, delay in collections from state utilities on back of pending budgetary allocations in

the Water segment also impacted revenue and collections for water business. Starting July, we have started to see improvement in collections in the water business, and we expect further moderation in debt levels and normalization of working capital in coming months itself.

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On the brighter side, business visibility remained strong and back of rising demand for electricity, energy transition and increased focus on infrastructure development. The recently announced Union budget also reiterated the government's thrust on capital expenditure and

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infrastructure. This is amply demonstrated from the fact that in the first 4 months of FY '25 itself, our order inflows, including L1 positions have reached around INR12,000 crores. More importantly, nearly 90% of the new orders secured, including the L1 in the recent past are in Transmission & Distribution and Building & Fabrication businesses. These orders have bid and secured better margins, which is in line with our focus to improve profitability going forward.

Coming now to our performance for Q1. Our consolidated revenue is up by 8.2% to INR4,587 crores. Four out of our six businesses have generated strong double-digit revenue growth and particularly our flagship business, T&D grew by 32% and B&F by 23% in first quarter '25. The growth is driven on back of excellent backlog and robust project execution capabilities. I will further detail on each of the segments as we move ahead.

It's been highlighted earlier, we've started the year on a strong footing of order inflows front. We have secured orders of over INR7,000 crores to date in FY '25 and additionally have L1 of around INR5,000 crores. Our order backlog is up 21% to INR57,195 crores at the end of June '24.

Our consolidated EBITDA stands at INR378 crores with a margin of 8.2%, while stand-alone EBITDA remained steady at INR314 crores with a margin of 8.4%. The performance on the EBITDA front largely reflects the nature of the project mix and increased investments in resource augmentation.

Additionally, as a part of financial prudence, we generally provide 1.5% of our revenue towards warranty guarantee provision. Starting this year, we've also bought JMC business at same level at KPIL. This has led to increase in additional provision of INR30 crores in Q1.

The rise in finance cost is due to increase in working capital intensity and unrealized forex loss of approximately INR17 crores on foreign currency borrowings in our subsidiary in Brazil.

Our net debt at standalone level is at INR2,907 crores. As indicated earlier, working capital intensity started to moderate and we remain committed to bring net working capital days in our EPC business from the current level of 124 days to below 100 days business by end of '25. We believe a significant improvement would start from Q2 itself.

In Q1 '25, consol PBT amounted to INR137 crores and PAT at INR84 crores. Similarly, standalone PBT stood at INR164 crores and PAT at INR117 crores. The PBT and PAT for Q1 '25 are in line with the revenue and operating trends. Our provision for taxation as percentage of PBT is at 28.7% in standalone business and 38.7% in consol business, which is slightly higher due to mix of revenue profit in international markets with higher tax and donations, which are not tax deductible.

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Moving to segmental performance for the quarter. Firstly, in the T&D business, we have been stating since last few quarters that the outlook for T&D business remains very robust in India and globally marked by rising demand for electricity, energy transition and necessary improvement required in the grid infrastructure. Our tendering activity remains robust in India, Africa, Middle East, Americas and Europe. Our T&D business secured orders totaling INR3,377 crores with an additional L1 position of INR3,900 crores. We expect tendering and ordering

momentum to remain strong for balance part of the year in this business. We continue to scale up our T&D business, both in terms of our global reach and capabilities in HVDC substation design and engineering, just to name a few. Notably, the new orders received in the last few quarters in the T&D business added better margins, giving our focus to improve profitability of the business going forward. Our T&D business reported a strong growth of 32% Y-o-Y to reach INR1,843 crores, on back of a solid order backlog in

domestic and international markets. Our international subsidiary,

LMG Sweden reported highest quarterly revenue of INR449 crores with a record all-time high order book of INR3,076 crores. It also secured its largest ever order to INR750 crores in Q1. In Brazil, Fasttel's performance has improved on back of closure of legacy orders. It has reported revenues of INR 230 crores in Q1 with breakeven at PBT and had an order book of INR1,200 crores. Our overall T&D order

book is well diversified and stands at INR20597 crores as of June 30, 2024, providing good visibility for robust revenue growth in '25 and for next few years. In our B&F business, revenue is up by 23% Y-o-Y to reach INR1,226 crores. This growth is driven by strong order backlog and a healthy mix of projects. We continue to make good progress by improving the market position in large site EPC projects, and we have secured a large industrial and a prestigious high-end residential housing project this year. This advancement will greatly enhance our capabilities and provide us with good competitive edge going forward. Ordering activity in the B&F business remains robust with order inflows of approximately INR2,300 crores and an additional L1 of over INR1,000 crores so far in FY '25. We will continue to be selective for the orders that have better margin, that are lower on capex and a better value addition. We anticipate our B&F business to maintain double-digit growth supported by healthy order book and solid business visibility.

Our Water business reported a decline of 22% in revenue to reach INR704 crores for Q1. As indicated earlier, the business was primarily impacted due to delays in collection from state utilities given general elections and delay in budgetary allocations. Additionally, shortage of manpower also led to lower progress on several of the large projects. We have taken several initiatives to ramp up execution and improve availability of manpower. Further, collections have started to improve in the Water business starting in July itself. With a robust order book of INR9,800 crores, we are confident that growth momentum will pick up in coming quarters in this business. Additionally, the government thrust on improving drinking water, irrigation and sanitation continues as the same, which was indicated in the recent budget, and we expect the business to continue its growth trajectory going forward.

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In our oil and gas business, we reported revenues of over INR250 crores with 18% Y-o-Y growth. This improvement is attributed to better project progress in domestic business. Our order book stands at over INR8,700 crores as of June 30, 2024, in the oil and gas business. We have mobilized the required resources for the Aramco project and started with design and engineering activities. The progress on the project is expected to pick up in the coming quarters.

We are looking to strategically scale up our oil and gas business, both in terms of our capabilities and market reach. In our urban infrastructure business, revenue reached over INR180 crores, showing a Y-o-Y growth of 18%. The growth was slightly below expectations mainly due to manpower shortage. We are up grading our capabilities and execution bandwidth in the urban infrastructure business and are confident that the business will deliver strong performance in the coming quarters.

In the railway sector, revenue decreased to INR242 crores, reflecting our focus on project completion and selective bidding in light of intense competition. We continue to focus on segments like composite rail projects, Metro Rail, RRTS, DFCC, etc. in the railway business.

In our Road BOOT project, daily revenue increased to a record high of INR63.6 lakhs in Q1 '25, up from INR61.7 lakh per day a year earlier and INR60.3 lakhs in the preceding quarter. Our combined investment in all 3 road SPVs stands at INR790 crores, including INR25 crores provided in Q1 '25 mainly towards debt repayment and major maintenance. We are at advanced stage of divestment of VEPL and are hopeful to complete the signing of the transaction this quarter.

In closing, I would like to reiterate our guidance for FY '25. First, a combination of well-diversified order book, execution expertise and a strong balance sheet gives us confidence to achieve our annual revenue growth guidance of 20% plus. Second, business outlook and tendering activities remains robust. In this backdrop, KPIL is focused on orders that have better profitability, higher returns and enables us to improve our capabilities and competitive position. We are targeting order inflows of INR22,000 crores to INR23,000 crores for full year '25. The growth in the order inflows will be led primarily by the T&D and B&F business in the current year.

Third, regarding margin guidance, let me reiterate that we expect margins to improve going forward. We believe our PBT margin to be in the range of 4.5% to 5% for FY '25. Lastly, the underlying strength of our business model is based on profitable growth and maintaining a strong balance sheet. Going forward, our prime priority is to further strengthen our balance sheet through efficient working capital management, timely project closures and divestment of non-core assets.

We will continue to keep our debt levels aligned with business growth by targeting net working capital below 100 days and interest as a percentage of revenue at 2% on a stand-alone basis. Thank you for your attention. We can now begin taking questions.

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Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Subhadip Mitra from Nuvama.

Subhadip Mitra: My question is with regard to the margins, while you have given us the guidance at the PBT level. Where do you see your EBITDA margins stabilizing? And do you see a recovery from second quarter itself? Or will it be more of a second half story?

Manish Mohnot: I think on EBITDA margins, we believe we should be at the level of 8.5% to 9%. But as I said earlier, we're more targeting the PBT guidance at 4.5% to 5%. As far as recovery is concerned, we are seeing recovery coming in Q2 itself, primarily because collections have started coming in from some of the businesses and interest cost has started going down, and that will help us achieve our PBT margins what we have guided. So we should see some recovery in Q2, but a significant recovery should start coming from Q3 and Q4.

Subhadip Mitra: Understood. Secondly, with regard to the promoter pledge, now that has inched up again. And we are all aware how this has been a bit of an overhang for the stock in the past. So is there something that we need to be aware about? Is there any pressure on the real estate business because of which this is moving up? And secondly, is there a targeted range where you expect this promoter pledge to be?

Manish Mohnot: So I think promoter pledge currently has not gone up as compared to what we have seen in the past. From data which is in front of me, the promoter pledge as on date is at 28.8% levels lower than the 31.5%, which were on 31st March. The promoters have also repaid some of their loan against shares in the last 1 month, and that was already notified by us to the exchanges. Our understanding from promoters is that pledge will only continue to go down from here. And we're already at 28% level. So you should see it only going downwards. And there is no way it would increase at any cost.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a decent quarter. So you spoke about some of the one-offs during this quarter. I think said some additional provisioning and some d

onation. If you can quantify what were the numbers above EBITDA line?

Manish Mohnot: So Parikshit, you are aware that we always provide at 1.5% as our provision for warranty guarantee first erstwhile KPTL business. We have slowly migrated the erstwhile JMC business to also this level. It was a 0.5% earlier, went up to 1% and from the current year, it was at 1.5%.

Typically, it's a provision which comes back once the project gets closed. And today, we have a provision of closer to INR350-plus crores on our balance sheet on warranty guarantee. As far as Q1 is concerned, there was an additional impact of INR30 crores coming out of this provision, which was budgeted.

So let me be very clear saying that it wasn't something, this was budgeted. And even with that, we believe we should be at margins of 4.5% to 5%. So that is as far as the provision is concerned, because now all businesses, we are doing it at 1.5%. Secondly, we had some donations, which I

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do not have the exact numbers with me, which were not tax deductible, which happened in Q1, which was again one-offs, which we shouldn't be seeing going forward. And that's why our tax rates are high. And again, as I said, that was also budgeted, right? So this was not that our targeted numbers change because of that, but those are all provisions which happened in Q1.

Parikshit Kandpal: And you said forex loss was about IN R17 crores, right, above EBITDA.

Manish Mohnot: So that is definitely a onetime. So our subsidiary Fasttel in Brazil has taken a loan from EXIM, which is hedged for the next 5 to 6 quarters in terms of repayment. There was volatility in the Brazilian currency over the quarter end, which has now, again, come back to reasonable levels, and which had a gross impact of INR24 crores and the net impact of INR17 crores in our consolidated numbers. We believe that's more about timing because we are hedged for the next 5 to 6 quarters already for repayment. And this could come back in the next few quarters for sure.

Parikshit Kandpal: Okay. And my second question is on the promoter stake sale in this quarter. So typically, what we have seen is that most of the time promoters stake sale is guarded by kind of covenants on debt. So does it in any way impact our -- I mean, has it already like some of the banks would have invoked these covenants and we need to refinance some of the debt. And if yes, then how -- at what point of sales like we are there in terms of refining. Have you already secured the new funding lines if that has been triggered?

Manish Mohnot: So Parikshit, yes, there were covenants on promoter stake levels. I think we have had discussions with the bankers during the last 1 month on this matter, and the bankers have understood and supported us in this process. A lot of covenants have already changed, some of them are getting changed. We did not have any impact, any significant impact on the banking side, although temporarily for a few weeks, there was this conversation and all of that.

As we stand today, all our banking lines are fully functional, all our lenders stay committed to

us, and we do not see any concerns on that front. Also, the stake sale was primarily directed towards a filing of DRHP by a real estate business. We've been given to understand by promoter that the documentation is at advanced stage and the filing is expected this year.

Parikshit Kandpal: So I mean when you, thanks for touching that point because if the filing happens, so and in case of say, eventual listing, so how does it change the entire promoter pledging on because then it becomes like pledge on this company for a loan given to the entity supposed it gets listed. So

how does the pledging change? And do you think there's a pathway wherein the pledge will reduce to 0 in that scenario?

Manish Mohnot: So our discussion with promoters over the last few years on this

is matter has been very, very clear.

They believe it will continue to come down and gradually reach those single digit if not lower numbers in the next few years.

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Parikshit Kandpal: Even post listing, the pledge will entity and do you think after lifting of the real estate entity, there is no relation between the two in terms of -- do you think that still KPIL will continue to support through the pledges to the promoter listed entity.

Manish Mohnot: So I do not have the exact timing on that, Parikshit hit, but our discussion as I said earlier will continuously come down. Whether will it come down significantly into a post listing or will happen in a few quarters from now, is something which we will to discuss with the promoter.

But the good part is the guidance is it has to come down, one.

Second, if you look at the loan against share is pledged. The margin is closer to 4x. The loan amount is closer to INR500 crores is what is the loans against shares which the promoters have taken, which is like very low against the very high margin money. So I think gradually it should come down. I do not have the exact number, which has been told, but gradually going forward, it should come down to a low single digit, if not closer to 0 over the next few years.

Parikshit Kandpal: Okay. This is the last question, sir, on so given the kind of growth we are seeing in the segment both T&D and real estate both are doing well. And internationally, you've been able to secure large contracts. So do you think that the balance sheet is adequately funded? I mean do you think

there is any need to raise funds for Kalpataru to maybe pick up the growth higher? I mean further strengthen the balance to support that kind of growth. Do you think any near-term plans to raise any funding in the company?

Manish Mohnot: So, Parikshit, in the near future, in the short future, I don't see any dilution. But given the growth, which is happening, and given the kind of opportunity is visible, we will definitely revalue this getting into maybe in the next few quarters. But as of today, I think we are adequately funded to take care of our existing order book and delivery on that.

Parikshit Kandpal: And this VEPL and Indore real estate any update, if you can update as I think VEPL you said we're in the terms of closing it. So how much quantum of loss funding for the year as a while will reduce this? And on Indore real estate what is pending to be collected and what is the collection for this quarter?

Manish Mohnot: Sure. So I will first speak about VEPL. As I said, earlier, on VEPL we've got some offers. We're in advanced stage and discussion with one large global investor, who's given us a value, which is better than what we have invested. The discussion on various shareholder agreements, SPA, SHA is going on. I personally believe we should be signing the agreement at least in the current second quarter.

As far as -- and as I said earlier, I think, we will get much more than -- or we'll get more than what we have invested as far as VEPL is concerned. On the Indore asset, our sales in Q1 was around INR10 crores. Our collection till date is INR353 crores, and balance to be collected is around INR147 crores. We have around 20% of shops to residential, which are yet to be sold.

And we believe majority of it should be sold in the current financial year itself.

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Parikshit Kandpal: Okay. Just last question, sir, if I may, what is the disinvestment total current -- at the current juncture what is the total investment in VEPL?

Manish Mohnot: So you're talking about from both equity and debt perspective or only equity perspective. So enterprise or only investment?

Parikshit Kandpal: If you can help us understand both, how much it would be?

Manish Mohnot: So if you look at VEPL, total

investment as far as equity including all the funding is closer to

INR386 crores. The debt on it is around INR280 crores, INR285 crores in that range. I could be off by a few crores but INR280 crores to INR285 crores.

Parikshit Kandpal: And when you talk about getting more than equity, then the INR386 crores is the equity you're

referring to or you're referring to the original equity.

Manish Mohnot: INR386 crores is equity including sub debt, out total investment I'm referring.

Moderator: The next question is from the line of Prathmesh Salunkhe from PL Capital.

Prathmesh Salunkhe: Sir, my question is general bookkeeping question, just wanted to know the order inflow from the Fasttel subsidiary from Brazil. And another thing, the order inflow breakup segment-wise for the current quarter, that is breakup for INR3,182 cores, if you could help me with it?

Manish Mohnot: Sure. So I think if you look at the breakup for the current quarter order book including what we have declared today is around INR7,000 crores. The breakup of that is T&D is INR3,400 crores of which transmission domestic is around INR860 crores, transmission international is around INR1,140 crores and LMG Sweden is around INR1,373 crores.

Our B&F business has got around INR2,300 crores and the Water business has got INR1,350 crores. The order inflow for Q1 including today till now is around INR7,000 crores and that's the breakup. We have not seen any order coming in Fasttel in Q1.

Prathmesh Salunkhe: Okay. Fasttel has no order inflow, got it. Sir, further more....

Manish Mohnot: Q1 we don't have secured anything in Fasttel

Prathmesh Salunkhe: Yes, got it. So further the L1 position mentioned, which is INR5,000 crores, if you could give us some more color on it, like which segment dominates the L1 position?

Manish Mohnot: So in the L1 position transmission domestic is significant with more than 50%. Transmission international is around 25%, and Building and Factory's business around 25%.

Moderator: The next question is from the line of Nidhi Shah from ICICI Securities.

Nidhi Shah: My first question is on the international order booking. So I understand last year the percentage of international order inflow was higher and this is lower back to FY '23 level, so what is sort of your commentary on that?

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Manish Mohnot: So if you look at our order inflow for first quarter, it's 65% domestic and 35% international. But if you look at our order book closing at INR57,000 crores, which is 55% domestic and 45% international. We believe that opportunities exist in both domestic and international business.

But given that on the international business, we had some very large orders last year, including the Saudi Aramco and a few international orders, the last year's inflow international was much higher. Current year, I believe that it should be more in the range of 65% domestic and 35%

international or may be in the range of 60% - 40%.

Nidhi Shah: And my second question would be, what do you think of the pipeline this year for orders, domestic and international. Do you -- how do you see the competition in bidding? And what do you think overall where this sort of sector is going this year in terms of awarding and bidding

Manish Mohnot: So as we -- as I mentioned earlier during my opening speech, I think we're seeing a lot of traction coming in transmission, building and factories and oil and gas international. That's something, which we continue to be very bullish on. Even Water sector we're seeing a lot of tenders coming, but although they're slightly delayed given that 3, 4 months of elections.

So at last -- at least majority of our business except railways, we see a lot of traction. Competition continues to be there in all segments. I think it's not as much about competition as much as about our ability to deliver in the time frame which you commit

I mentioned this earlier that this is a scenario where we need to be selective in picking up orders because there is a lot of opportunities, but we need to be careful of our ability to deliver, right?

So our focus is more on looking at profitable orders across all segments, which will further drive growth getting into '25-'26.

Moderator: The next question is from the line of Ashwani Sharma from Emkay Global Financial Services.

Ashwani Sharma: Sir, just to extend the earlier participants' questions. So, we have already done some INR7,000 crores order inflow, and we have guided for INR22,000, INR23,000 crores order inflow. Given the so much of opportunities, I believe that this number is a little conservative number. I wanted your sense on that?

Manish Mohnot: I wouldn't call it a conservative more than a realistic number. And I'd just like to pause back and take you through our historical order book growth. Last year our order book closer to double, at opening, we were closer to INR58,000 crores, INR59,000 crores. We are growing at 15% to 20% for the last 2 to 3 years. Our business for growth requires all three: one is capex; second is labor; and third is a strong delivery team.

We believe that there are times where we need to be conscious in terms of looking at those projects with selective clients where there's a reality in terms of delivery requirements. So that's why our focus is a lot more on businesses, which we are very strong in because these are the areas where we believe that profit would go up because our capability and competency to deliver at the shortest time frame exists.

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So I wouldn't call it conservative other than being realistic because we are sitting on a 2.5 years order book while we speak. Given the volatility, given the kind of changes in labor law regulations or any of those which could come in, it's better at this time to be more realistic rather than being aggressive in terms of growth itself. That's the philosophy which the entire senior management has decided. But even with this number, which I have given you. Visible growth for the next few years still looks like a high double digit with improved profitability and improved ROCE ratios. And that's our largest focus there than only looking at top line growth.

Ashwani Sharma: Right, sir. And sir, what is the kind of capex that you are looking for to fund this guidance from the execution point of view?

Manish Mohnot: We are targeting capex in the range of INR500 crores to INR600 crores in the current year through a mix of capex on the balance sheet plus lease plus the combination of few others, but we're targeting a capex of INR500 crores to INR600 crores for the current year. We believe that this requirement should reduce in the next year given that the current year has a lot of capex on some urban infra businesses, which we got large project last year and also on staging and shutting a large project, which is -- which can be used getting -- going forward on different projects. So personally, I believe the capex number should start going down in the next year, but currently, it should be in the range of INR500 crores to INR600 crores.

Moderator: The next question is from the line of Arafat Saiyed from InCred Research.

Arafat Saiyed: My first question is on the pipeline. Can you please quantify in terms of value what kind of order pipeline you are looking for next 1 year?

Manish Mohnot: No. I think, as I mentioned earlier, we're looking at inflows in the range of INR22,000 crores to INR23,000 crores, which means typically the different segments, we are at a ratio of some segments, we do 20%, some segments 10%, 25%. So it looks very healthy in terms of the order pipeline and even in the transmission business, we see tenders close to INR50,000 crores being built in the next 3 to 4 months.

So whether it is transmission, B&

amp;F, Water and oil and gas, we will see a huge pipeline coming in. Our focus is primarily on profitable and large orders, and that's why we're keeping our target at around INR22,000 crores to INR23,000 crores for the current year.

Arafat Saiyed: And sir my next question is on divestment of non-cores. So can you please let's say -- in terms of let's say what may happen in FY '25 and now you're looking for FY '26 in terms of divestment of non-core. And also, what amount you are expecting from, let's say, the divestment? And again lastly on, let's say, the likely to be, let's say, gain or burn from this investment over the last few years you have done?

Manish Mohnot: So our noncore, what we have declared are primarily the road assets, primarily Indore and primarily Shubham Logistics, right? This is what we have declared non-core earlier itself. Out Kalpataru Projects International Limited
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of the road assets, the largest road asset which is more than 70% exposure is VEPL and I said that earlier that we expect to sign an agreement in Q2 itself on that.

The other two assets are very small in value and have a very short duration left from here. So we're not sure whether we'll be selling it or just going through the process of keeping it on books for the next 5-odd years because the investment in those assets are very, very low as compared to what we have on VEPL. So if you look at the total investments in the other 2 assets, if I look at BBEPL it is closer to INR91 crores and if I look at WEPL it's closer to INR300 crores, and VEPL is something which we are looking at exiting now.

As far as Indore is concerned, we believe that we should be out of the entire investments in the next 12 odd months, as indicated earlier. Shubham Logistics, it will take us some more time.

The business is on the revival mode. We're also selling up some of our warehouses and assets, which we had.

The debt numbers at the Shubham Logistics are continuously coming down. So that's a business, we would not look at divesting in the current year, but focus on it getting into next year or the year after that.

So to answer your question, current year is going to be 1 more asset and Indore, then look at the next few road assets next year and then look at Shubham the year after next. As far as the answer on saying that, do we expect to get more than what we've invested? Our first ballpark belief is that we should be not having any losses on the investment in totality on these assets.

Arafat Saiyed: Fine. That's really great. And sir, lastly on railways, so basically, if you look at railways, for you is down 45%, while your competitors also down almost 36%, 37%. So any sense on that, let's say, that let's say, this was largely due to election year -- election quarter? Or you believe, let's

say, going forward also the tender pipeline and that has reduced significantly as election is largely over? So let's say, in terms of doubling, tripling now it's going, let's say, if you can guide on that?

Manish Mohnot: I think on Railway business for the last couple of years, we've been bearish given the intense competition in this business. So, we have hardly picked up any large orders in this business. The business still has an order book, which is around INR3,900 crores to be delivered. So given that we've not taken any large businesses, we believe that it will continue in a degrowth mode, at least for the current year.

Going forward, once competition comes down, we might have some opportunities in the domestic market. Parallely, we are looking at the international market for the railways business. And I'm hoping that in the next 12 to 18 months, we should have some wealth coming on the international front also.

While we say so, I think current year, next year, as far as railway business is concerned, we do not see growth happening in any form.

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Moderator: The next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: First question on margin, you did highlight PBT target margin of 4.5%, 5% and 8.5%, 9% on EBITDA. Just wanted to understand what business segments are actually going to recover on the margin front? And you also did highlighted that the recent order wins on slightly higher margins. So if you could elaborate more on how the margin recovery is going to happen now sequentially?

Manish Mohnot: So on the margin front, even if you look at the quarter 1, right, I think what we have primarily lost is because productivity not being achieved due to availability of labor. So it's not that we had projects which bled or anything. So if you look at the Q1 margin also in standalone, PBT we're at 4.4%, it's not that we have gone down significantly.

So my belief is that all segments, which we have budgeted, right, would continue delivering on margins, whether it's B&F, T&D, TLI, all of them. Now that labor has come back, now that collections have started improving in a few businesses, we see productivity also improving from Q3 onwards. Q2 obviously has always has an impact of monsoon.

So it's not any specific segment. It's a business as a whole as we believe that we will continue to deliver on what we have targeted, and that's how it will move in the range of 4.5% to 5%.

Amit Anwani: Sure. Sir, and second thing on the international versus domestic, you did highlighted domestic to international between 55% to 35%. So segment-wise, just wanted to understand in international market, this segment will be going more aggressive? And second thing, how the -

- so you did highlighted that we have been selective in terms of taking orders. So how is our strategy in international markets with respect to order taking? And which segments you feel will contribute more to the international intake?

Manish Mohnot: So even in our current order book, significant portion of the international order book comes from the transmission segment and oil and gas, a large Saudi Aramco project. So going forward, if you ask me in the current year, I think we continue to be primarily focused on transmission business. Oil and gas in few geographies and urban infra in a few geographies. But my own assessment is in the current year, more than 70% of our order inflow should come from the transmission business itself.

Moderator: The next question is from the line of Bharat Sheth from Quest Invest.

Bharat Sheth: Sir, in your opening remarks you stated about the LMG, we are looking for aggressive growth as well as in Fasttel your breakeven. So if you can give a little more color on both those companies?

Manish Mohnot: Sure. So I think on Linjemontage, our last 6 years journey has been very good. The business itself has become 3x over the last 6 years after we have acquired and they have paid us a significant amount of our investment back as dividend as far as Linjemontage is concerned.

Today, when we look at where Linjemontage is in terms of our order book. If you look at the Kalpataru Projects International Limited

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revenue for the Q1, we did around INR449 crores growth of 84% as compared to INR244 crores in the previous year.

And also their order book visibility is so good that we believe that growing at a good double-digit should not be a challenge for Linjemontage. They have an order book visibility of around INR3,000 crores while we speak, which is closer to double in the last 1 year. And the markets continue to be bullish as far as the entire Sweden, Norway, Denmark is concerned, and we believe that's an opportunity, which we will be focused on capitalizing on. We are today among

the top 3 EPC contractors in that country on the transmission side with a strong team and a presence across transmission and substation, both in Sweden as well as Norway.

So -- and even on balance sheet, that business has free cash available on balance sheet. So it's like a debt-free business. So EBITDA is equal to PBT as far as that business is concerned. On Fasttel, it was a strainful journey over the last 3 years because of COVID, Brazil, all of that and historical orders, but we are now out of all historical orders. Our revenue for Q1 '25 is around INR230 crores, a growth of around 40% compared to what Q1 '24 we did. Fasttel order book has also doubled. We are sitting at around INR1,200 crores as of now. We believe that the business will get into profitable mode getting into Q2, Q3 itself, right, and going into a high growth and margin mode into the next year. So both the businesses today, I believe that growth is visible. The team is good. The markets look good, and we are conservative at least on what not to do in both the businesses. So from a perspective direction, I think we stand committed to those businesses, the opportunity looks good and growth is visible. For the current quarter, fairly, we had a small setback of FX coming into the Fasttel business, which I just explained in the earlier call, which to me is more a timing issue. It was a net INR17 crores impact. Otherwise, if you look at Linjemontage for the current quarter, they have done an EBITDA closer to 4% or closer to 5% and even Fasttel has done EBITDA at the range of 8% to 9%, which is what we believe will continue to improve.

Bharat Sheth: So even, sir, in Linjemontage, we expect -- do we expect improvement in the margins from 4% earlier we were doing 6% kind of EBITDA margin? And kind of a potentially next 3 years, where do you see this Linjemontage as well as Fasttel?

Manish Mohnot: So on Linjemontage, we definitely expect margins to improve getting into Q3, Q4 itself, right, not even next year. And getting into next year, we definitely should be at 6%, if not higher than that. On Fasttel, our EBITDA has been closer to now it's at around 8.5% to 9%, and we see that going forward because that's a business where -- that's a market where 10% to 12% EBITDA is common in terms of T&D projects. So yes, EBITDA margins should go up on these businesses going forward. And next year, for sure, Fasttel will be 6% plus.

Moderator: The next question is from the line of Vaibhav Shah from JM Financial Limited.
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Vaibhav Shah: So firstly, when do we expect the execution to start for Aramco project in terms of revenue booking?

Manish Mohnot: So the execution in terms of team building is fully done. We are close to 150 people who are already at the site now. 150, could be even more than that 150 is when I was there a few weeks ago. The design and engineering phase of the project has started fully.

In terms of revenue, I think you should see significant revenue coming from maybe December onwards on this project because our design engineering significantly would be done by November, December. And that's when the site activities would start in a big way.

As I said earlier, this project does not involve buying of pipes, right? Pipes is a free supply from the client. So it's at the site where the execution whenever it starts is when revenue comes here.

So we believe that Q4, we should start seeing a lot of it and December onwards, Saudi Aramco revenue and margin should come in.

Vaibhav Shah: Sir, any guidance on the full year FY '26 revenue or margins for the project ballpark?

Manish Mohnot: It will be difficult for us to give a guidance today, but today we're sitting on a 2.5-plus years of order book, right? And given that the positive environment around, I don't see a growth in having a high double-digit -- I don't see a problem in having high double-digit growth, but I wouldn't like to give the guidance at this stage. Maybe by the end of Q3 or beginning Q4, we would be giving guidance for next year.

Vaibhav Shah: S

ir, I was asking for the Aramco project.

Manish Mohnot: So Aramco projects, I think the delivery scheduled over 36 to 42 months. So the peak of that project would be the next '25-'26 and '26-'27. So if you ask me in terms of revenue, I think the next '25-'26, '26-'27 should be more closer to 70% of the revenue of that project. 10% to 15% might happen in the current year and the balance in the last year.

Vaibhav Shah: Okay. Okay. Sir, secondly, you mentioned the order inflow guidance of INR22,000 crores to INR23,000 crores for FY '25. So that is on standalone level or consol level?

Manish Mohnot: So I think that is the guidance at the consol level, which we are giving, with standalone closer to INR20,000 crores and the subsidiaries in the range of INR3,000 crores.

Vaibhav Shah: Okay. And sir, lastly, in terms of revenue growth for Fasttel and LMG, how are we looking for FY '25?

Manish Mohnot: So as I said earlier, I think this question I had mentioned earlier also, both the businesses would

grow at a 20%, 25% plus for the current year. It would even be higher, but the budgets are at 25% plus and with profit improvement. So I don't see challenges in both the business growth as far as the current year and the next year is concerned.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

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Parikshit Kandpal: My question is on -- so you highlighted that 70% of inflows this year will be from T&D, so I just wanted to understand are we looking to increase any capacity on tower side? Are we looking to set up any conductor capacity or cables capacity?

Manish Mohnot: I think our tower manufacturing capacity is in excess of 200,000 tons, and I don't think we need to increase that with the current visibility, at least for the next 2 years. We are not in the cable and conductor business, so -- and we do not have any plans currently of getting into that business.

But as far as capacity at the plant site is concerned, we believe that we have enough capacity to take care of our growth requirements.

Parikshit Kandpal: Okay. My second question is on retail asset monetization. So how do you intend to use the proceeds? Do you think that it will be appropriate to repay the debt of the balance 2 assets and reduce loss funding. So how do you -- how are you strategizing thinking about utilizing these proceeds? And post -- what is the current level of loss funding or support -- putting support even in this quarter, you supported in excess of INR20 crores. So for a year as a whole, how much would be this number? And with monetization, how much that number can come down?

Manish Mohnot: So let me first answer the second question. We had guided for a INR70 crores to INR75 crores support in the current year for the businesses primarily to repay debt. We believe we should be in a similar range given the traffic growth, it should only come down and not go up.

As far as utilization of proceeds, I think we've really not gone into that detailing as of now because after we signed the binding agreement, all the approvals could take any time between 3 to 6 months, right? So we will have enough time doing that time to decide.

But clearly, the proceeds could go either for debt reduction or growth on capex. There's no other way. It's only one of the two or paying back as dividend to shareholders. It's only one of the three. So it's early for us to start discussing on that, and we've not thought on that as of today.

Once we signed the binding agreement, once we start getting approval is when we'll be getting into -- focusing more on how to use the proceeds.

Parikshit Kandpal: And post acquisition, how much could be the reduction in debt in the loss funding? I mean VEPL are you supporting anything out of the INR75 crores in VEPL because I understand large part is going to Wainganga?

Manish Mohnot: So VEPL Q1, we ga

ve around INR5 crores. So I think we will continue to support in this range of maybe INR5-odd crores on a quarterly basis, not more than that unless it's going to be debt repayment. So I don't have the exact numbers. So total all three put together, we paid INR25 crores but VEPL was not higher. The higher was WEPL, which we supported in Q1.

Parikshit Kandpal: So that will continue despite this monetization that INR70 crores, INR75 crores kind of support will continue.

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Manish Mohnot: For the current year, it will because, as I said, even once we sign it, getting all the approvals is a journey, right? It takes 3 to 6 months. So when we are sitting in July, August, we signed it, it would be January, February. So current year, definitely, we believe the support will be required.

Parikshit Kandpal: And what is the WEPL debt, sir, right now for which you are giving the bulk of the support?

Manish Mohnot: INR107 crores.

Parikshit Kandpal: So that's -- I mean so even if like you get to your.

Manish Mohnot: That's what I said next couple of years what the entire debt would be over. So if you look at on a debt basis, the debt on our 3 assets put together is INR425 crores with INR285 crores on VEPL, 107 on WEPL and only around INR35 crores in BBEPL. So I think the debt support would get over and after that, we still have a long life. The assets would still have, one of them has a life of around 18 to 20 years. One of them 7 to 8 years and one of them, again, 5 to 6 years.

Moderator: The next question is from the line of Teena Virmani from Motilal Oswal.

Teena Virmani: My question is related to the execution growth for the company. So Q1 was weaker and it was expected to be weaker also because of labor related and election related impact. But how will execution ramp up in the coming quarters for the standalone entity because if railways is going to be weak, so will other segments grow faster than 20% to take care of your full year growth guidance of 20%. Just wanted some of your thoughts on this.

Manish Mohnot: Sure. So in the current year, the majority of our businesses are growing at 20% plus. So whether

you look at T&D, which is transmission domestic, whether you look at buildings and factories, which is the entire country Southern as well as the Northern and Western, whether you look at our international subsidiaries or whether you look at water, urban infra oil and gas.

So if you look at each one of these businesses from a revenue perspective, they will have a good order book at the closure of the last year, right. And there is good visibility going forward also.

So all our businesses are growing at anywhere between 15% to 25% at individual business level except railways.

So the key growth drivers will be across all business because oil and gas would literally grow at maybe 50% plus because the base was small and Saudi Aramco is a big number. T&D was not going for the last 3 years. Now we have seen a good order book and good L1 so that business would grow at 25% plus. And even in Q1, we have seen transmission grow at that numbers, right?

Water business has a very good order book. Q1 was down because of, as I explained earlier, labor as well as these connection issues. In buildings and factories, we have seen a growth of 23% in Q1 itself, right? And even with labor issues. So obviously, getting into Q2 or Q3 onwards is much higher.

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So all our businesses except railway would grow at more than 20% for sure on an annualized basis, and that's why we have guided for that number, which is in the range of 20%. And railways is also an annualized business, will not be a huge degrowth. Right. While there will degrowth, it's not that we are looking at reducing it by half or something because they still have a visible order book.

And their size is so small that on a larger number, the impact is very minimal.

Teena Virmani: Right. Right. So Water segment, which was impacted in Q1. Water would start growing in the coming quarters where you don't see any challenge?

Manish Mohnot: Yes. So given the impact of Q1, would they grow at maybe 20% annualized, could be less, maybe 15% to 17%, maybe not 20%. But other businesses could do much better. So even with the Q1 impact, we believe that the consol business growing at 20% will not be challenge on majority of the businesses.

Teena Virmani: Got it. And what is the size of the urban infra projects where you're required to enter with large capex, primarily for the tunnel boring machine and other things. So what is the size and by when these projects are contributing to execution?

Manish Mohnot: Urban infra, the order book is closer to INR3,000 crores while we speak with 2 underground projects and a few overhead projects also. As far as Q1 is concerned, if you look at that business, that business grew at 18%. They did around INR181 crores compared to INR154 crores last year. Urban Infra as well as civil international put together because that's also urban in nature. So I believe that with a visible order of INR3,000 crores, they should be growing at more than 35% in the current year because they had a very low base in the previous year.

Teena Virmani: Okay. And so will this capex, which you have already done this year as well as which you've already done last year as well as you'll be doing this year. This won't be your significant number in the coming years?

Manish Mohnot: So my own belief is that at least on TBM we shouldn't be seeing significant investments coming in unless we get some good profitable orders in Q3, Q4. But as I said earlier, it's all about making sure that we get profitable orders when we can afford to do that capex. But in the current order book, I think this would be a big year of capex and capex should go down going forward.

Teena Virmani: Right. So, this INR500 crores, INR600 crores that you're targeting, that is primarily for these urban infra related project itself, the capex?

Manish Mohnot: So it's a mix of all three. It's urban infra which would be -- maybe one third of it. It would be the staging and shuttering and formwork for B&F business, which would be one third. Then there would be another 10% to 15% for the international businesses given the growth and balance across all other businesses.

Moderator: The next question is from the line of Ashish Shah from HDFC.

Ashish Shah: Yes. So sorry for this. So yes, my question was about this particular event where we were made party to 1 dispute in NCLT earlier this month in respect of one of our terminated projects. If you

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can just update a little bit context of that event and also any implications that it may have for the company.

Manish Mohnot: Sure. So this was Kurukshetra Expressway, which we terminated 2 years ago because of the farmers agitation and that termination was -- the road asset was handed back to NHAI. We have

already written off our entire equity in that as set in '22-'23 itself and today are carrying values closer to zero as far as that asset is concerned.

This entire proceedings were started from the bank against NHAI, there will be a party to it. So the bank has gone to NHAI for debt repayment based on the concession agreement where banks are eligible for the debt repayment because it is a termination on account of a default by NHAI. So that's why bankers have gone against them, and we are party to it. As far as we are concerned, I think we have completely written off our equity on books, and we shouldn't see any impact on it in any account.

Finally, on this asset, we also have into arbitration on a couple of -- we have right now 2 arbitrations which are going on, which we expect in the next

3 to 6 months some awards to come in whatever form. But otherwise, as we stand today, we do not see any hit coming out of these proceedings in any form.

Ashish Shah: Sir, in this particular termination matter, has NHAI accepted our argument for termination or that part itself is something that we are arbitrating on?

Manish Mohnot: I'll just ask S.K.T to also speak on this.

S. K. Tripathi: Yes, yes. So as far as the NHAI is concerned, they have taken over the assets, and they are maintaining the assets. We are out from the asset about 1.5 year back. Now as far as the debt settlement is concerned, as expected NHAI will not walk an easy path and they are giving a tough time to the bankers and to us also.

But as Manish commented that we are in the arbitration on these projects on the termination payment as well as we are persuading bank also to come on the same platform, and we may see some resolution over say next 3 to 6 months on this matter.

Ashish Shah: Sure. But as we see it today, there is no impact on the company in terms of any residual liability on the debt repayment?

S. K. Tripathi: Right, right. There's no liability.

Moderator: Ladies and gentlemen, this will be the last question. It's from the line of Riya Mehta from Aequitas Investments.

Riya Mehta: I have two set of questions. First one is regarding the supply chain challenges, which we were speaking earlier quarter. And I think one of your competitors also put up in line for conductors. So are we seeing similar supply chain challenges? And are we looking out for similar capex?

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Manish Mohnot: No. So from a supply chain perspective, at least at the KPIL level, while we've seen some delays, I wouldn't say that there are challenges, which are impacting project delivery. We've seen some delays over a few months. While we speak today, I think on a Q1 basis, whatever we have projected in terms of delivery and supply chain has happened at 95% plus.

And getting into the balance part of the year based on commitments from all our suppliers, we believe that we will not have challenge in supply chain, at least based on the current environment, whether it's from conductors, insulators or even transformers.

As far as our plans for setting up a plant to look at that option, as I said earlier, we do not have plans as of now because we believe that the industry already has visible capacity to take care of the requirements of the country. And to that extent, we would trust our suppliers who have been with us for long enough. So as of today, we do not have any plans to be getting into that business of cables and conductor.

Riya Mehta: Got it. And then on T&D, where are we seeing the demand primarily from domestic or international and domestic is majorly PGCIL?

Manish Mohnot: So at least in the last 6 months, we have seen transmission domestic more than 90% orders coming from PGCIL. So that is driving growth in a big, big way. As far as international is concerned, we're seeing opportunities everywhere, whether it's Africa, whether it's Middle East, whether it's Latin America or whether it's the European market or the Australian market. So we continue to stand bullish on that. And that's an opportunity, which looks very, very attractive as of today.

Riya Mehta: And my last question is in regards to the workforce challenges. So that is in what layer of employees are we seeing workforce or unavailability of labor? Are this from the skilled or semi-skilled or what?

Manish Mohnot: I think that's a challenge across the value chain, right? So whether I look at skilled, whether I look at semi-skilled, unskilled, whether I look at international projects, domestic projects and even supervisory staff, right? I think that's a challenge right now, which is the biggest challenge for the industry as a whole, given that the growth that's coming in the last few

years has been very, very huge, right? It was beyond expectations that what was coming in now. And the delivery schedule is really reducing as far as all projects are concerned, right? Some driven by

the pressure of the government, some driven by RERA, some driven by other regulatory requirements. So given that delivery schedule has reduced and the expectations have only gone up, so I think it's a challenge across the entire value chain. So today, if you ask me the number one challenge is not order book, not revenue, not growth, not profitability, it's only about resources, resources and resources. Riya Mehta: So, do we tie up with agencies or do we have hired directly these or have contractors or how is the mechanism for manpower?
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Manish Mohnot: I think it's a mix of everything, but we hardly use any agencies. It's been more our own team and our contractors who work with us. We rarely use agencies. But it's a mix of everything depending upon the project, the country, the kind of work, a combination of all of that.

Moderator: Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to Ms. Bhoomika Nair for the closing comments.

Bhoomika Nair: Yes, I would like to thank everyone for being on the call, and thanks to the management for giving us an opportunity to host the call. Thank you very much, sir, for answering all the questions, and wish you all the very best.

Manish Mohnot: Thank you very much, Bhoomika. Thank you, everyone.

Bhoomika Nair: Thank you.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines. Thank you.

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Q2 FY'25 Earnings Conference Call"
October 29, 2024

MANAGEMENT : M R. MANISH MOHNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. S.K. TRIPATHI – DEPUTY MANAGING DIRECTOR

MR. SANJAY DALMIA – EXECUTIVE DIRECTOR

MR. AMIT UPLENCHWAR – DIRECTOR GROUP
STRATEGY

MR. RAM PATODIA – PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to the Kalpataru Projects International Q2 FY '25 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors Limited. Thank you, and over to you, ma'am.

Bhoomika Nair: Yes. Thanks, Steve. Good morning, everyone. A warm welcome to the Q2 FY '25 Earnings Call of Kalpataru Projects International Limited. We have the management today being represented by Mr. Manish Mohnot, Managing Director, and CEO; Mr. S.K. Tripathi, Deputy Managing Director; Mr. Sanjay Dalmia, Executive Director; Mr. Amit Uplenchwar, Director, Group Strategy; and Mr. Ram Patodia, Project -- President, Finance and CFO.

At this point, I'll hand over the floor to Mr. Mohnot for his initial remarks, post which, we'll open up the floor for Q&A. Thank you, and over to you, sir.

Manish Mohnot: Thank you, Bhoomika. Good morning, everyone, and thank you for joining us on the call today. Let me first provide a quick update on the operating context, post that I'll move on to our performance and key highlights of each of the individual businesses. Post our last interaction for the Q1 earnings conference, we have witnessed noteworthy improvement on the execution front with improvement in labor availability and mode rating working capital intensity compared to Q1 of FY '25.

Our T&D, building and factories, oil gas and urban infra business each at individual level have reported Y-o-Y growth in excess of 20% for first half of '25. Our Water business has remained

subdued, which we expect will moderate the overall growth to some extent, but not significant. We have also completed the signing of definitive agreements for sale of Vindhyachal Expressway, VEPL. We expect to close the deal post receipt of necessary approvals from concerned authorities and lenders in the next few quarters.

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As far as business landscape is concerned, government plans for infrastructure development, including the transmission and distribution capex is getting better and firmer as we are progressing ahead in the year. In this backdrop, we've secured record order inflows of INR11,865 crores, including INR 835 crores announced yesterday.

Nearly 90% of our order inflows are from T&D and B&F business in which we continue to improve our capabilities and strengthen our market position. Additionally, we have L1 position in orders worth INR7,000 crores. More than 75% of that L1 position is in the domestic T&D business. Our consolidated order book stands at INR60,631 crores at the end of September '24. Our order book remains well diversified across businesses and markets, which depicts inherent strength of our business model.

Now moving on to the performance. We have delivered yet another quarter of good performance marked by growth in turnover, improved profitability, moderation in debt level as compared to June quarter. We've reported a consolidated revenue growth of 9% both for Q2 and first half of '25. Our consolidated revenue reached INR4,930 crores for Q2 and INR9,517 crores in first half of FY '25.

The revenue growth is largely driven by approved project progress and healthy order backlog in T&D, B&F, Oil & Gas and Urban Infra business.

Our consolidated EBITDA margins improved by 70 basis points, Y-o-Y to reach margin 8.9% for Q2 '25. Our consolidated EBITDA grew by 18% Y-o-Y to INR438 crores to Q2 '25.

Similarly, our consolidated PBT grew by 42% Y-o-Y to reach INR188 crores and PAT was up by 40% Y-o-Y to reach INR126 crores for Q2 '25. For the first half, consolidated PBT reached INR325 crores and PAT at INR210 crores. This improvement in margins was driven by a combination of robust execution, healthy project mix and diversified business profile. Our consolidated net debt declined to INR3,668 crores at the end of September '24 compared to

INR3,739 as on 30 June '24. Our consolidated net working capital declined by 5 days compared to June quarter to reach 98 days at the end of September '24.

Our standalone revenue was up by 8% Y-o-Y at INR4,136 crores for Q2 '25. Our standalone EBITDA margins grew by 40 bps to reach 8.4%, and PBT grew by 15% Y-o-Y and PAT was up 17% Y-o-Y for Q2 FY '25 standalone level. Our standalone net debt declined by INR114 crores Q-o-Q to reach INR2,973 crores for period ended September '24.

On the individual business verticals front. First starting with the T&D business, our revenue grew by 25% in Q2 '25 driven by robust execution and strong order backlog. So far, we've secured orders worth approximately INR6,000 crores in the current fiscal year in T&D with an additional L1 position of approx. INR5,500 crores. On the international front, performance in Sweden and Brazil saw significant improvement compared to the same quarter last year. At

Linjemontage Sweden Q2 revenue reached INR380 crores, up by more than 100% compared to similar quarter last year. Our order book Linjemontage stood at record high INR2,958 crores as on September '24. In Brazil, Fasttel reported INR285 crores in Q2 revenue reflecting a 48% Y-o-Y increase. The order book at Fasttel stood at INR828 crores at the end of September '24. Our overall T&D order book including international subsidiaries stands at INR22,269 crores as of September 30, 2024. The business outlook remains positive with a robust tender pipeline in both domestic and international markets.

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Our B&F business achieved revenue growth of 19% Y-o-Y in Q2 driven by a healthy project mix and improved project momentum. We have secured orders for INR4,500 crores till date in FY '25. Our B&F business order book stands over INR13,000 crores. In Q2, we have secured some prestigious orders in design build, luxury housing and airport business.

Moving on to our Water business. Our revenue dropped by 43% Y-o-Y in Q2 '25 due to delay in collections in a few states, which impacted execution and project progress. We are closely working with clients for improving the collection cycle and scale-up project execution. The business has witnessed slowdown in tender

ing activities post elections. However, we have a

strong order book position of INR10,500 plus crores as of 30 September '24, ensuring good visibility for the next few years.

In our Oil & Gas business, revenue grew up by 170% Y-o-Y, to reach INR463 crores in Q2 '25.

The growth was largely on account of improved execution on existing projects and start of Aramco project. Our order book in the Oil & Gas business stands at INR8,474 crores, giving a good visibility going forward.

In our Railways business, revenues dipped by 40% in Q2 '25. As communicated in our earlier

calls, we are staying cautious and selective in our bidding approach given the intense

competition. Our priority in Railways is to complete the existing projects at hand and reduce the capital employed for the business.

In the Urban Infra business, revenue grew by 31% in Q2 '25, driven by a stronger backlog in the metro rail sector. We have focused on elevated underground metro projects, bridges, flyovers, elevated roads corridor and tunnelling works. Our order book in the Urban Infra business is at a very healthy level of INR2,600 plus crores and we expect our order book to improve further.

In our Road BOOT projects, daily revenue has increased to INR56.5 lakh in Q2 '25. In the first half of '25, we invested INR39 crores in Road BOOT projects primarily for debt repayment. As mentioned earlier, we've signed an agreement to divest VEPL for an enterprise value of INR775 crores with the expectation for the deal to close in FY '26, subject to requisite approvals and closing adjustments. Given our healthy order book, improved visibility on project fronts, a diversified portfolio, along with the strong execution team, we are confident of delivering healthy growth with improved margins from Q3 onwards.

With that, I'll wrap up my opening remarks. I'd also like to extend my warm wishes for Happy Diwali to you and your loved ones. I would request now the moderator to open the line for Q&A.

Thank you.

Moderator: The first question is from the line of Bharat Sheth from Quest Investment. Please go ahead.

Bharat Sheth: Congratulations, Manishji and team on a very good result. Manishji, I have two questions. First one is on, if we really look at, I mean, our core EPC business which grew as per business revenue slide by around 10% and EBITDA is also improved by almost 18%. So how do we see this business going ahead kind of a traction that we have on the order book?

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Manish Mohnot: Good morning, Bharat bhai. I think, typically, Bharat bhai, Q2 is always a subdued quarter when it comes to EPC execution given the monsoons, given all of that, right. The good part is that across all businesses now visibility is very, very good, except railways where we have cautiously taken a call. I believe going forward, we should be doing much better in terms of delivering on all our projected numbers, delivering on our budgeted numbers. And also the next 2 quarters, visibility on every front is very good, right, whether it is cash flow, whether it is labor availability, whether it is a wide mix of portfolio.

So I think growth as well as improving the margins is visible. We've also said in the past that margins are going up because the entire new order book, which we have built over the last 2 years is obviously at better margins than what we had in the past. And that impact you should see it coming in years, you already see some portion of it coming in Q2 and you'll continue to see that over the next 6, 8, if not more than that quarter.

So our own belief is that from a 2-year perspective, I think growth and improvement in margins is visible, and we should be able to deliver at least whatever we have committed in every form.

Yes, there are some challenges in the first 6 months primarily in water business, right. And as I explained earlier that is something

which is beyond us because we have not been able to collect anything in a few states, right.

It was the election drive. It was this government change, whatever. We've been in continuous touch with them. And whatever we have lost in the first 6 months might not come back in the current year. But on an overall front, that's something which will be delivered going into the next year.

Bharat Sheth: Is that, I mean, based on your comment, again, I mean, on the stand-alone or core EPC business, slowly we see the reduction in the borrowing, correct?

Manish Mohnot: Yes.

Bharat Sheth: Okay. And sir, would you...

Manish Mohnot: Bharat bhai, typically, our business first 2 quarters, you see always borrowing and working capital being high. It's slightly higher than what we've projected for us because given the collections which got delayed in the water business. We are confident that going forward, Q3,

Q4 the debt level will only come down from where we are today. It will not go up. And as we stand committed to keeping our working capital days below 100 even at a stand-alone level by the end of Q4.

Bharat Sheth: That's good. Sir, and would you like to revise, I mean, our order intake growth as well as top

line growth?

Manish Mohnot: Bharat bhai, clearly, as far as order intake growth is concerned, we stand committed to the number which we gave earlier because our focus right now is improving margins because we have a very good visibility on order book. So while today, we have visibility of around INR19,000-odd crores, including L1, we believe that for improving margins, even if we have to compromise slightly on the absolute value, we are happy to do that. So we stand committed to
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the same number, INR22,000 to 23,000 crores. We will revisit that number at the end of Q3 once we have more visibility coming through.

As far as revenue growth is concerned, I think Q3, Q4 will be very healthy. And I think that will help us deliver healthy growth compared to what we did in the previous year. We definitely could face some challenges on whatever we have not been able to achieve in the water business in Q1 and Q2. But on an overall basis, we still believe that you'll see healthy growth going forward.

Bharat Sheth: And last question, sir, on order inflow. In first half, we have seen that mix changing towards more towards the domestic. So strategically, are we focusing more on the domestic in view of geopolitical problem, or so if you can like to say throw more color on that?

Manish Mohnot: I do not think consciously we are doing anything driven by geopolitical. Yes, we continue to be risk averse on areas where we know that things would go from bad to worse. The T&D growth in the domestic front was visible right from March-April onwards and those have got converted now. We continue to stay bullish on the international front also, but we continue to be risk averse based on the volatile environment. So I wouldn't say strategically, it's changed a lot. You will see international order book going up in Q3, Q4.

But for us, I think more important, Bharat bhai, is looking at return ratios more than anything else because today everyone has a healthy order book. Revenue and margins are good where we can deliver on time, where those are high margin orders we are allocating our resources. And that's why I clearly articulated that T&D and B&F, if you look at whatever orders we have got in the first 6 months are in those businesses..

Bharat Sheth: Thank you very much, sir, and I wish you Happy Diwali, you, and your team and all the best for future.

Manish Mohnot: Wishing you also Happy Diwali.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Sir, my first question is on the non-core assets, if you would like to update on for the quarter, Shree Shub

ham Logistics and Indore Real Estate. And third part is VEPL, how much was our investment? And what are the expectations on exit gains?

Manish Mohnot: Okay. So I think let me start with VEPL first. As mentioned earlier, our enterprise value is around INR775 crores. And over the period of the next few quarters till we hand over the asset, whatever cash flows come in would get adjusted to this enterprise value. So we get the benefit of whatever cash flows happen from now until that time.

We expect this deal to be closing in the next 6 to 9 months depending upon the necessary approvals. We believe with that at the current enterprise level, we have a gain of approximately INR100 crores over the equity which we have invested. And this gain could be different depending upon the closing, whatever happens at the closing time, but it should be in this range.
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As far as the Shubham business is concerned, we are looking at more Shubham from a revenue perspective or more or more from a profit I can give you both. As far as Shubham business is concerned, H1 '25 we've done around INR62 crores, a growth of 10%. And on an overall basis at a PBT level, we have become positive. The margins are closer to INR1.3 crores on a Q2 basis and half-year basis, around INR7.8 crores. So margin of around 28% and a top line growth of 10% as far as Shubham is concerned for first half.

On the Indore front, we have not done much sales in Q2, given that Q2 has always those challenges and all of that, but we expect sales to improve significantly in Q3 and Q4. We are expecting the OC of the last building to come anytime in the next 1 month. In addition, once that happens, we should be exiting Indore fully in the next 2 to 3 quarters itself. We're seeing healthy traction there, and we believe that, that would definitely be possible.

Amit Anwani: Sure, sir. And just to reconfirm, are we maintaining our guidance given during Q1 on revenue front because I can see H1 is about 5% revenue growth and H2 ask rate is quite high? So that is

one. And second on PBT, last time we guided 4.5% to 5%. So are we maintaining this guidance for consol level?

Manish Mohnot: So at the PBT level, we definitely believe that we should be in that range what we have guided for an annualized basis. At a revenue level, we've seen some challenges in the water business, and that could impact some of our guidance on an annualized basis. Although on the next 2 quarters front, we are pretty confident of a very healthy growth.

Amit Anwani: Sure. And lastly, on international T&D, you said there's been a pretty strong development there. Any specific geographies where you are sensing this because we are seeing geopolitically, things have been unstable. So just wanted to understand which geographies in international market for T&D and other businesses are really becoming fruitful now?

Manish Mohnot: For KPIL, I think our opportunities on the international front, primarily a lot more in our 2 subsidiaries, which are Linjemontage and Fasttel, which are doing extremely well, driven by Sweden, driven by the Nordic and the Brazilian market. We continue to stay bullish on the CIS and Americas market also where we today have leadership position with projects across Chile, Guyana, Suriname, all of that.

Finally, we are seeing good traction in Africa and Middle East also, although we are not so much bullish on Middle East in the T&D business driven by profitability constraints, but we are seeing good opportunities coming up there also. So if you ask me priority-wise, Europe continues to be the first. Latin America continues to be the second, driven by Africa and then Middle East.

Amit Anwani: Thanks for taking my question and all the best.

Moderator: Thank you. The next question is from the line of Ashish Shah from HDFC Asset Managers. Please go ahead.

Ashish Shah

h: Hello, good morning. Sir, just had a couple of questions. One, on the Water business, you did say that the first half was slow because of the water, collections being delayed. How are things Kalpataru Projects International Limited
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looking on the ground now? Has the government started disbursing the money and releasing payments? And are you seeing an improvement as we speak on the ground on Water side?

Manish Mohnot: Good morning, Ashish, we have significant presence in 5 states. I'm not getting into the detailing of each of the states, but I can say out of the 5 states, 3 states we have seen good traction in the last 15 days, where more than 70% or 80% of whatever was billed has been paid. However, the other 2 states, we're seeing zero traction, right. So with the other 2 states we have a huge amount which is outstanding for more than 180 days. Therefore, we believe they would, it should change soon. One of the states is just going into election, and one of them, we've seen a government change, which happened 3 months ago. So we are working along with the states.

If you personally ask me, maybe it might take 2 to 3 more months for those states to come back to reality. But the 3 states, which is more than 70% of our order book, we have seen traction coming back. And to that extent, at least you'll see delivery improving in Q3. But are we back to, let's say, normalcy across the entire business. The answer would be no as of now.

Ashish Shah: Okay. So would you expect this business or this segment to end at a similar level as last year or it may be actually lower?

Manish Mohnot: So our own drive is to make sure that at least we grow slightly as compared to last year, right. It's good for the division. It's good for our employees. It's good for the organization as a whole.

That's the drive. But realistically, if collections don't improve, right, after a point, it will be difficult for us to keep on pumping cash flow to continue delivery. But, yes, as of today, our internal drive is to make sure that they at least do minimal of what they did in the previous year.

And as an organization we're driving towards that.

Ashish Shah: Right, sir. And also on the Oil and Gas business, the big pipeline contract that we have now, how do you see that shaping up in terms of the development cycle? When do the revenues hit the P&L? And how would you expect that contract to flow through our numbers?

Manish Mohnot: Ashish, the revenues have already started hitting our P&L and at least our revenue and not profit till now because we do not recognize profit till a project which is 10% of its revenue. But on the revenue front, we've already seen Saudi Aramco coming in. Execution on the ground actually started on all the key projects which we've got. The team is fully there, the equipment have been mobilized, and more than 50% of the design is already done. So if you ask me as of now, the traction has started.

What would be the peak? The peak would be next year, the entire 2025-26 in terms of delivery. But in terms of revenue visibility, we've already seen that. That is why you see a 170% plus growth in Q2 in the Oil & Gas business. And you see that similar traction going on in revenue for the next 4 to 6 quarters.

Ashish Shah: Sure. And just one last thing. On the domestic T&D pipeline, obviously, you've indicated that a lot of your L1 orders are from the domestic T&D. How is the margin outlook for some of these orders? Is the competitive

environment still benign as it used to be, and we are able to get these orders at a good margin?
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Manish Mohnot: Ashish, compared to what we have seen over the last 5 years, the margins are much better. It might not be those days which were there 15 years ago, right, of 15% plus, but definitely, we're reaching that double-digit margin

as far as T&D is concerned. It's a very healthy visibility today. And given the kind of work, which is available, I think there's enough work for everyone whoever is in this field. So it's not a competitive drive, it's your ability to deliver, which defines what work you can take. So today, margins are improving, visibility is good, and competition is what it is. There's so much visibility that I don't think competitive intensity would change the margin profile.

Ashish Shah: Thank you, that's all, and I wish you all a very happy Diwali. Thank you.

Manish Mohnot: Thank you, I wish you and your family a very happy Diwali.

Moderator: The next question is from the line of Subhadip Mitra from Nuvama. Please go ahead.

Subhadip Mitra: Good morning, sir, and thank you for the opportunity. Thanks for the comments that you mentioned on the overall order inflow and margins. My understanding is that you are clearly focusing more on execution and margins given that there is ample order inflow to be had. So just to focus on the order inflow piece, right? Given that you have a larger component that's coming from the India business, are you looking at very large chunky orders, which would potentially come from the 2 or 3 HVDC projects which are currently under tendering? And what kind of potential TAM can you build in for yourself?

Manish Mohnot: So we are already L1 in 1 large HVDC project, which has 2, 3 specific components of that project, a substation and a couple of transmission lines. We're already L1 in that, and we expect that order to come in any time in the next 2 to 3 weeks itself.

Going forward, yes, lot of HVDC projects we are bidding along with Powergrid and along some of the private sector players. We do believe that we should be getting some more orders getting into the next 2 to 3 months. I do not understand the meaning of chunky, but for us, any order which is above INR500 crores with a reasonable margin, with a double-digit margin is as good as anything else. So to put it differently, we definitely believe T&D order book will further go up in the next 6 months. We definitely believe we'll have some more orders coming in the HVDC space. The orders would be in the strength of INR500 crores to INR700 crores individual orders, could even be slightly less. And the next 6 months clearly looks like T&D domestic on the order front on all aspects.

Subhadip Mitra: Understood. So if I heard you correctly, I think you mentioned that each of these packages would be around INR500 crores to INR700 crores. And typically, if an HVDC project is worth, let's say, INR15,000 crores to INR20,000 crores, would it be right to assume that roughly 50% of that is what falls in the EPC bucket?

Manish Mohnot: Yes, I think it might be different. Including substation at times, it could even be more than that. But if you remove, for example, the transformer side of it, the HVDC instruments which are
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given, which are bought directly by Power Grid, then 40% to 50% would be EPC is the right estimate, including substation.

Subhadip Mitra: Understood. And in this specific HVDC bucket, my understanding is that there are very few qualified EPC competitors, right? So probably maybe 3, 4 or 5 players. So would there be a possibility of naturally seeing better margins given limited competition on a large TAM?

Manish Mohnot: I think, there are 2 aspects, I repeat to what I said earlier, that competition is healthy, and we're happy with the healthy competition given that we have advantage on everything right from supply chain to design to delivery. As far as improvement in margins is concerned, definitely, that's the intent. But let's be very clear that whoever the developer, they also compete in a TBCB environment. So you cannot expect unrealistic margins because suppose you try with a developer, and he loses, and he loses

the EPC projects. So, yes, margins are going to be healthy. They will improve, but they will not be unrealistic because it's a competitive market.

Subhadip Mitra: Understood. So you did mention in earlier comments that you were looking at close to double-digit margins at least in the T&D segment. That's more or less what we should assume?

Manish Mohnot: Yes, for sure.

Subhadip Mitra: Perfect, sir. Perfect. That is understood. My last bit is on the international orders, especially the

large chunky orders that you saw from Middle East earlier in the year. Given where hydrocarbon prices are headed currently, is there any risk of a slowdown in terms of, let's say, incremental ordering or even execution of existing order book from the Middle East exposure?

Manish Mohnot: Today, we are largely working in the Oil & Gas from the Saudi Aramco order, right? We have started work on that entire -- all the 3 packages which we have. There obviously could be some changes in the value there, right? That's driven by the nature of the business. But the size of the order itself is so big for us that at least from the next 18 to 24 months perspective, we have our hands full. We're already qualified and now we're there in Aramco, we're there in a few more countries in Middle East Oil & Gas business.

We're seeing good traction there for various reasons, one, because the capex in majority of the countries is on the up drive. Second, there are limited players globally who are doing this kind of projects. So I'm not so much worried about getting in orders there. And at the current environment and the current speed things are happening, I think delivery in terms of projects will also not be a challenge.

Subhadip Mitra: Understood sir, thank you so much for answering my questions.

Moderator: Thank you. The next question is from the line of Vaibhav Shah from JM Financial. Please go ahead.

Vaibhav Shah: Thanks for the opportunity. Sir, firstly, when do we expect the cash inflow to come from the VEPL deal?

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Manish Mohnot: So there are a lot of approvals which we need to take. Right now back to the authorities and to a lot of other agencies. We ourselves believe it could be anywhere between 6 to 9 months. We'll work hard to see if it can happen before March. But realistically, it would get into FY'25-26.

Vaibhav Shah: And what would be the usage? So will we repay the debt in the other 2 assets, the third-party debt?

Manish Mohnot: It is primarily for working capital.

Vaibhav Shah: And what could come in for the standalone company after repaying those third-party debt?

Manish Mohnot: I think out of the enterprise value of INR775 crores, the external debt is closer to INR350-odd crores. It's closer to INR300 crores if I'm not mistaken. So the balance should come to the company. So if my team is correcting me...

Manish Mohnot: INR260 crores is our external debt and everything else should come to the company.

Vaibhav Shah: Okay. Sir, secondly, you mentioned that you want to do a QIP of INR2,000 crores. So what could be the usage of those funds? And when are you targeting to do the QIP?

Manish Mohnot: I think the Board has yesterday approved that QIP process and now we'll be going to the shareholders for approval. The primary reason for the QIP would be utilizing it for working capital for the growth, which is visible now. We are not in a position to give you the timeline right now, except that the Board has approved it and we'll be going to shareholders for approval. And the value of the QIP is INR1,000 crores and not INR2,000 crores. I think what has been approved is up to INR1,000 crores.

Vaibhav Shah: Yes. Sir, and lastly, on the revenue guidance front, we had mentioned 20% plus kind of growth in the previous call. So can you give a particular number right now, what can we built in for the entire year for FY '25 on the

stand-alone basis?

Manish Mohnot: So given the current challenges we have on our Water business where it was very different when we started the year versus what it is today, becoming difficult for us to give guidance in totality.

As I mentioned earlier, all our businesses except Water have done 20% plus in the first 6 months, except Water and Railway. I believe those businesses will continue to do well. I also believe that Q3, Q4 will be much better than what we have seen in Q1, Q2.

But given the current volatility of that situation in the Water business, I'm not able to give you indicative number, but I definitely believe that we might not be able to achieve what we had targeted at the beginning of the year. We would be slightly lower than that.

Vaibhav Shah: Okay. And sir, you had mentioned in the PPT that around INR40-odd crores funding we have done for the road portfolio in first half. So what would be the number for the entire year? And what would be the same for the next year as well, given the cash inflows would be coming maybe in first or second quarter next year?

Manish Mohnot: I think we have targeted for around INR75 crores of inflow in the current years. And where we stand today, I believe we should be at similar numbers plus, minus INR5 crores to INR 10 crores.

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As I mentioned earlier, this entire majority of this amount is going to repay the debt because all projects, the debt will be repaid over the next 3 years max. So it's only a timing mismatch more than anything else. So I think we will stand at a budgeted number of INR75 crores and should be in that range as far as road projects is concerned.

Vaibhav Shah: And for FY26?

Manish Mohnot: Our FY'26 numbers, we have not yet articulated those numbers. But in case the deal happens, obviously, the numbers would in case the cash flow comes in, which we are hoping it will, the numbers will reduce significantly. It would be opposite, right. The funding would come from them to us.

Vaibhav Shah: Okay. And sir, lastly, over a longer time frame, what kind of EBITDA margins are we targeting?

So currently, we are roughly around 8.5% on EBITDA on a stand-alone basis. So what could be our target over the next couple -- 2 to 3 years in terms of margin expansion?

Manish Mohnot: So I think clearly, we have articulated in the past also that we are more focused on PBT margins now. And I think that margin, we definitely expect to improve by at least 25 to 50 basis points getting into the next year and that's what similar you see at EBITDA level. I think the more important thing is also to look at the consol margins, right? Because today, consol business has a significant business which comes from our core T&D in Sweden, core T&D in Brazil, our Chile subsidiary, a lot of them.

So I think it's important going forward that to look at the consol numbers also where margins have reached EBITDA margins closer to 9%, and I believe that number should only go up because there are no surprises left on that margin anymore. So on a consol basis, I think the number should go above 9% sooner than later. On a stand-alone basis, I think you'll slowly see margins improving with a clear 25 to 50 basis point improvement coming into the next few years.

Vaibhav Shah: Okay. Thank you, sir. Those are my questions.

Moderator: Thank you. The next question is from the line of Deepak Krishnan from Kotak Institutional Equities. Please go ahead.

Deepak Krishnan: Just wanted to check the Q-o-Q increase in our finance costs when our sort of debt levels have gone down due to improved collections. Any FX or any other factor that has caused our interest expense to increase on a sequential basis?

Manish Mohnot: No I think it's primarily driven by 2 aspects. One is our borrowing was significantly higher for the first 2 months of the quarter. As I said earlier, the Water money star

ted coming in later part

of the quarter. Second, interest cost has been slightly higher driven by customer advances where interest rates are more in the range of 9% to 10%. And given our improved order book, we have advances also which has slightly gone up.

But as I said earlier, on an annualized basis, we're still targeting our interest cost as a percentage of sales to be below 2% with net working capital as a percentage. So it's only a timing issue of Kalpataru Projects International Limited

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Q2, and I expect this to improve getting into Q3 onwards. On an absolute amount, obviously, with the growth, the interest cost has gone up, right, as it was expected because it's slightly higher than the revenue growth, but timing issue more than anything else.

Deepak Krishnan: Sure, sir. And maybe just from a revenue perspective, I think we understand this year, water has been slightly slow, and we may be lower than the 20% number. But given that the backlog is closer to INR60,000 crores, should we see a sharp uptick in '26 and '27? How are we looking at it ex of water if you look at all of it? How do we see growth beyond the current year as well?

Manish Mohnot: I think the current order book clearly gives us good visibility even for next year in terms of very good growth with improved margins. I would not like to quantify that growth at this stage given that we still have the next 5 to 6 months to build an order book or to get into a definitive situation on various aspects. But with the current order book visibility, I think a healthy growth with improved margins is visible for sure.

Deepak Krishnan: Sure, sir. Those are my questions.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Hi, Manishji. Congratulations on a decent quarter, sir. So my first question is on the domestic T&D. So you said that there's L1 sitting in your order book on HVDC side. So if you can quantify that? And what is the HVDC pipeline right now?

Manish Mohnot: So in the domestic business, we have L1s closer to INR5,000-odd crores, as I said earlier, around INR5,500 crores. And HVDC of that would be closer to INR3,000-plus crores. It's in front of me, it's closer to INR3,000 crores, including the substation business. So out of the INR5,500 crores, INR3,000 crores plus is HVDC, where Powergrid has already won reverse auction or the TBCB bid, and they've got clearance from the government to go ahead with the project. So we expect the tender awards to come in any time in the next 2 to 4 weeks.

Going forward, there are a couple of large HVDCs under bid now. I think the value would be in the range of INR15,000 crores to INR20,000 crores, all this happening in the next couple of months itself. We are working, as I said earlier, with Powergrid and with some private developers on those projects. I will not be able to quantify our scope of what we are working on given the confidentiality at this stage. But definitely, in the next 3 to 4 months, I think the tenders were at least INR15,000 crores to INR20,000 crores in HVDC, which are to be bided under REC and PFC.

Parikshit Kandpal: Okay. So what is the name of this project? Is it the Khavda-I or which one what is this project?

Manish Mohnot: Yes. This is Khavda.

Parikshit Kandpal: Okay. And the other question, connected question is beyond the HVDC pipeline which may be very healthy for this year. So how do you think would the next year look from the HVDC side and beyond HVDC, what are the other transmission opportunities in domestic, if you can quantify it?

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Manish Mohnot: See, I think the entire environment on T&D has changed significantly in the last 6 months. This is by a lot of aspects. I can remember the first aspect has been a refocus on thermal power

generation where you can see a lot of tenders coming by NTPC and other private sector developers on coal, the mega tenders coming in for which they will require the capacity to make sure that the delivery happens. Second, strengthening of the HVDC which will continue going into the next year or so.

Third, looking at projects, which are coming in Northeast as well as Jammu & Kashmir and fourth is strengthening of the system itself. I'm sure you would have seen the NEP which just came up last month where they have clearly said that the transmission capacity need to improve by around 40% in the next 5 years to what it is today. So given that I think visibility looks very good and it's only about making sure that we can deliver on the stringent timeline because today majority of the projects are 24 months to 36 months. There's nothing beyond that. And that's more important for us to ensure that we deliver on stringent timelines.

So for me, the next 2 years clearly looks like a very big bullish time on T&D domestic, driven by all aspects which I mentioned earlier. We could easily see orders about INR50,000 crores to INR60,000 crores only for EPC T&D coming in only on these three, four states besides the state level orders, which will be different. So we continue to stay very bullish. It's completely opposite to what it was in the last 3 years where you would have heard me, I used to say that in the T&D business, if it does 5% to 7%, we'll be happy. But now I'm saying that business definitely can look at a 20% plus growth at least from a 3-year perspective, if not beyond that and with improved margins.

Parikshit Kandpal: Got it. So what is the timeline of this HVDC execution? I think you said in the next couple of weeks or 3 weeks, you will get the order. So from then, how much time do you need to complete?

Manish Mohnot: I think majority of these projects are 36 months to 42 months. Part of it is substation which will be slightly low, but otherwise 36 months to 42 months.

Parikshit Kandpal: Okay. Sir, second question is on the fundraise, you have announced INR1,000 crores fund raise.

So now if I look at the context, so you have monetized, announced a deal, wherein you will get some money. You have claims upwards of INR300 crores which may get realized over the 2 years. So roughly after repaying everything, you still have INR750 crores to INR800 crores and then Indore adds on top of it. So you will closely touch about INR900 crores to INR1,000 crores of inflows in next 2 years.

So what are you seeing? Are you seeing a deterioration in net working capital in the near future because even a growth of 15% to 20% I think you will still be NWC positive in a scenario when you are looking at going below 100 days. So what is driving this fundraise? It's just that the market sentiment is favourable. That's the reason you're looking at it or so how do we read into it?

Manish Mohnot: So I think it is a very good question and this was the exact question which the Board raised yesterday and good to spend a few minutes on this. I think first thing is that it's important to understand that majority of the business where we are, are capex intensive in nature. And look

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at what we have done in the last 3 years, we've done INR1,500 crores cost of capex out of our free cash flows. 30% to 35% of our free cash flow has gone only capex in the last 3 years, around 40% has gone in working capital and the balance 30% has gone as dividend and interest payment and all of that.

So I think when we look at the next 3 years, given the healthy order book, we realize that it's a

combination of three to four things which we need to take care. First is the capex because without capex, a lot of projects might not be delivered whether it is B&F whether it's Oil & Gas, Saudi where you need equipment's, whether the inte

rnational transmission line requirements where you have to spend because there is no capex base in those countries or whether it's a plant expansion.

Our capacity of around 220,000, 230,000 tons we might need to revisit that to look at an expansion there also. So it was first driven by a requirement of saying that how much do we need in terms of capex to make sure that the healthy growth continues. Second, the reality also is that while we've been able to manage working capital, it's becoming more intense because a lot of projects are now milestone-based payments which are back dated. We always have the 10% retention, but we also have milestone-based payments. So given that also, it was important to make sure that given the growth phase for the next 3 years, we have enough liquidity with that. Third, the timing of all that cash flow which you said could be 9 months, could be 12 months, could be 15 months because they depended on external factors, while we work hard to get it. Because remember the same projects we have arbitration also which we have won that we have declared in the last two quarters. Now obviously we have arbitration award to be taken from the client and we go to them for NOC and approvals, it is not going to be an easy journey. Yes, we want to walk through it, it's not going to be an easy journey. So to that extent there is a timing issue which would also be there.

And fourth, given the current environment we believe that better to be on the right side of the banking environment with stringent norms on a lot of ratios. As such it's better to be on the right side of all the ratios from banking environment and this would help us achieve that also and fifth and the most important last QIP we did in 2010. And from 2010 to now, the organization has grown more than 15x through internal cash flows. So I think it was a mix of all of five, six of them which drove back. The market has been like this for the last 12 to 18 months. So it's not driven by externally the market sentiments. They are there to help for sure. It was a mix of the four, five things.

Added to that, clearly, we have opportunity of acquisition also in the manufacturing space within where we are. We're not going to diversify anything. And that's something which we have not looked very closely given that all the cash flows were already block for working capital and capex. So I think it's a mix of all of those five or six things which help us to say that what do we do. And that's why the Board approved saying that this could be a good step looking at 3 year, 5 year perspective.

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Parikshit Kandpal: And sorry you said manufacturing, into manuf acturing. Sorry, your voice was a little bit -- was not...

Manish Mohnot: Yes, manufacturing opportunities within the sectors where we are. There's no diversification but getting into the value chain with in that. So our plants, we are already doing staging and shuttering, we are doing girders, we are doing our T&Ds. We could do a lot more in oil & gas. We could do a lot more in water. We could do a lot more in urban infra.

Parikshit Kandpal: So what do you mean by manufacturing then? I mean is it like you're looking at something on the solar side or the conductors, I mean, looking to increase set of conductor capacity. So what do you mean by manufacturing?

Manish Mohnot: So right now our focus is within the steel sector, within the steel vertical or I would say within the fabrication, galvanizing and high-end fabrication sectors is what our focus is. So let's say the railway girders, the staging shuttering which we use for B&F, the pipes for water where welding is required; oil & gas whatever is required. So those things can potentially be manufactured in the plant at Raipur where we have huge land available with us and that's an expansion which we could look at. We've not zero

ed down on anything as of now. But this is a possibility which we could look at, but it is within the value chain of the businesses where we already are in. And I again want to remind you, majority of this plant expansion would be for our own EPC business.

Parikshit Kandpal: Not into conductors and setting up a conductor line? I'm asking you, are you also looking to set up a conductor line like some of the peers are doing conductor for backward integration and also to sell in market. So you have tower capacity. So looking at setting up -- you have any plans to set up conductor capacity as well?

Manish Mohnot: We're not looking at that opportunity as of now, but I do not know how things turn up in the future. But as of now, we're not looking at that.

Parikshit Kandpal: Okay. And just lastly, sir, any exposure to Bangladesh? I think you were doing something on the power evacuation site for the Rooppur power plant. So anything there, any update on that?

Manish Mohnot: On the power transmission side, we had completed the projects 2 years ago. We have a small retention which is pending, but since it's funded, we do not believe a challenge in getting that money. On the railway side, we have a project which is on which is funded by EXIM where it's in JV along with Afcons we're doing that project. Again on that project also we are cash flow positive, and I do not see any challenges on that project also.

Parikshit Kandpal: Are you've been getting payments after the change in government there? Are you seeing any delays, or the payments are on time or has the work stopped or restarted? So any update on that?

Manish Mohnot: So we've not, so we first had to remove the entire deal which was done when all this happened. Now the teams have gone back in the last 2 weeks. We've obviously not made any invoices because last 3 months, we've not done any work. So I think the teams have just gone back and I believe Q4 onwards the revenue should also start, and collections should also start because they're all funded by EXIM. So I do not see a challenge in that in any form.

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Parikshit Kandpal: Okay sir. Thank you and wish you Happy Diwali.

Manish Mohnot: Thank you. Wishing you also a very Happy Diwali.

Moderator: Thank you. The next question is from the line of Ashwani Sharma from Emkay Global Financial Services. Please go ahead.

Ashwani Sharma: Yes, thanks for the opportunity. Most of the questions of mine have been answered. Just a couple of things. One is that if you can comment, Manish, sir, on the tendering on the metro side. How are the activity over there? Secondly, on the water side, we understand this year, it is a little bit of challenging, how do you see pipeline in FY'26 and thereafter? Yes, those were my questions.

Manish Mohnot: Sure. Let me first answer the water side. And on the metro side, I will ask my colleague, Amit to answer. On the water side, clearly, as I mentioned earlier, the first 6 months, we've not seen many tenders come out. So post elections, what we were expecting a lot of tenders, they have not come up. We believe it's only a timing issue because as far as the Jal Jeevan Mission data is concerned, there's a lot more which needs to be done at a country level.

So current year, maybe it could be subduced in terms of tenders. But getting into next year, we believe that those tenders should be back in every form. On the metro side, I would request my colleague, Amit Uplenchwar to just respond to this question.

Amit Uplenchwar: So today, so far as metro business is concerned, if you look at our population and our usage of metro per person compared to most of the other countries like China, US, and all that, we are far, far behind. Now that there is no other option as most cities that cross 25 lakhs to 30 lakhs in terms of population, mobility is becoming a huge problem.

And now that barrier is gone

ne. Most of these are funded projects by JICA, EIG, ADB, etcetera, and they see that as a long-term stable sovereign guarantee from the Indian government to lend at very, very attractive rates. We've got this metro in Nagpur, which we've just become L1, it's a 17-kilometer elevated metro.

So the size and scale of these metros are becoming large in individual packages, which make them very attractive for large players like us because the sensible competition prevails there with 5 or 6 people who are all similar kind of peer groups. There is now a metro coming in Lucknow, Delhi, Bombay, Pune, all of these cities with a mix of underground and aboveground metros, Kolkata, are expanding.

So I think from the next 2 to 4 year perspective, we already have visibility of which metros are coming, and then we believe it's an attractive business to be in.

Ashwani Sharma: Sir, I just want to understand, is there any slackness in the current year as far as tendering is concerned? Is there a slowdown?

Amit Uplenchwar: Typically, unlike a transmission, a metro takes a long time from a bid to an award cycle because, one, they have to go to their funding agencies and multilaterals for approvals, etcetera, at every

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stage. So that adds time to -- from tender to award. Also, second, the time required for bidding because these are very, very complex projects in terms of engineering during tendering phase. The entire tendering period also is much longer than conventional projects in other businesses. So while there is -- so a number of projects that have been announced this year, they've been a little slow because of government and a lot of code of conduct, etcetera. But I think next year onwards, as the cycle picks up, you'll have 5 or 7 bids across various metros at any given time going on.

So I think that little sluggishness that could have been there this year was not because of demand,

but because of elections, etcetera, should ease out.

Ashwani Sharma: Okay. And last question, Manish, Ji sir, at a company level, how do you see supply chain? Have we -- has our supply chain fully completely improved? I mean it's at a pre-COVID level or still we are facing some challenges?

Manish Mohnot: I think we're back to what we were at pre-COVID, if not better than that with a lot of people expanding their capacity also. We still have some challenges in some equipment's, but that has reduced from a scale of, say, I would say, to 2. Yes, at times, the global uncertainties do impact us, the entire thing what happened at Red Sea and all of that. But again, it's just a timing issue, a few months here and there, but we are back to no malady in 9 out of 10 basis, if not 10 out of 10 basis.

Ashwani Sharma: Okay, sir. Those are my questions. Thank you, very much.

Moderator: Thank you. The next question is from the line of Anuj Upadhyay from Investec. Please go ahead.

Anuj Upadhyay: Yes, hi. Thanks for the opportunity. Sir, it's a follow-up on the INR60,000-odd crores of opportunity you referred on the T&D space. So this is spread across over the next 2 years kind of a time period. And with such a scalability of opportunity, how do you see the competitive intensity out here? Just to get a sense on how the margins could be across this project because the overall market size has scaled up significantly?

Manish Mohnot: As I said earlier, the competition in T&D continues to stay healthy. And to me, actually, the competition is healthy across majority of our businesses except railways, right. And healthy competition is always good for everyone. Everyone in the sector, everyone in the business, it's good for them. As I mentioned earlier, while we definitely see margins improve from what we have seen in the past.

But it can't go beyond a point because whoever the developer you are writing with, they also TBCB environment have to fight ag

ainst the large developers. So yes, the margins are more than that. They have reached a particular level. Personally if you ask me, look, significantly higher from there, my answer is no, because it's still a very competitive environment, both at TBCB as well as EPC level, but it's healthy competition.

Now, you don't see differences in tenders which are like 20%, 25%, 30%. You now see differences which are more 2%, 3%, 4% and healthy competition is very good for all of us.

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Anuj Upadhyay: Got it, sir. And this INR60,000 crores opportunity you referred is over the next 2 years' time period because last week, one of the developer -- asset developer had referred that close to around INR1 lakh crores of bidding is scheduled to happen over the next 6 to 7 months kind of a time period. So just wanted to get sense that 60,000 you referred was...

Manish Mohnot: I believe this could happen in the next 12 months itself. I said INR50,000 crores to INR 60,000 crores on an annualized basis for the next 3 years is visible. So this is INR 50,000 crores to INR 60,000 crores on an annualized basis minimum. I think it could be higher than that. But on an annualized basis, it's not for 2 years. It's on an annualized basis.

Anuj Upadhyay: That's helpful, sir. And lastly, on the pledge share, sir. In the last call, you had mentioned that probably the percentage of the promoter share might come down to a single digit. So any thought or update on that front?

Manish Mohnot: No. I think you've got the wrong words. I never mentioned the single-digit word, right. I was very clear what I mentioned that they would come down below 30%. Right now, they're at around 23.46%. Clearly, the intent is to continuously reduce it, and we believe that over a period of time, this will come down. But overall with history of this pledge, 18 years I've been with the organization, it's always been in excess of 30%. Now they're at 23%, and this will continue to go down.

Anuj Upadhyay: Got it, sir. Thanks for this. And wish you all a very Happy Diwali sir.

Manish Mohnot: Thank you very much. Wishing you a very Happy Diwali.

Moderator: Thank you. The next question is from the line of Parikshit Kandpal from HDFC Securities. Please go ahead.

Parikshit Kandpal: Sir, thanks for the follow-up. Sir, my question is on margins. If I go a little back in the history, so three, four quarters back, I mean, you were more confident on doing a double-digit margin. Though your commentary on segment-wise margins improvement are reaching double-digit even in domestic T&D sounds to be positive, but the signalling on the blended EBITDA margin at the stand-alone level, it doesn't look like you are guiding for double-digit margins. So why is that? And is that now the peak margins could be 9.5x?

Manish Mohnot: So Parikshit, as I said earlier, I would be happy to guide margins at the PBT level given that our leveraging issues are very different. I definitely believe margins would go up, right? I'm not exactly quantifying how much going into the next year. Currently, we've given a range of 4.5% to 5%. Next year, definitely, I see 25 to 50 basis points going up. It could further go up depending upon how activities happen

across some of the sectors where we have been, last six months, we've seen some challenges.

So I can confidently say, moving up with a healthy top line growth. Would it reach 10% in the near future, it could be difficult. But maybe from a two-year perspective, we might be back there where we were at some point of time. Difficult in the current year and even the next year. Yes, on a consol basis, we would be driving our margins to reach that over the next 12 to 18 months itself, if not earlier than that.

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Standalone could take some more time. And Parikshit it's important

for us to realize that for us

now consol business is equally important. In my T&D business, there is more than 25%, if not more than 35% of my revenue which comes from the consol operations, whether it is looking at Sweden, whether it's Brazil, whether it's Chile, whether it's Saudi, all of that.

So I think we should be looking at both of them. So on an EPC business, consol could take some time, but we are in that direction.

Parikshit Kandpal: Okay. And just one more question on the clean energy side. So any plans of doing anything on the solar or hydrogen or battery storage either on the EPC side or the manufacturing side or hydrogen side. So any color on that over the next two, three years, how are you thinking this entire clean energy thing because it aligns with your T&D segment and the energy segment, which is a part of the order book?

Manish Mohnot: So on the renewable side, we have done a few projects already on the international front, not in the domestic front. We have built a team where we continue to explore opportunities on solar at the international front. As far as the other businesses whether it's green hydro, battery storage all of that. But we have small teams which are looking at it. But in the near short term, I do not see much happening on that front.

But from a three-year perspective, we definitely look at opportunities there. Also today, Parikshit for us, given the huge order book and visibility as I mentioned earlier, right, 60% of our cash flow generated goes in working capital and capex. I think from a two to three-year horizon, we have enough on our plate. While we say so, we continue to explore some opportunities in this space and at the right time, we will announce that to everyone.

Parikshit Kandpal: Thanks. And are you now open to do any equity intensive projects something like a Solar KUSUM or something or you will stay away and continue to focus on EPC only?

Manish Mohnot: No, I think we will continue to focus on the EPC business, and that's our big focus as of today.

Parikshit Kandpal: Okay, sir. Sure. Thank you.

Manish Mohnot: Thank you.

Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to Ms. Bhoomika Nair for their closing comments.

Bhoomika Nair: Yes. On behalf of DAM Capital, I would like to thank the management for giving us an opportunity to host the call. And wishing you all the very best and a happy Diwali as also to all the participants. Thank you very much, sir.

Manish Mohnot: Bhoomika, wishing all of you a very happy Diwali. Thank you, everyone.

Moderator: On behalf of DAM Capital Advisors Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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Q3 FY'25 Earnings Conference Call "
February 14, 2025

MANAGEMENT : MR. MANISH MOHNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. S.K. TRIPATHI – DEPUTY MANAGING DIRECTOR

MR. SANJAY DALMIA – EXECUTIVE DIRECTOR

MR. AMIT UPLENCHWAR – DIRECTOR GROUP
STRATEGY

MR. RAM PATODIA – PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to Kalpataru Projects International Limited Q3 FY '25 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you, and over to you, ma'am.

Bhoomika Nair: Yes, good morning, everyone, and a warm welcome to the Q3 FY '25 earnings call of Kalpataru Projects International Limited. We have the management today being represented by Mr. Manish Mohnot, Managing Director, and CEO; Mr. S. K. Tripathi Deputy Managing Director; Mr. Sanjay Dalmia, Executive Director; Mr. Amit Uplenchwar, Director, Group Strategy; and Mr. Ram Patodia, President Finance and CFO.

I'll now hand over the floor to Mr. Mohnot for his initial remarks, post which, we'll open up the floor for Q&A . Thank you, and over to you, sir.

Manish Mohnot: Good morning, everyone and thank you for joining our earnings conference call for the quarter ended December '24. I will start with a quick update on the operating context, followed by the key highlights of the quarter.

The operating environment continues to be laden with challenges related to labor shortage, geopolitical issues and stretched working capital in the Water business. In this backdrop, we continue to focus on scaling up our execution and improve our competitive position. I'm happy to share that we have delivered a strong performance for Q3 '25 with robust revenue growth, healthy margin levels, record order inflows and noteworthy improvement in working capital.

In Q3 '25, we have delivered a consol turnover of INR5,732 crores with a Y -o-Y growth of 17%. Similarly, at the stand -alone level, revenue growth was 16% for Q3 '25. The growth in revenue was led by strong execution in healthy order backlog within T&D, B& F, and Oil & Gas business.
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In Q3 '25, T&D business delivered strong growth of 42%, B&F business was up by 26% and Oil & Gas reported Y -o-Y growth of 123%. The sluggishness in the Water business has led to an impact on the overall growth. Collections from JJ M projects continue to remain slow. However, with the recent announcement in the Union Budget for 100% tap water coverage an allocation of INR67,000 crores for FY '25,'26, we expect speedy

recovery in collections and improved execution in coming quarters.

Our EBITDA grew by 13% at consol level and 17% at stand -alone level in Q3 '25. Our EBITDA margin for Q3 '25 remains healthy at 8.4% at consol level and 8.3% on a stand -alone basis. Our consol PBT grew by 5% Y -o-Y to INR202 crores. At stand -alone level PBT was up by 12% Y -o-Y to INR218 crores with a margin of 4.5% for Q3 '25. In Q3 '25, we faced some constraints in margin improvement due to lower revenue in the Water business. The depreciation of the Brazilian real impacting USD -denominated loan in Fasttel, and higher maintenance spending on road SPVs.

We continue to remain on track to improve our margin going forward. Our net debt at consol and stand -alone level have come down significantly both as a resultant of QIP and efficient working capital management. Consolidated net debt declined by 27% Q -o-Q to INR2,694 crores. And stand -alone net debt is down by 35% Q -o-Q to INR1,820 crores as of 31st December '24. Our net working capital days decreased by 6 days Q -o-Q to 112 days at the stand -alone level while at the consol level net working capital days was down by 4 days to 94 days. We managed to keep our finance cost as a percentage of sales at around about 2.2% at the stand -alone level despite significant capital employed in the Water business. This very well indicates our focused approach and ensuring robust working capital management and maintaining a strong balance sheet.

We continue to focus on improving our competitive position with an equal weightage and ensuring that fundamentals of our business remain strong. The strength in our business model is underpinned by a diversified business profile, disciplined capital management and proven execution capabilities for large size EPC projects. The same is reflected from the solid response which we received to our QIP issue in December '24. Our QIP saw participation from marquee domestic and international investors.

On the order inflows front, we have secured orders worth INR20,185 crores , including the INR824 crores announced yesterday. Additionally, we have a healthy L1 position with over INR2,500 crores, mainly in the domestic T&D business. Majority of these order wins in L1 nearly 80% to 90% are our flagship T&D and B&F business, which gives a reasonable confidence of the execution and improved margin levels going forward.

Notably in Q3 '25, we have strengthened our competitive position by securing prestigious order in the HVDC space. Major order win is Sweden, last size B&F orders from a reputed developer and further expanding our reach in the metro rail segment with securing orders of Nagpur metro.

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On the capability front, we achieved first breakthrough from our Tunnel Boring Machine (TBM) in the Kanpur Metro Line 2 project. Additionally, numerous mechanization and technology initiatives on the civil construction side are helping us to improve our productivity and lead time for slab casting.

We continue to invest in capex in-line with robust order backlog, improved business visibility and our philosophy of owning our own construction equipment in order to be competitive and have better control on execution.

Coming to the order backlog. Our order backlog has record high of INR61,429 crores as of 31 December '24. We have a fairly diversified order book, providing us with good visibility of execution and growth going forward.

We remain positive on the opportunity pipeline in power transmission, residential, commercial building, airports, metro rail and international Oil & Gas projects. Moreover, the traction in the domestic and global T&D market remains robust on back of a multi -decadal opportunity led by widening gap between demand and supply of power, grid upgradation and modernization, push for renewable

es and improving electrification in developing markets. This represents a good opportunity for KPI L going forward.

On the international subsidiaries front, LMG Sweden revenue has doubled Y-o-Y for Q3 as well as 9M '25. LMG's order book is at a all time high of INR3,143 crores. In Fasttel Brazil, we have achieved revenue growth of 18% for Q3 and 35% for 9M '25. Our Fasttel order book stands at around INR1,000 crores as of December '24.

In our Road BOOT project per day revenue reached INR64.3 lakhs in Q3 '25 compared to INR56 lakhs in similar quarter last year. We are working towards closure of the VEPL transaction in FY '26.

Before I conclude, I would like to highlight our specific performance in the Water business.

Over the last 5 years, our Water business has grown from INR642 crores to INR3,500 crores, reflecting a healthy CAGR of 52% with healthy margins and working capital consistently below 100 days. At the start of this year, our Water business had an order book exceeding INR10,000 crores with a projected revenue of over INR3,700 crores for the year and a 9 M revenue target of more than INR2,700 crores with reasonable margins and efficient working capital days.

However, in Q1 we faced challenges as payments from clients were delayed due budget constraints impacting our targets. Despite these challenges, we made a conscious decision to continue executing projects as slowing down or stopping work would have had wider implications on cost and profitability. Over the past nine months, we have infused approximately INR1,000 crores on this business. With the budget allocation now in place, we expect cash flow to start improving Q4 FY '25 and Q1 '26.

In the Water business from Jan onwards we realized over INR240 crores, and we anticipate collecting the remaining INR500 crores to INR700 crores, which is already billed in Q4 or Q1

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'26. While we remain cautious in the short term on this Water business, we're confident about our long-term growth prospects.

Finally, looking at outlook, execution across most businesses, including T&D, B&F, Oil & Gas and Urban Infra is expected to remain strong going forward. We're targeting growth of 15% to 20% in Q4, with margins expected to be around 5% at the PBT level, at the stand-alone level. Similarly, consol performance is also expected to show significant improvement.

Before I conclude, we believe that had the Water business issue has not been there, we would have reached our targeted numbers of 15% to 20% growth in the current year. We also believe that this should be behind us soon for us to capture for our projected growth going forward.

With that, I conclude my opening remarks and open the floor for Q&A. Thank you.

Moderator: Thank you very much. The first question is from Sumit Kishore from Axis Capital. Please go ahead.

Sumit Kishore: My compliments on a strong overall execution performance in the quarter and strong inflow performance as well. My first question is on the water segment. Of the INR100 billion order backlog, how much is under the Jal Jeevan Mission? How much is under other irrigation or other water segments?

You've mentioned some improvement in the directional velocity on collections. But how should we be looking at this segment for Q4 and the next financial year in terms of execution and you also made comments on the JJM allocations in the budget for FY '26, so how soon is the improvement going to be visible? That's my first question.

Manish Mohnot: Our JJM allocation for order book is closer to 75% to 80% and the balance would be from the other utilities. As I mentioned in my opening remarks, we have seen traction already, some traction in January. But we still have closer to INR700 crores of unbilled -- or billed certified uncertified line with various water utilities. We believe that, t

hat should start coming in from

March onwards or it could even go to April, May, depending upon when the budget allocation is actually done by the center.

Post the budget, our discussion with all the water utilities have been very positive because now it's a clear road map given in the budget by our honorable finance minister on the entire segment in terms of both capital allocation and the goal of achieving 100% taps to the entire country. So as I said earlier, while we remain cautious in the short term, given the huge capital deployment, which has happened, but from a long-term -- medium and long-term perspective, we remain very, very confident about this business.

Sumit Kishore: Okay. The second question is when we evaluated your Q3 result, we possibly were -- saw a higher net interest cost during the quarter than what we expected. The other income was down sharply quarter-on-quarter at the consol level while the interest cost was up 9% quarter-on-quarter. The QIP happened around 18th Jan -- 18th December, so the benefit might have been

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for a few days. But shouldn't the net interest cost now improve, so your net debt is also down about INR10 billion quarter-on-quarter? Was there any one-off in interest?

Manish Mohnot: No, I do not think we had any one-off in interest. And as you rightly pointed out, getting into Q4, obviously, interest costs would come down given that we've got the QIP proceeds and given that there's some recovery happening on the water business also. So our Q3 interest costs had no one-offs, it was primarily driven by the capital deployed and the water business as I said earlier, and the growth in revenue which happened in Q3. And definitely, as a target, we should be middle 2% of interest cost in Q4, and that will be a target going forward also.

Moderator: Next question is from Mihir Manohar from Cernelian Asset Management.

Mihir Manohar: I wanted to understand on the water side, what is the total pending which is there on the water? And how much is billed and how much is unbilled, some color around that?

Also, you mentioned, I think, INR240 crores has been received in Jan, right? And the expectation is that by either April or May some collections should materialize? So I just wanted to understand how does it work? Is there a central authority? Is it more granular? Or it is just 1 single authority or 3 single authorities working. Just wanted to get some color.

Manish Mohnot: Sure. Mihir, our total billed, which is certified lying in the finance is closer to -- in the finance department of the various utilities is closer to INR450 crores to INR500 crores. There are another INR250 crores to INR300 crores, which are in the process of reaching the final stage. With the water typically in all the utilities, they are 6 to 7 levels of approval. So believe it by the end of February or maybe by beginning March, we should have that number in the range of INR700-plus crores as far as bills lying at the various utilities for payments only for budget allocation. Your second question, yes, we have received INR240 crores, but that's not only in January. That's January and February YTD. So, the data is as of day before yesterday. The INR240 crores has come across various utilities. So we've got good collections coming in from Orissa. We have got good collections coming in from MP. We've not seen much traction right now happening in UP, but Orissa and MP, we've seen some traction in January and February.

As I said earlier, our discussion with all the utilities, post the budget has been very, very positive, and they believe that it could happen -- the collections could be paid in March or latest April depending upon when the budget allocation happens.

Mihir Manohar: Understood. So out of INR700 crores, how much would be UP on a broadcard basis?

Manish Mohnot:

In order book, my UP order book is closer to 40% of my order book. So I'm just using a benchmark that 40% to 50% would easily be UP. I don't have the exact detail, but just being -- producing the benchmark 40% to 50% will definitely be UP.

Mihir Manohar: Understood. My second question was on the profitability for the subsidiary, when we see profitability for the subsidiary for this quarter, now this number is like consolidated minus parent. When I do the balance number, which is subsidiary as well as JVs, the EBITDA margin

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for 3Q FY '25 was at 8.5% versus 10.7% on Y-o-Y basis even for 9 M basis like 9.1% versus 10.3% on a Y-o-Y basis.

And this is like consol minus parent. So I mean just wanted -- broadly wanted to understand how should we see the profitability of our subsidiaries improving from here on. And why should that happen? Some color around that?

Manish Mohnot: Sure. The standalone to consol has 4 or 5 critical components, right? And I'll first give you the macro picture and then get into specifics. One is Linjemontage which is Sweden, I think they have done very well both on revenue as well as profitability. Second is our road assets where we have had a dent in profitability in Q3 primarily because our focus on O&M in a big way given that it's more scientific in nature and given that we also have plans to divest few of them.

Third is Fasttel Brazil where we had losses coming in primarily due to the devaluation of the currency on the USD loans given by Exim India. This does not have an overall impact in the long run because on an overall basis, at an organization level we are net export surplus, so it's more a timing issue. Shubham has been more at a breakeven level because we have not had an impact there. So what has had a dent in the Q3 is only by 2, primary dent, when the Brazil devaluation in currency and lost it on the road assets, primarily on O&M.

Going forward, we believe that the losses on road assets should come down given that collections have also improved, and we are divesting the largest road asset in the next few quarters itself.

Going forward, we also include -- I expect Brazil losses to be coming down because currency has come back from 6.2 levels on 31st December, it's already back to 5.7 levels while we speak now. So we believe that it's more a timing issue. So I won't believe that going forward to the

next year, the consol should only be better than stand -alone and not be worse in any form.

Moderator: Next question is from Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a decent quarter. So my first question is on the India T&D piece. So if you can help us understand how much has been the total wins which has been announced by the utilities? And how much is pending award for the EPC or the equipment players as per your understanding?

Manish Mohnot: So Parikshit, if you look at our T&D order inflow in the current year, it's around INR6,000 crores. Our actual inflow is around INR5,300 crores and we are L1 in INR1,750 crores. Plus, I think we have bid for projects worth around INR4,000 crores to INR5,000 crores, which should all get decided in the next 2 to 3 months.

So from my perspective, including L1 today, we are at around INR7,000 crores as far as domestic T&D is concerned and INR2,000 crores to INR3,000 crores -- including L1. And INR2,000 crores to INR3,000 crores is what we have already bid, which should get decided in the next maybe month or maybe latest by April.

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Typically, we've been around 20% to 25% of the market share. While I don't have the exact details of everyone else, but I'm assuming that for the space where we are the order inflow could have been in the range of INR35,000 crores to INR4

0,000 crores in the last 6 months. Out of

which we are at around about INR7,000 or INR7,500 crores.

Parikshit Kandpal: How is the bid pipeline looking at for the year -- next year and maybe over the next 2, 3 years when we have large numbers being spoken on by the government. So in your own understanding and estimate, how is the pipeline looking for FY '26 and in the near term 2 to 3 years?

Manish Mohnot: So I think the pipeline is looking extremely good, right? And if you go back to history in the last 4 years, we've been very bearish on this pipeline. But now it's looking extremely good because if you even look at the projects in -- floated by REC and PFC in their website, if you look at the kind of details which Power grid has given for capex.

If you look at the projects already identified which will get into tendering in the next 6 months itself, I think the pipeline looks like growing by at least -- it might be double in the next year.

The next 2 years look very good from a pipeline perspective and then after that from an execution perspective.

So -- and we have presented in our presentation also, so INR2.5 trillion to INR3.5 trillion is what we're expecting by 2029. And it's driven by renewable energy, connection, system upgrades and capacity addition. So to what -- if we look at this business growing at minimum 20% to 25% from the next 3 year perspective, and we expect next 12 to 18 months to be very, very good in terms of order inflow.

Again on this business, our biggest challenge continues to be labor availability, and that's why we would like to be also cautious at times in terms of we are taking projects which have very stringent delivery time line. So we remain very optimistic in the position of this business as of now.

Parikshit Kandpal: What is the HVDC pipeline, sir, in the near term, say, next 1 year, which all projects do you think can come in the market and get awarded?

Manish Mohnot: So at the beginning of the year, we were looking at HVDC of around INR50,000 crores to INR60,000 crores, right, is what we have looked at. Out of which I think around INR25,000 crores worth of projects have already been awarded. So I would see another INR20,000 crores - INR30,000 crores happening in the next 3 to 6 months minimum.

Parikshit Kandpal: Okay. Just last question on the margin, sir. We were -- so when do we -- now the share of new orders have been increasing and T&D as a share has been going up, so when do you expect to revert to double -digit margins? Any guidance on how will the FY '25 revenue and EBITDA would be and what margins will be for the next year? What kind of growth and margins you've been baking in?

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Manish Mohnot: So as I mentioned in my call earlier, we are targeting to reach closer to 5% margins at the PBT level in Q4 itself, and I don't see us going down from there at least for the next couple of years given the healthy visible order book today. So at the stand -alone level, you should see margins reaching closer to 5% in Q4 itself.

And I mentioned that in my speech itself with a 15% to 20% growth minimum on top line also.

So I believe that we should be at this as a minimum level going into the next year. But obviously,

for the next year numbers, we will have more clarity when the budgets are fully frozen and we come back in May post our Q 4 numbers.

Parikshit Kandpal: But EBITDA on double digit -- any guidance on EBITDA reaching double digit margins?

Manish Mohnot: No, I think we've stopped guiding on EBITDA for the last couple of years. Our focus is a lot more on PBT. So definitely EBITDA should improve in relation to the way where it is today.

But given that our average is too low in every term, we focus more on the PBT guidance going forward.

Moderator: The next question is from Bharat Sheth from Quest Investment.

Bharat She

th: Sir, I missed the Water business part, which you said that in Q4, how do we really look at the full year and next year?

Manish Mohnot: So Bharat bhai, in Q4, we will continue to focus on projects which are under closure in the Water business and also start refocusing from the next year perspective as we expect cash flow to come in sooner than later. We have closer to INR400 crores to INR500 crores of bills lying at the final stage for payments, another few hundred crores, which are at final stages where it would reach the final figure.

So as I said earlier, we still -- we stay cautious in the short term in this business in terms of taking new orders and focusing a lot more on the execution. It might be only this quarter where we be cautious, but getting into next quarter given that budget allocation is done and the vision by the finance minister -- honorable finance minister was very clear, we believe that we should be going back to that double-digit growth in that business from next year onwards.

So Q4 still looks slightly not very good because out of our -- we've just got INR240 crores out of whatever the INR700 crores of bills lying there. I'm hoping that this would improve by March, but this could even get to April, May once the budget is finalized and allocated by the center.

Bharat Sheth: So earlier, I mean, if you can give working capital intensity which -- earlier in water business kind of you are operating at negative, you are very nominal level. So what extent it has now gone up, I mean, in net working capital cycle?

Manish Mohnot: So water business has been 1 business, which has been very, very efficient in working capital if you forget this year, right? They've been working at days, which have been more in the 60 to 90, at times less than 60 days. The current year, they've gone up to -- they're in excess of 140 days while we speak, right, and for reasons known to all of us.

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We believe that this business for the last 5 years was more in the 60 to 90 days. We believe that getting them back to that would be very easy once we get our collections back. But currently, that big impact on both working capital days as well as our debt position primarily driven by noncollection on that business.

Bharat Sheth: Okay. And, how do we, sir, I mean LMG and Fasttel PBT margins going ahead and how much is actual for the 9M? And where do we see it stabilizing?

Manish Mohnot: So you if you look at our Linjemontage business, it has been a very focused business in terms of EBITDA margin, always in the range of 4% to 6% and EBITDA is typically is equal to PBT because they hardly have any interest cost.

So if you look at our numbers from a 9M perspective on Linjemontage, our revenue has been around INR1,300 crores, which is double in terms of from INR664 crores to INR1,337 crores. EBITDA has gone up from INR22 crores to INR64 crores in the same period. So EBITDA is around 4.8% as far as Linjemontage is concerned.

If you look at Fasttel, our revenue has gone up from INR560 crores to INR755 crores in 9M, and our EBITDA has gone up from INR6 crores to INR56 crores in the same 9M. PBT is negative. We are a negative INR43.5 crores last year, it's only INR16 crores negative this year. But the INR16 crores negative is primarily due to the currency devaluation which we believe is having impact.

Bharat Sheth: Okay. And sir, on -- one bookkeeping question. In this quarter, particularly our other expenses have shoot up Q-on-Q substantially. So any one-off there or...

Manish Mohnot: No, I don't think there's been a one-off there. It could have slightly gone for maybe specific reasons driven by growth only. But as I've not seen any one-off there to the best of my knowledge, but I can ask my team to come back to you. So I think it's only in relation to the growth and nothing more

than that.

Bharat Sheth: I mean on guidance side LMG will remain around 5% kind of PBT margin, 4.5% to 5% and Fasttel where do we see PBT margin?

Manish Mohnot: So I believe on the guidance front going into the next year, Linjemontage margins should definitely reach towards -- more towards 5.5% plus from 4.8% at EBITDA level in the current

year. And as far as Fasttel is coming, our aim is to -- we have improved the EBITDA margins from as low as 1% to 7% in the current year, and we believe it will stay at this levels of 7% to 8% going forward also.

Bharat Sheth: PBT margin will be approximately...

Manish Mohnot: PBT margin as far as Linjemontage is concerned, it could be more in the range of 3.5% to 4% and Fasttel we will try at breakeven because -- so more range of 1% to 2% because the interest cost is much higher.

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Bharat Sheth: And Water will also start making money. Is that fair understanding?

Manish Mohnot: Yes, definitely. Well, to be very frank Bharat bhai, Water was completely beyond our control.

We really worked hard to reallocate resources to other businesses to achieve our targeted growth because for the last 5 years, we've never had these issues of payment. And you could see the budget numbers also.

Last 5 years, INR60,000 crores. This year only INR22,000 crores allocated to the water business at the center level. So this was completely beyond our control, but now with the budget allocation back, we're reasonably confident that this business should start delivering both growth and margin getting into the next year.

Bharat Sheth: Sir, can you give some color on the international T&D as well as Oil&Gas, and railway?

Manish Mohnot: Sure. We stay -- we are bullish on all international T&D, Oil&Gas, Urban infra all 3 businesses, as I said earlier, I think we'll see both growth and margin improvements in all 3 businesses.

As far as railways is concerned, we been very cautious on this business for the last 2 years, and we would like to be like that. I don't see any growth happening in the railway business at least for the next year. But definitely, we don't see any margin deterioration happening in that business going forward.

Moderator: Next question is from Chinmay Kabra from Emkay Global Financial Services.

Chinmay Kabra: So just really wanted to understand what would be the typical time line for the repayment of borrowings against the INR7.5 billion that we have kept separately from the QIP?

Manish Mohnot: I think we've already started that process, a significant portion of that. So, the repayment of borrowings also includes repayment of working capital element and short-term loans. I think we have already started that process and significant portion of that would have already been done by 31st December because it's working capital and that's why you can see our debt numbers have come down.

So it's nearly fully done. It's not nearly, I would say fully done. We just repair our working capital and some of our C Ps and some of our short-term loans, which we have.

Chinmay Kabra: Understood, sir. So factoring in the payments that we have done in the recent quarter, what is the net working capital guidance that we are building in for Q4? And going ahead as well? Do we still maintain it to reach approximately the 100 days?

Manish Mohnot: Yes. We still are targeting it to reach the 100 days and hopefully, we will be there even without Water connection being significant in Q4, we're still targeting to be in that 100 days level and at stand-alone level and consol maybe 90 if not below 90 days.

Chinmay Kabra: Understood, sir. Coming to the railways segment. So just really wanted to understand how is the execution going ahead in railways? I mean we do see the sustained degrowth even in this quarter.

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And going ahead also, we are building in a decline for FY '26 as well. So just really wanted to understand that from when can we see a growth in the railway segment? And how is the current tendering opportunities coming up?

Manish Mohnot: So from our perspective, I don't think we see any bullishness in that business for the 3, 4 segments that we are, right, whether it is electrification, whether it is civil in terms of expansion, whether it is metro electrification, we're not seeing very bullishness in that business, primarily for 3 reasons. One, there is a lot of competition coming into that business.

We see 20-plus players competing in majority of these tenders. Second is, the businesses have gone back decentralized to the various zonal railways. We have created coal which are dismantled and now it's gone back to zonal railways, so the functional style in terms of price of orders all of that has become very different.

And third, with competition the margin profile is not exactly where we want to be. So personally, from a 2-year perspective, I don't see that business growing in any form. The good part is our order book has limited to around INR4,000 crores on that business, so it's not very high from

our order book and delivery perspective.

Parallelly, we're exploring international opportunities in that business in 5 or 6 countries at a global level. We've not reached anywhere closer to saying that we should be signing or doing something soon. But I believe getting into the next year, maybe Q2, Q3 of next year, we should be targeting a win at the international level.

So from a 2 - to 3-year perspective, we continue to be very cautiously optimistic in the business with minimal growth -- or I would say with negative or zero growth. But yes, margins do not look like deteriorating further from here as far as that business is concerned.

Chinmay Kabra: Understood, sir. So just if I can take one last question. So, coming to the EBITDA or the PBT level, if -- or if I can look at it on a segmental level, T&D, B&F, and Oil are the only contributors in terms of the expansion. Meanwhile, Railways and Water will continue to be a laggard if I can summarize it.

Manish Mohnot: No, I think I would summarize this differently. T&D business would continue to be the largest growth, continued by B&F and oil & gas. Oil & gas is at a lower base going forward. I also expect Urban Infra to do very well in terms of the revenue growth because it started with a low base, and they have a very order book and good visibility going forward.

So the only business I believe we might not do well is Railways in terms of revenue growth. Even on Water we believe that next year would see very good revenue growth because we have a healthy order book and now cash flows are visible given that the budget has given so much allocation. So getting into next year, except railways, I think all businesses should be at a double-digit minimum growth if not very high double digit.

Moderator: The next question is from Vaibhav Shah from JM Financial.

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Vaibhav Shah: Yes. Sir, how much have we infused in the road assets in Q3 and 9 M.

Manish Mohnot: So I think just before I give you the exact number, our majority investment in road asset has been primarily to repay debt because in majority of the road assets debt happens is to be done in the next 2, 3 -- we have full payments has to be made in the next 2, 3 years. Our total investment in the last 9 months is around INR69 crores on all 3 assets or all 3 assets put together. In Q3, you can say closer to INR30 crores.

Vaibhav Shah: I didn't get the number, INR59 crores or INR69 crores?

Manish Mohnot: INR69 crores. INR69 crores.

Vaibhav Shah: Okay. And sir, how much do we expect for the entire year t

his year and next year?

Manish Mohnot: So my belief is that Q4 also we should see investment closer between INR29 crores, INR30 crores because we are investing in O&M as well as some repayments of debt on WEPL. It should be in the similar range. Going forward, it should only come down. So for example, if we do INR100 crores this year.

Going forward, I don't think we should be doing more than INR50 crores. As VEPL will be divested by Q2. So going into the next year, we'll come back with an exact number, but my own belief is it should be less than 50% of the current year.

Vaibhav Shah: Okay. Sir, I missed 1 number. For LMG, you said that EBITDA margins have been around 5.5% and for Fasttel around 7% in 9 months.

Manish Mohnot: For LMG I said EBITDA margin in the range of 4% to 6%, it was 4.8%. The exact EBITDA margin I gave was 4.8% in LMG, Fasttel, 7.4%, road assets was negative, and there are some international subsidiaries like Saudi where we had some losses. So LMG is 4.8% 9M and Fasttel is 7.4% EBITDA 9M.

Vaibhav Shah: And for LMG, what is the guidance for '26 in terms of margins or our targets.

Manish Mohnot: So we've still not finalized the targets for next year, but I personally believe that this number should go up by at least 100 basis points getting into the next year because their current order book is much healthier than what they had in the past.

Vaibhav Shah: Okay. And sir, secondly, we have seen some degrowth and though it is a very small number in the overall scheme of things in the Urban Infra side. So the growth can be much, much higher in '26 and '27?

Manish Mohnot: Yes, we definitely expect the growth to be much higher because we have got 2 large projects in the last 6 months, which will get converted to revenue going forward. So definitely in the next year, I see this business going up by 20%, 25% if not more than that because they were lower rate. They might even go closer to 40%.

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Vaibhav Shah: Sir, in terms of order inflows, are we confident of looking for some growth in FY '26 as well, maybe a 10%, 15% growth on the current base because YTD number is quite strong right now, and we are on track to achieve our '25 guidance.

Manish Mohnot: So we will be coming back to the guidance for '26 later part of this year, but as we stand today, if I look at the majority of our business, right, transmission domestic looks like very bullish, transmission international looks bullish given that opportunity in Africa, Middle East, LatAm are back.

B&F driven by residential, commercial, data centers, airports, a lot of tenders. So that also we stay bullish. Urban Infra focus has been on select space where we're seeing a lot of traction. Water should be coming back given the budget allocation. So I don't see challenges. But in terms of exact numbers, you'll have to give me a few more months to come back and I'll give a target for the next year.

Moderator: Next question is from Samarth Khandelwal from ICICI Securities.

Samarth Khandelwal: Sir, congratulations on a very good execution this quarter. My question is on the noncore assets, specifically, what has been the update for Indore assets in Q3?

Manish Mohnot: Samarth, Indore assets, what is unfolded is primarily large building inventory which is with us. We believe that OC of that building could come in anytime now. It could be a few days. It could be a few weeks not beyond that. Our sales team has indicated that the moment the OC comes, we would be able to sell out the entire inventory within a period of 60 days, not even beyond that because the other 4 towers have sold off and people have come, occupied all of that. So my own view is, in the next 3 to 4 months, we should be getting back our entire investment on Indore maximum 90 days after we get the OC. We're just waiting for OC. And before

March,

actually we believe we would be able to sell off the entire thing. So it's just a matter of time, which is days, weeks and not even months. So by March or by May, we should be done fully in terms of selling up the entire inventory in Indore. And cash flows coming in latest before June '25.

Samarth Khandelwal: Right. Sir, my last question is on I read a news article saying Kalpataru Limited has received IPO nod from SEBI. So how will that impact our company?

Manish Mohnot: I also read that news article the way you said it. I do not see any impact on our business in any form because as far as we are concerned, we are 2 different organizations and Kalpataru Limited is a separate organization in every form. So I do not see any impact in any form. If all it will be a positive impact, but no negative impact on any from the IPO plans of K L Limited.

Moderator: Next question is from Gaurav Uttrani from Axis Capital.

Gaurav Uttrani: Sir, we've seen that order inflow has been largely driven by T&D segment and other segments like B&F and all are largely flat on a year-on-year basis if we have look on a 9 M basis also. So is it like we are selective in taking order for the B&F? And we have also seen like there's an Kalpataru Projects International Limited

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order inflow in railway segment of almost like INR364 crores. So what sort of orders we are taking in railways as you mentioned that we'll be very cautious in the segment going forward?

Manish Mohnot: Let me answer the last question first. First, railways order we have taken primarily as metro electrification. So the overhead metro lines for which electrification projects we have taken.

These are reasonably good margins to be delivered in the next few years. So they are much better in terms of margins compared to what we have now.

As far as being cautious on order book, yes, I think that's been our strategy always because our biggest challenge is resource allocation, whether it is resource in terms of labor availability, resource in terms of capex, in terms of working capital, all of that.

Today, the way -- the environment as we see much better opportunity in T&D, on everything, on profitability, on ability to deliver, on plant utilization, resources as well as labor.

So our focus is trying to focus on large projects in building and factories and by way also -- we have large projects in T&D. But why have been saying so, it's not that we've not been focused on the B&F business. That business has also done reasonably well in terms of revenue growth, but that business is very labor-intensive and capex intensive. So we're focused on much larger size orders instead of looking at orders of INR200 crores, INR300 crores.

And we believe that there is a huge opportunity for large size orders going forward. So it's just strategy for the time being, but in terms of bullishness, I think both the businesses were equally bullish getting into the next year.

Gaurav Uttrani: Got it, sir. And sir, if you talk about the railway segment specifically so our order book, which was outstanding like at INR3,700 crores, that remains largely flat. So are we seeing still challenges in execution for that legacy projects or backlog, which you already we have, which is being on our working capital and margins? And when do we expect that to be get over like, say, for in terms of next quarter or say for the next 6 months?

Manish Mohnot: So if I divide the railway business, the railway business has 1 large order in Bangladesh and a domestic order. We have not seen many challenges on execution on the domestic projects, but the Bangladesh order book -- the Bangladesh project which we have, obviously, got stalled for 4, 5 months for reasons known to all of us. It has picked up back in terms of revenue, but still not to those levels which happened before the Bangladesh debacle

which happened.

So to answer your question, I don't see challenges in the Indian order book. We are on track in terms of delivery. Bangladesh was a setback in the current year, not significant from a larger perspective, but a setback from a railways perspective and we expect that to start improving from next year onwards.

Gaurav Utrani: Okay. And sir, which international territory would we be targeting in railways as you mentioned earlier.

Manish Mohnot: Primarily the African zone. Primarily, a lot of countries in Africa.

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Moderator: Next question is from Bhoomika Nair from DAM Capital.

Bhoomika Nair: Yes, sir. Sir, I just wanted to understand how the Oil & Gas order of Middle East from Saudi is progressing. I know it is yet -- we got it at the end of last year, the execution timeline is elongated. But nevertheless, just wanted to understand how has your experience been? What margins are we seeing on that project? How is the working capital? If you can throw some light on that project, sir.

Manish Mohnot: Sure, Bhoomika. Bhoomika, on the Saudi projects, which we got in last year, we've still not reached a threshold of 10% to recognize margins. We would be reaching that threshold in the current quarter. We're on track to achieve our targeted numbers for the current year. Next year, out of the \$800 -odd million on that project, we believe that closer to 40% would get delivered in the next year and the balance should go into the year 2 and 3.

In terms of margins, I think this is our high single-digit margin market business, as we said earlier also. And we believe we should be able to achieve that. In terms of working capital, we have just started the business. We are still in that range of 50 to 60 days, but typically international order book working capital always is less than 50 days, but we just had less than -- we've just reached the 10% level in February while we speak about it.

So I do not see any challenges. The biggest challenges in any Saudi Aramco project is to make sure that the initial things in terms of setups, in terms of third camp facilities, in terms of client requirement are all done. It's all done.

The pipes have been received by us. We have started the welding already and it's on track as far as our internal targets of achievement are concerned. So, I do not see much challenges. We would see good numbers coming from that business getting into this quarter itself and the next 7 to 8 quarters. Amit, do you want to add something?

Amit Uplenchwar: No, I think -- yes, next year. Now that the stage is set, as Manish mentioned the facilities for camps, et cetera, ready, the mainland welding has started. So now is when the pace picks up and hopefully, the next 4, 5 months will be good visibility in terms of work that gets actually executed...

Bhoomika Nair: Got it. Sir, when you say high single-digit margins, that means on the EBITDA side, right?

Manish Mohnot: Yes, on the EBITDA side. Yes, on the EBITDA side.

Bhoomika Nair: Okay. Okay. Got it. So the other thing is on Fasttel, the order intake has been fairly muted in the 9M period, are we being cautious a little bit on the end to kind of not take too many orders?

What is the outlook in terms of growth there? Because as you mentioned that the working capital and thereby interest is high, which is where the profitability is getting impacted.

So how are we seeing that both revenues, margins expanding and thereby a turnaround where you spoke about Fasttel that from next year, we should see a breakeven to 1% to 2% PBT margin.

What will drive that? And how do we see that progressing thereafter?

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Manish Mohnot: Bhoomika, you got that right. While we're very bullish on Linjemontage in terms of both revenue growth

and margin, we continue to be cautious as far as Fasttel is concerned, both from a political perspective, the country zone plans perspective and our ability to take that order book to a different level.

So we will be cautiously optimistic on bidding for projects there. We do not expect huge revenue

growth coming in Fasttel in the next year because we have seen good growth in the current year, but our intent would be slowly to improve margins and get back to the standard levels of the organization level. So yes, you're right, we will be cautiously optimistic and the focus would be not revenue but margin improvement getting into the next year.

Bhoomika Nair: Okay. And lastly, on the B&F side, the order backlog remains healthy. We've seen recent inflows as well. Now are you seeing any improvement because there was a bit of a slowdown in terms of private capex. Any sense you can throw on the ordering activity out there?

Manish Mohnot: So we've not seen any slowdown in the B&F ordering in the last 2-odd years, right? So maybe private capex at a country level could be different. But when I look at B&F, whether it is residential, commercial, data centers, airports, even industrial plants, PSUs, we've seen good traction. So to me, this business looks very attractive from at least 2- to 3-year perspective, if not even beyond that, right?

So you're seeing all large developers doing large scale projects. Thanks to RERA, cash flow looks very healthy because money comes in much faster than required. Our ability in terms of having a huge capex mix helps us in terms of delivering on or before time. So we've not seen any traction coming down in this business in any form, Bhoomika.

Moderator: Next question is from Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Given that we had weakness in the water segment, sir, for FY '25, what kind of guidance -- I mean, is there any revision in the guidance or we'll be able to deliver that 15% growth for FY '25?

Manish Mohnot: So if I look at -- our growth for 9M is closer to 10% at a stand-alone level, right? Q4, we believe that it should be in the 15% to 20%, inching towards the 20% mark revenue growth level. So if I look at consol, obviously, we would be remitting a growth of 12% to 13%, and the shortfall if at all is only in the water business where instead of doing a number of INR3,700 crores, which we have planned, we might restrict ourselves to INR1,600 crores, INR1,700 crores only. So the entire shortfall of closer to INR2,000 crores would be in the water business. Had that shortfall not been there, you would have been very closer to achieving a 18% to 20% guided revenue growth for the year. So right now, we believe we should be more in the range of 13% to 15% for annualized basis at a consol basis and standalone maybe 12% to 13%, Q4 growth will be 15% to 20% both stand-alone and consol.

Parikshit Kandpal: For next year?

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Manish Mohnot: For the current year. Next year is something which will come back given the healthy order book, we should be doing very well. But we'll come back on the next year's numbers by the end of Q4.

Parikshit Kandpal: Just on the stand-alone debt, if we are able to materialize the pending receivables from the JJM, so where do you see FY '25 ending in terms of stand-alone net debt?

Manish Mohnot: So currently, as I said, stand-alone we still have a huge outstanding on JJM, and I mentioned that earlier also. So current year except Water business, every business has done well on whatever we had projected, right? So in the next 2 months, I don't see significant improvement in revenue coming on the water business. Next year, with the budget allocation there should be no reason why that business should not be even going at 20%, 25% is not better than that on a lower base of current year.

ear.

Parikshit Kandpal: So but more on -- I mean, earlier before the merger of JMC, we had plans of making Kalpataru net cash. So now the combined business, what kind of peak that do you think for delivering 15% kind of a growth should be there in FY '26, FY '27? So any plan, any sense on whether we can be some net cash over the next 2, 3 years?

Manish Mohnot: The first -- there are 2 philosophies which we're driving. One was reducing our debt, which we have constantly reduced through working capital management and QIP, but primarily, we have been also pushing our capex significantly. You look at our capex for the last 4 years including now. The number is in excess of INR2,500 crores. The focus was that given the huge opportunity, should we be looking at keeping our net cash zero? Or should we be looking at building a balance sheet for the future?

So we have tried and managed both of them. So when the debt levels are under control. Our net debt will be equivalent to EBITDA very soon. It's not we have already reached there and the capex has been significant. So we balance that looking at the long-term and not even focused on only one of the 2 parameters.

Parikshit Kandpal: So you'll try to maintain net debt to EBITDA 1 time, that is what the guidance is?

Manish Mohnot: Yes. So we -- as I cited earlier, our focus would be more on net working capital days below 100 and that would drive a lot of our debt numbers as well working capital numbers.

Parikshit Kandpal: So over the next 1 year so what kind of monetization conversion can happen? I mean you have already entered into definitive agreements for the road assets. So both from Indore and from the

road assets and from the balance claims, the arbitration claims in our favor. So if you can help us break up these 3 things in terms of how much potentially receipts could be from these 3 revenues?

Manish Mohnot: So I'll be happy to guide out on Indore as well as VEPL, which we have already signed off. The claims is something which we -- I would not be able to guide because claims is a long process.

So Indore and VEPL we definitely expect closer to INR500 crores to come from both of them
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net excluding debt in calendar year '25 and also Water receivables which have been overdue should be a huge surplus, that could be another INR500-plus crores which could be a positive. As far as claims are concerned, as I said earlier, I don't want to give a target because these are largely driven by long, long processes, it can't be driven by a specific target. But definitely on VEPL, Indore and Water backlog, we should see INR1,000 cr ores of improvement in cash flow getting into the next year.

Parikshit Kandpal: And debt reduction because of Indore and water?

Manish Mohnot: Is that what I said, Indore, Water and VEPL I said -- gave you all 3, right?

Parikshit Kandpal: Okay. So you are talking about that including in inflows it should be INR1,000 crores

Manish Mohnot: Yes.

Parikshit Kandpal: And how much of this would be debt out INR1,000 crores?

Manish Mohnot: No, no, no. This is the equity component I've given you. There's a further debt component reduction on VEPL, which would be closer to INR350 crores -- what is the number -- sorry, let me -- INR250 crores, sorry.

Parikshit Kandpal: Okay. So INR250 crores will get knocked off from your consol debt?

Manish Mohnot: Yes.

Parikshit Kandpal: Okay. And what is the total value of the claims which are in our favor. So I'm not asking about what you will realize, but what is the total claims available, arbitration claims in our favor?

Manish Mohnot: I will not be able to give you that number today because a lot of that is confidential in nature and a lot of that includes interest component and other components. It's a significant number, but we -- as a rule of corporate governance and

ethics, we typically do not disclose this number unless the claims are finalized.

Parikshit Kandpal: Okay. Just the last thing on that -- so pledging, any stance on -- any guidance from the promoter now that the IPO is almost near. So directionally from here on, how do you think the pledging of shares will play out?

Manish Mohnot: I think we've had the same guidance which we had in the end of Q2, that pledge will only come down and we have seen pledge come down in Q3 also. So if you look at the fair price level, we are at around 24% levels while we are now from high -- as high as 50% a few years ago. So the guidance to us is exactly what it was in the past of being at the pledge levels will only come down going forward and not go up.

Moderator: Next question is from Uttam Kumar Srimal from Axis Securities.

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Uttam Kumar Srimal: Sir, my question pertains to capex guidance. So how much capex we had incurred this year and what would be our capex guidance for FY '25 and for FY '26?

Manish Mohnot: So I think we have already included capex in excess of INR450 crores for the current year. We expect capex to be more in the range of INR600 crores to INR650 crores on the balance sheet in the current year.

Going forward, next year we expect capex to be below the current year because this year has significant capex coming from TBM and significant capex on B&F. It should definitely be lower than this year, but the exact numbers I think we will be able to give you once we have finalized the business plan.

Uttam Kumar Srimal: Okay. And sir coming to the Urban Infra business is considered only 5% of our total order goods. So what kind of growth you are doing in Urban Infra business, particularly on the side of metros because already we have got 2 projects. So where do you see this urban infra business panning down in the next 2 to 3 years?

Manish Mohnot: So we've been a late entrant in this business, although we did some components 7, 8 years ago in terms of Delhi Metro and Bangalore Metro, but last 4, 5 years, we have not done much. Only in the last 2 years, we have got traction again. And in the last 2 years, the team has already bid an order book closer to INR3,000 crores what we speak as of now.

We believe that traction in everything on metros, the underground metros where we see good

traction, overhead line metros where we see good traction, we see traction coming in. Other cities as well as second tier cities and we believe that getting into the next 2 years, it looks like a very good opportunity.

So in terms of growth I expect that business, as I said earlier, to grow at 20%, 30% definitively in the next few years. In terms of order book, being optimistic, being cautious in terms of our capex targets, we still should be growing this order book at 30%, 40% if not higher in the next couple of years.

Moderator: Thank you very much. We'll take that as the last question. I would now like to hand the conference back to the management team for closing comments.

Manish Mohnot: Thank you, everyone, for being on the call. Thank you.

Moderator: Thank you very much. On behalf of DAM Capital Advisors, that concludes the conference. Thank you for joining us. Ladies and gentlemen, you may now disconnect your lines.

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"Kalpataru Projects International Limited
Q4 FY '25 Earnings Conference Call "
May 19, 2025

MANAGEMENT : MR. MANISH MOHNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. S.K. TRIPATHI – DEPUTY MANAGING DIRECTOR

MR. SANJAY DALMIA – EXECUTIVE DIRECTOR

MR. AMIT UPLENCHWAR – DIRECTOR GROUP
STRATEGY

MR. RAM PATODIA – PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to Kalpataru Projects International Limited Q4 FY '25 Earnings Conference Call hosted by DAM Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital. Thank you, and over to you, Ms. Nair.

Bhoomika Nair: Yes. Good morning, everyone. A warm welcome to the Q4 FY '25 Earnings Call of Kalpataru Projects International Limited. We have the management today being represented by Mr. Manish Mohnot, Managing Director and CEO; Mr. S.K. Tripathi, Deputy Managing Director; Mr. Amit Uplenchwar, Director, Group Strategy; and Mr. Ram Patodia, President, Finance and CFO. At this point, I'll hand over the call to Mr. Mohnot for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Manish Mohnot: Thank you, Bhoomika. Good morning, everyone, and thank you for joining us on the call today. I'll begin with an update on the key highlights for Q4 and full year FY '25 financial results, followed by operating context and performance of individual businesses. Subsequently, I will conclude with the outlook for financial year '26.

We have concluded FY '25 on a remarkably high, achieving highest ever revenue, EBITDA, PBT and order book, driven by exceptional project execution and strong diversified order backlog. More importantly, our balance sheet has grown stronger with sharp reduction in net debt, improved net debt to equity, improvement in ROCE and notable decline in net working capital days.

Additionally, we have made visible strides in enhancing the quality of our order book by securing large -sized complex orders in segments like underground metro rail, HVDC transmission and substation , design -build B&F projects, airports and industrial plants.

These strategic steps are helping us to improve our competitiveness and build niche capabilities in the EPC business in order to be future-ready along with delivering sustainable and profitable growth going forward. Getting into more details on the financial performance front. First, at the stand-alone level, we achieved one of the best ever performance in Q4 '25 with revenue, PBT and PAT growth of 21%, 49% and 61%, respectively.

Our stand-alone revenue for full year '25 rose by 13% Y-o-Y to reach INR 18,888 crores. Our growth in EBITDA, PBT and PAT was 16%, 20% and 22%, respectively, for full year '25. Our stand-alone PBT margin was up 110 basis points to reach 5.9% in Q4 '25, while full year FY '25 PBT was up by 30 basis points to reach 4.9%, which is in line with our target for annualized PBT in the range of 4.5% to 5%. Our improvement in profitability outpaced revenue growth in Q4 and full year '25 on the back of higher operational efficiency and better project mix.

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Coming now at consol level. Our full year revenue crossed INR 22,000 crores mark with 14% Y-o-Y growth in turnover. Our consol EBITDA was up 13% to reach INR 1,834 crores and PBT grew by 17% to INR 823 crores. For Q4 '25, growth in revenue, PBT and PAT was at 18%, 40% and 29%, respectively, on a consol basis.

On the balance sheet and working capital front, we have further strengthened our working capital profile on back of our relentless focus on efficient working capital management, fund raised through QIP and timely project closures. Our stand-alone net debt witnessed sharp decline of 40% Y-o-Y to reach INR 1,107 crores and consol net de

bt declined by 25% Y-o-Y to INR 1,953 crores at the end of FY '25.

Our net working capital declined by 5 days at stand-alone level to reach 94 days and consol net working capital improved to 79 days. As guided at the start of the year, we were successful in bringing down our net working capital much below 100 days. We've also maintained finance cost as a percentage of sales at guided level of 2% at the stand-alone level.

The strong performance on the debt and working capital front is despite the elongated receivable cycle in the Water business. We have also made investment in capex throughout the year totalling to around INR 600 crores, staying true to our strategic intent of continually strengthening our capabilities to improve project delivery and drive competitiveness.

Our consol order book reached all-time high of INR 64,495 crores, embedded with good diversity across businesses, markets and project mix. More notably, we have surpassed the order inflow guidance by securing orders worth INR 25,475 crores in FY '25. Nearly 90% of the order wins in FY '25 are from our flagship T&D and B&F business, which provides us good visibility on the margin and execution front in the coming quarters.

Now coming to performance of respective businesses. Our T&D business sustained its strong growth trajectory with turnover crossing the INR 10,000 crore mark, recording an impressive 28% Y-o-Y growth in FY '25. Our order inflows in the T&D business in FY '25 reached INR 14,461 crores with strong growth of 30% compared to FY '24.

Our India T&D order book reached an all-time high of approximately INR 9,500 crores with major wins in the HVDC domain, improving our market position and providing good visibility for growth in the coming quarters. Our subsidiary, LMG Sweden reported its best ever performance with revenue growth of 79% and highest ever order inflow of over INR 2,800 crores in FY '25. LMG's order book stands at all-time high of INR 3,535 crores as on 31st March '25.

In Fasttel, Brazil, there is still some ground to cover, and we are working to improve our operations and strengthen the organization. Fasttel Brazil also posted around 35% revenue growth for FY '25 and ended the order book with an order book of INR 900 crores. Business visibility in the T&D business, both in India and international markets remain robust given continuous focus on energy transition, grid strengthening and rising power demand.

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We remain confident that our T&D business will continue to sustain and deliver robust growth in coming quarters and in the next few coming years. Our Buildings and Factories business delivered healthy growth of 22% in FY '25 with order inflows of INR 8,225 crores and a closing order book exceeding INR 14,000 crores. We secured large orders in the residential and airport segment, along with strengthening our market position and addition of new clients.

Our focus in the B&F remains on securing large-sized design build projects and enhancing our competitiveness based on a strong delivery track record and robust execution capabilities. In our Oil and Gas business, we are progressing steadily on the Aramco project, while we deliver

revenue growth in excess of 100% to INR 1,758 crores in FY '25. We expect the growth momentum in the Oil and Gas business to continue in the coming year. We continue to focus on international markets for future growth in the Oil and Gas business.

In the Water business, performance was impacted given delayed collections and deferred fund allocation, which has dented revenue growth in FY '25. However, we are witnessing good improvement in the collections starting Q4. Further, we expect momentum to improve going forward, and we have a healthy order book of over INR 9,500 crores, providing us a good visibility.

In the Water

business, we continue to focus on closure of existing projects and remain cautious on future bidding. Having said that, the Water business has enormous potential in India and international markets on the basis of which we continue to strengthen our capabilities and business development efforts. Our Urban Infra business recorded revenue growth of 10% in FY '25, led by robust execution of the metro rail projects.

We continue to strengthen our team and capabilities in line with strong visibility in segments like elevated underground metro rail, elevated roads, tunnelling works, etc. In Railways, revenue stood at INR 1,019 crores as we continue to focus on project closures and remain selective in new order booking due to intense competition.

Our road SPVs witnessed strong growth in per day revenue to INR 77.7 lakhs in Q4 '25 compared to INR 60.3 lakhs in Q4 '24. We have infused closer to INR 75 crores in our road business in FY '25, mainly towards repayment of debt. We are actively working to close the VEPL transaction in FY '26.

Moving into guidance for FY '26. We have surpassed the INR 60,000 crores order book milestone this year. A key aspect that has been instrumental in our journey has been the diversification of business and markets that we have built over the years. We will continue to further diversify the mix, expand to new markets and improve market position in existing business as we expect order inflows in the range of INR 26,000 crores to INR 28,000 crores for full year '26.

Our order inflows for FY '26 would be on better margins as compared to the orders taken in the previous few years, helping us improve our profitability in the long run. On back of a strong order book and execution momentum, we will target around 20% plus revenue growth for stand - Kalpataru Projects International Limited

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alone and consol basis. We will focus to improve our margins as we expect stand -alone PBT margin in the range of 5.25% to 5.5%, improvement of 35 basis points to 50 basis points minimum over FY '24 and consol PBT margin of 4.5% to 4.75% for full year, which is improvement of closer to 100 basis points as compared to FY '25.

Last but not the least, capital management remains central to our strategy. We remain confident to maintain our net working capital below 100 days on a stand -alone basis and finance costs below 2% of sales at a stand -alone level. Similarly, our debt levels will continue to be in line with the business growth.

With that, I conclude my opening remarks and open the floor for Q&A. Thank you.

Moderator: First question comes from the line of Mohit Kumar with ICICI Securities.

Mohit Kumar: My first question is on, sir, the Water segment. Of course, we delivered very strong revenues in T&D and B&F segment, but Water has lagged, Water has declined Y -o-Y. Of course, some part is due to delay in payments and delay in execution. But how do you see this segment in FY '26?

Do you think you can improve upon compared to FY '25?

Manish Mohnot: Mohit, as far as revenue is concerned, we definitely believe we would be doing better in FY '26 in the Water segment. As of now, we have not assumed significant growth in that business given still that we have challenges on old receivables. We did get payment of around INR 400 crores from some of our old receivables in the month of March, and we expect payments to further improve in May and June.

As of now, we have assumed a minimal growth of closer to 10% in FY '26 in our budgeted numbers in Water, but we will be revisiting this once we have more clarity on cash flow from the old receivables in the water projects. While we say so, we parallelly continue to explore some international projects on Water business and believe that during the year, we should at least have a few significant wins in this business in the international front.

Mohit Kumar: Understood, si

r. My second question is, sir, is it possible to break the T&D order inflow between domestic and international? And can you give us the outlook on T&D domestic and Middle East separately? And do you think you can grow the order inflow on the high base of last year?

Manish Mohnot: So on the order inflow basis, if you look at the T&D business, we got order of approximately

INR 14,461 crores in the previous year. The breakup is literally half and half. The domestic order book were around INR 7,300 crores and the international order book was around INR 7,200 crores. So international order inflow is concerned, it's been 50-50 in the previous year in international and domestic.

As far as the growth is concerned, we believe that there's a lot of opportunities over the next 2 years in T&D domestic. Lot many tenders already floated by Power Grid and PFC and REC in terms of creating a stronger infrastructure. Our own belief is that we should be doing better than Kalpataru Projects International Limited

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this in terms of order inflow in our T&D business getting into the next year or getting into '26 itself.

Mohit Kumar: And anything on the Middle East and international growth, if you want to?

Manish Mohnot: So we're seeing a lot of traction in the international business also, Mohit, given that we see a lot of funding coming back in the African markets, huge opportunity in Middle East, driven by the entire growth pattern in some of these countries and also in Latin America, which is very strong for us, whether it is Chile, Guyana, Suriname and Brazil. So even on the international business, our first focus continues to be Latin America, then Europe, and Middle East and then Africa.

And we believe that those businesses should also do reasonably well.

Moderator: Next question comes from the line of Gaurav Uttrani with Axis Capital.

Gaurav Uttrani: Sir, just wanted to check on margin, like we have seen that margins on the stand-alone level are stable, but we have seen some bit of drag on the consol level. So what was the main reason that we have seen that margins have declined on a consolidated basis? If you can tell any specific segment or subsidiary which have not performed well as per our expectation?

Manish Mohnot: No, I think on the consol front, when I look at stand-alone, there are 3 or 4 reasons why margins are down. One, as expected, our road assets still continue to be slightly negative, while they've significantly improved. Second, we have had some impact come from some of our T&D Saudi projects, which we had taken in our subsidiary, IBN Omairah.

These were projects of historical time during COVID time, which have nearly all closed and we have taken some hit there. Third, there are some losses in Fasttel, which were expected, although they've significantly improved. So they have significantly improved from the previous year. So it's a combination of all 3-4 things.

The good part is that we believe that we had done on majority of these losses, and that's why we have guided for a closer to 100 basis point improvement in consol margin getting into next year. So whether it is Saudi, whether it is Fasttel, whether it is road assets where one of them we're exiting and others, we have seen improved revenue. We believe that this was all in the last 2-3 years on consol in terms of lower profitability is now behind us. And going forward from here, we should see consol margins improving much faster than the stand-alone margins.

Gaurav Uttrani: Got it, sir. Sir, second question is on the order inflow, which you have given the guidance of INR 26,000 crores to INR 28,000 crores. So where we can see that major improvement will be?

Would it be largely driven by T&D and B&F? Or are we seeing some good traction into Water and Urban Infra segment as well for that? So I just want a broad breakup like how do

we plan

for this FY '26 inflows in terms of segment against the number of INR 26,000 crores to INR 28,000 crores?

Manish Mohnot: So our largest focus will still continue to be T&D and B&F, as I said on my call earlier. But why we say so, we're seeing good opportunities in Oil and Gas in Middle East. We are seeing some Kalpataru Projects International Limited

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reasonably good opportunities in Urban Infra and selective sectors. We are seeing some good traction coming in Water in the international business.

So while we say so that our key focus would still be T&D and B&F, but unlike previous year, where T&D and B&F was more than 90% of our order book, I believe that getting into next year, they might be lower than that 90% because good traction is visible in the other businesses. The only business where we continue to stay cautious is Railway because we're seeing huge competition there.

And that's a segment where we might not even have any orders inflows in the next year unless a few international orders come through. Besides Railways, we continue to be bullish in all other segments.

Gaurav Uttrani: Okay, sir. Got it. Sir, similarly, on the margins, my last question. So we have given a guidance of, say, for more than 5% on the PBT level on a stand-alone basis. So as you mentioned that we

are seeing a better margins order in the coming year. So would it be largely just contributed by T&D or B&F or we'll see a strong recovery in the water segment as well, which has been a drag for the company in FY '25?

Manish Mohnot: So I think just to correct yourself, my margin guidance is 5.25% to 5.5%. And I'm sure a 25 basis points in such volumes make a big difference. It's not 5%, but it's 5.25% to 5.5%. To answer your second question, yes, visible improvement, what we have assumed for the current year it comes across all our businesses.

Water, obviously, was a big drag last year, which would definitely improve because we've seen collections coming in March itself. T&D will continue to drive both top line as well as profitability given a healthy order book. B&F, we have been very selective in taking orders, high-value orders. So there also, you'll see margins going up significantly. So across all businesses, I think margins should go up.

In some places, maybe 50 to 100 basis points, in some cases, maybe 20 to 50 basis points. And Railways, I think, is somewhere where we will -- margins should not improve, but we shouldn't be bleeding further beyond where we are.

Moderator: Next question comes from the line of Mihir Manohar with Cernelian Asset Management.

Mihir Manohar : Congratulations on great set of numbers. Sir, I wanted to understand the substantial increase in cash balance, which has happened in this quarter, INR 850 crores of cash at parent level has gone up to INR 1,920 crores. Can you reconcile this how much has been received from JJM and how much is coming from operational improvement? I just wanted to get a sense from that.

Manish Mohnot: So Mihir, typically, for Kalpataru, our cash balance is always high because in the last week, we utilized our entire banking limits. So just so that you understand the framework in which we work as an organization. Every last quarter means -- every quarter, last 1 week or last 3 days, we utilize our full limits and keep the cash and cash in bank. So a significant portion of the cash Kalpataru Projects International Limited

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balance, which you see were lying in FDs and liquid funds at the year -end. More than INR 700 crores to INR 800 crores of this number, which is in cash balance. It could be more than INR 800 crores. Ram, do you remember how much was it?

Ram Patodia : INR 850 crores.

Manish Mohnot: Around INR 850 crores was lying in a few fixed deposits and liquid funds, which were all utilized in April

beginning for our routine business operations. So that's the nature of the way we do business operation, and you see that always for Kalpataru in our historical numbers also.

Mihir Manohar Understood. Sure. What was the receivable? I mean, how much was received from JJM? I remember at the start of the quarter it was some INR 720- 730 crores. INR 240-250 crores was in February, which we received. And the INR 400 crores that you mentioned is in March, right, which is on the top of that?

Manish Mohnot: Yes. So I think March, we got closer to INR 300-plus crores, if I'm not mistaken, on all water projects. INR 370 crores. Thanks, SKT. So March, we got closer to INR 370-375 crores. But while we say so April, we've still not seen much inflows in April because typically, budgets get frozen and utilized by March -- May. May, we are expecting some good traction coming from Water businesses and getting into Q1, things should be much better.

Mihir Manohar : Understood. My second question was on the large -sized projects. You mentioned that the incremental order book is on the HVDC and underground metro side. Just on a broad cut basis, I mean, large -sized complex projects, let's say, out of INR 65,000 crores, how much percentage would be large -sized complex projects versus, let's say, 2 years back, we were having INR 42,000 - 43,000 crores. So just to understand the change in composition of these large scale projects in the order book.

Manish Mohnot: Sure. So it's important for us to understand that the biggest strength which we have as KPIL is the strength of the merged entity of KPTL and JMC. Let me give you some perspective on this. If you go back to FY '23 -'24, our average order book size was around INR 280 crores. Getting into '24 -'25, our average order book size is closer to INR 390 crores, closer to INR 400 crores, right?

So first, our average order book size itself has gone up and it will further go up. Second, if you look at the previous year, based on the combined strength, we have taken some very, very large orders, right? We took order for a large development in Hyderabad from a large developer, which is closer to INR 2,000 crores. We took 2 orders in Guyana on delivery and T&D, which was approximately both put together closer to \$300 million.

We took airport at Bagdogra, which was closer to INR 1,000 -plus crores. We took huge orders in Oil and Gas in Middle East, driven by a civil, mechanical and electrical strength, which is \$800 million plus. We took large orders in Water in Amritsar, again, INR 1,000 crores plus. So typically, if you look at it, last year, we've got at least those 8 to 10 large orders, which were in

that INR 1,000 crores plus, which constitutes maybe 50% of our order book.
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And that's our focus going forward. Work with selective clients, large orders where we can utilize the strength of the merged entity. You can utilize the strength of having a good capex on our balance sheet and utilize our design engineering skills to make sure that profitability improves.

Mihir Manohar : Understood, sure. And just my third question was on the order inflow guidance. I mean, INR 25,000 crores of order flow we are having this year. Now given the fact that Power Grid itself has talking about 20% -25% growth in capex in FY '26 versus FY '25, also Middle East Oil and Gas business is doing well for you. So isn't this number on the conservative side? I mean how to understand the what sort of conservatism has been adopted while giving the order inflow guidance?

Manish Mohnot: No. So we've just given realistic guidance rather than conservative. But definitely, our guidance is with a backdrop of improving margins. Our focus -- whatever new order book we build now our focus is more on improving margins rather than looking at only the quantum. Where we sit today, we have

visible order books of closer to 2.5 -plus years, right?

So that's a very good order book in our business, and we believe that if we continuously focus on improving margins, that would be better instead of just taking that order book higher at an absolute level. So our focus next year would be improving margins on the new orders rather than just looking at numbers. And as I said earlier, a significant portion of the order book, I still assume would be T&D and B&F, but you will see good traction on the other businesses also.

Moderator: Next question comes from the line of Nidhi Shah with ICICI Securities.

Nidhi Shah: So my first question would be how do you see the order inflow and execution in the B&F business for FY '26?

Manish Mohnot: So, Nidhi, we're seeing good traction in the B&F business in FY '26. Our opening order book is very healthy, INR 14,000 -plus crores. Across all our clients, whether it is residential, commercial, industrial, airports or data centers, we have a good team which is working on it. Also, unlike Q1 of last year, where we had elections where labor was a challenge, we do not see labor to be such a big challenge right now.

And that's also a strike positive compared to where we were at the same time last year. So on an overall basis, we're seeing demand coming up in B&F. It still continues to be strong in all the sectors I mentioned earlier. We have a good order book. We work with selective clients where we have a relationship of decades, which helps us.

And we continue to focus more on domestic orders rather than large international projects, although we will continue to explore orders in Maldives, which has been a good base for us. So with all of this, we believe that B&F will contribute significantly into both order book revenue and profitability for the next year. SKT, do you want to add something on B&F?

S K Tripathi: No.

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Nidhi Shah: I had another question. So what will sort of drive the execution in FY '26? So you mentioned you have B&F and T&D, but within that also, what do we expect to drive execution in FY '26?

Manish Mohnot: I think, as I said earlier, execution in '26 is driven by all factors, a healthy order book, good set of clients, reasonable labor availability, reasonable, not necessarily what we need because that continues to be a big challenge. A strong balance sheet, a visible drive at both private sector as well as government level on delivery, improved international presence in a lot of countries. So a mix of this, we believe, would help us achieve this minimum 20% growth getting into next year.

Nidhi Shah: All right. Lastly, in the Water segment, other than collections, are we seeing any other issues in terms of getting orders or execution?

Manish Mohnot: I'll ask SKT to respond. SKT?

S K Tripathi: Yes, yes. So no, we are not seeing any other issue in the B&F sector.

Manish Mohnot: Water.

S K Tripathi: Water. Sowhat was the exact question? Can you repeat?

Manish Mohnot: Sorry, Water sector. Sorry, go on

Nidhi Shah: Outside of collections, was there any other -- are there any other issues that we're seeing cropping up in the water segment? So whether it's related to getting orders, competition or execution, are there any issues on any other front other than collection?

Manish Mohnot: So we don't see any other issue other than the collection, which so far during the 2 months in the current financial year, we are seeing some traction in some states. But overall, if I have to say that is there a positive direction, we are still cautious. We'll come back or we'll watch up to June how this sector opens up in terms of the collection. Otherwise, there is no other challenge. There are enough projects. Execution is not a challenge. We have enough strength to deliver the projects, but

we will be looking at the cash flow as a driving factor to ramp up the revenue and the execution.

Moderator: Next question comes from the line of Bharat Sheth with Quest Investment Advisors Private Limited.

Bharat Sheth : Congratulations, Mohnot ji and the whole team on the excellent performance.

Manish Mohnot: Thank you.

Bharat Sheth : Manishji, a question on a little longer term, if we have to -- you said that we are looking for diversifying some of the geography as well as we have a strong order book, which is having a large portion of complex projects, better profitability. So if I have to look at from, say, 2 years Kalpataru Projects International Limited

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perspective, how do we see when this complex will start rollout and further, is there room to improve the profitability? That is the first part on consol level?

Manish Mohnot: Sure. So Bharat bhai, first, let me just answer your question on the long term and our focus clearly. Our clear focus over the last 3 years post -COVID has been on, first, improving the order book value in terms of large orders; second, improving ROCE, right, where we have started getting out of our non-core things; and third, improving EPS along with strong delivery skills. So if you look at EPS in the last -- from INR 32, we have reached closer to INR 40 in the previous year. And current year, based on numbers, we should be targeting a minimum of INR 50. As far as delivery in complex large projects is concerned, I think we have started delivery in majority of these projects.

Our Saudi Aramco project, we have delivered more than 1/3 of the project in terms of physical already. In terms of our large real estate projects, which were really big in size, we have delivered more than 40% of our project in the last 1 year. Next 2 years, we'll deliver and it's on time and schedule.

Our Maldives Airport project, the first one which we took is fully ready, and we will be handing over to them in Q2 itself. Our large Maldives project on buildings and factories, our residential building is fully handed over or 90% plus handed over. Our international projects in Guyana, right, and those areas, Guyana, Chile, all of them have done very, very well.

So first, we have already started delivering on complex projects. Second, client has started a lot of belief in our capability of doing design, build and delivery projects, which is where the focus was last 3 years. And today, whether I look at B&F, whether I look at Urban Infra, whether I look at transmission, we do not like to do a simple core and shell or a simple project, which is only supplying of labor.

We would rather do a full EPC with design build, and that's our core strength. Today, at an organization level, our design team would be more than 300 people, right, across all segments, and it could be even higher. I do not have the exact number. This was the number.

Amit Uplenchwar It's almost 400.

Manish Mohnot: It's almost 400 plus Thanks, Amit. And that's where we are focused on. So our improvement in capabilities across the entire value chain, right, from design build to tendering in domestic and international markets to having a good capex base to having this delivery skill set and mindset saying that work happens first, whatever we do and improved profitability is what is giving us this confidence of improving all numbers.

If you go back to our Vision '25, we have slightly failed on it. We wanted to be INR 25,000 crores by '25, but we missed because of Water. But now we have extended that vision and said, in '26, how do we reach a number which is INR 25,000 crores plus, let's say, 10% or something like that, right?

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And that's what we're striving. So today, where we stand, practically, if you ask me, our biggest challenges continue to be labor availability

, which is a challenge for the industry and larger

geopolitical global issues, which hopefully should be behind us, but that's something which none

of us can focus on which none of us would have a predictability in any further.

Bharat Sheth : Correct.

Manish Mohnot: Yes. I hope that answers Bharat bhai.

Bharat Sheth : Yes. So, and I have to look at a second thing, I mean, from the domestic subsidiary, whether Road or SSL or this real estate. So when do we expect that will start, I mean, stop bleeding...

Manish Mohnot: Let me first answer the easiest question, real estate. I think Indore, we have sold up nearly 98%, except for 2 to 3 shops, we have sold up fully. And we expect all the money to come in the next 60 to 90 days. So INR 130-odd crores of Indore is all expected in the next 60 to 90 days. So we are out of that. As far as road assets is concerned, VEPL, we have already signed a binding agreement and working closely with NHA to get those approvals.

Even on WEPL, we have a cure period notice issued from our side as well as from NHA to us. And that's something over the next 6 months, we'll have clarity on how do we want to progress with WEPL. BBEPL is a small asset where we're not actually losing money, and it has only 3 to 4 years left. So that will see its logical conclusion, but we are not losing money on that project.

As far as Shubham is concerned, we have actually, in the previous year, we have nearly been break-even. Our PBT was actually zero and INR 114 crores of revenue. And we expect PBT to be at lower levels of, let's say, 0% to 1% only because that business still is not doing well. But even in Shubham, we have now exited the R SWC agreement because that had a minimum commitment kind of state.

So we have exited that, which will also reduce our bleeding to a certain extent. So even there, we see some improvement. So if you look at all the noncore, Indore will be out, Shubham improvement happening, VEPL will be out. WEPL, we are into a pure notice discussion with NHA right now. So you'll only see things improving right from now. Even Q1 onwards, you will see things improving.

Bharat Sheth : And last 2, I mean, this LMG, we had a very high hope. So how do we see LMG over the next 2-3 years from this INR 1,000 crore revenue to earlier, you had guided much higher growth.

And so from here, do we stick and further there is a room to improve order book ?

Manish Mohnot: So Bharat, just to give you a perspective, our Linjemontage revenue for the previous year was INR 1,800-plus crores. It was INR 1,000 crores in FY'23-'24. In FY '24-'25 is INR 1,800 crores plus. We expect that business to grow at a 20 %-25% at least for the next 2 to 3 years, given the order book visibility. Even on margins, they have done exceptionally well.

So from , if you look at FY'23-'24, their PBT was around INR 21 crores, which has gone up to around INR 70-plus crores in the FY'24 -25. That's a big number. While we say the Board has Kalpataru Projects International Limited

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also approved appointment of bankers as well as intermediaries to look at fund options, fundraising options in Sweden Linjemontage in the last Board meeting, which we have declared to everyone.

So we'll be exploring whatever options are available in terms of fundraising and coming back to all of you all over the next 6 to 9 months in terms of what our plans are. As far as the market is concerned, we continue to stay very bullish in that market, given the huge opportunity in Sweden, Norway and the neighboring countries and with limited players, which gives an advantage on both top line as well as profitability going forward.

Bharat Sheth : And Fasttel side, sir, South America market?

Manish Mohnot: On the Fasttel side, our revenue was around INR 700 crores in FY'23-'24, which went up to INR 939 crores in the previous year. On the PBT front, we had loss closer to

INR 70 crores in the previous year, which has come down to around INR 35 crores. We're working hard to break even this company in the next year, and the Board has decided to infuse some capital also, which we took the approval in the Board meeting, which happened on Friday.

So once we infuse some capital, which will reduce debt and provide some capex to that business, we expect that in the next 2 years, this business should start contributing profitability. But I can tell you confidently that numbers will be much better than what the numbers are right now going into the next year.

Bharat Sheth : And any new geography that you highlighted in your opening remarks?

Manish Mohnot: We continue to explore, and that's one success strength of Kalpataru over the last decade. We continue to explore new geographies. While we speak, we are looking at 2 to 3 more countries, but I'll keep those names with me. I'll be happy to declare it once we have some order wins there.

Moderator: Next question comes from the line of Vaibhav Shah with JM Financial.

Vaibhav Shah : Sir, what are the outstanding receivables from JJM as of March?

Manish Mohnot: I don't have the exact number, but it would be in excess of about INR 1,200 crores.

S K Tripathi: INR 1,500 crores.

Manish Mohnot: Approximately INR 1,500 crores, which includes billed and unbilled both.

S K Tripathi: Both.

Manish Mohnot: Billed would be around INR 800 plus crores. And there will be unbilled, which the final stages of billed would be INR 600-700 crores. So it will be total billed, unbilled around INR 1,500 crores. But from a billed perspective, it is INR 800-900 crores.

Vaibhav Shah : Okay. And sir, what amount total we received in Q4?

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Manish Mohnot: On Water in Q4 we got closer to INR 500 crores. I don't have the exact number, but it should be in the range of INR 500 crores in Q4, we got on Water, right? SKT?

S K Tripathi: Yes, yes. It's about INR 570 crores.

Manish Mohnot: INR 570 crores.

Vaibhav Shah : Okay. And sir, this INR 1,500 crore number, what time frame do we expect to recover?

Manish Mohnot: Sorry, I missed your first question. Which number?

Vaibhav Shah : The INR 1,500 crores receivables over what time frame we expect to recover?

Manish Mohnot: So I'll ask SKT to answer.

S K Tripathi: Yes. So this is still a big question to answer. So if you look at the distribution of this INR 1,500 crores, about INR 400 crores is in Uttar Pradesh (UP) , where we still do not have much visibility.

Madhya Pradesh , we have about INR 300 crores, —where we have now visibility and the states have started responding positively. Odisha , we have about INR 500 crores. They are also synchronizing. They have started releasing money.

And Jharkhand, we have absolute no visibility. So if you say that today on INR 1,500 crores, we have visibility to the extent of about 60% to 70%. And it should start coming out either in the June or in the quarter 2 , during July and August. But still UP is a big question mark. We will see how does it pan out.

Manish Mohnot: And just to add to SKT's point, we have inbuilt these assumptions into our projections for next year i.e. FY'26 . So the worst case is already inbuilt. So even for some reasons, if the money does not come in May, June and come in July, August, September, it could just be a timing issue more than anything else from an annualized numbers perspective.

Vaibhav Shah : Okay. Okay. Sir, secondly, what were the EBITDA margins in Fasttel and LMG for FY '25?

And what is the guidance for FY '27 -- for '26?

Manish Mohnot: So if you look at -- the easier one is Linjemontage, where we did an EBITDA of closer to 5% in FY '25. We expect this to only improve, so maybe in the range of 5 to 6% in that range. It's not going to go much higher than maybe from 5%, it might go to 6 %-6.25%. As

far as Fasttel is

concerned, our EBITDA margin was closer to 2.9% in FY '25. We definitely expect this to go up to levels of 4% to 5% in the next 2 years, might not be immediate, but over the next 2 years, we expect these numbers to go to number closer to 5%.

Vaibhav Shah : Okay. And sir, what was our capex in FY '25 and guidance for '26?

Manish Mohnot: Our capex for FY '25 was closer to INR 620-odd crores . Our guidance for FY '26 is in a similar range of INR 600-650 crores. We have typically guided based on our depreciation, which we

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expect to be in the range of INR 400-plus crores in the current year and slightly higher than that.

So capex should be in the range of INR 650-odd crores getting into FY'26.

Vaibhav Shah : Okay. And sir, loss funding for the BOT portfolio was around INR 75 crores for the year. So what amount should we consider for FY '26? And by what time do we target to monetize VEPL?

Manish Mohnot: Okay. So just to be very clear, the funding of INR 75 crores were not necessarily loss funding.

A significant portion of it was repayment of debt. So loss funding was extremely minimal as far as the INR 75 crores number of previous year is concerned. While we stand today, assuming that VEPL happens in, let's say, in Q2, Q3, we still believe we might have to do a funding of INR 60- 70 crores in the current year, primarily to repay debt . Debt on the other two assets i.e. BBEPL, the entire debt is to be repaid in the next 2 years, right? And after that, we still have 3 years left for BBEPL recovery. Even on WEPL, there's a debt repayment, which is due in the current year. So worst case, it would be INR 60- 70 crores. But if VEPL money comes in Q3, these numbers would reduce significantly.

Moderator: Next question comes from the line of Uttam Kumar Simal with Axis Securities Limited.

Uttam Kumar Simal : Sir, my question pertains to on a consolidated level last year on non -T&D, we have grown only by 3%, while T&D has grown by 27%. So how do you see non -T&D business growing this year on a consol level?

Manish Mohnot: So if you look at the non -T&D business, right, our B&F business still grew at a healthy double

digit, 20% plus, and I expect that to continue. So when I look at guidance in terms of growth for next year, we expect TL to do 20% plus. We expect B&F to be in the range of 18% to 20%. We expect water to do 10% plus, as I said earlier. Oil and Gas will still continue to grow at 100% plus given that large Saudi Aramco order. Urban Infra should be in a good 40% to 50% basis plus because of that lower revenue target, which they have.

Railways is the only business where we do not expect growth, and that should be going down from the current levels, maybe 10% lower than this. So majority business, except Railway, you'll see growth ranging from 10% to as high as 100% in the Oil and Gas business.

Uttam Kumar Simal : Okay, sir. And sir, any progress on data center business?

Manish Mohnot: We are currently working on one project. We are hopeful of winning at least one more project in this quarter itself. And while we speak, we are focused on bidding for 2 or 3 large projects in data center, which could materialize in Q2 or Q3.

Uttam Kumar Simal : And sir, what is the quantum of these projects?

Manish Mohnot: So this number being confidential because we will not still sign that, but all in the range of, let's say, INR 300- 700 crores kind of range .

Uttam Kumar Simal : And the margins in these businesses are higher than the traditional business that we are in or it is similar to that?

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Manish Mohnot: So margins will be that data center are typically similar to our B&F projects, but the ROCE is much higher because the data center projects do not require so

much capex . So from a ROCE

perspective, they are very good. But from a margin perspective, they are a similar range of, let's say, B&F at 8% to 10% or 9% to 11% at EBITDA level.

Uttam Kumar Simal : Okay. And sir, in the quarter 4, our finance cost has reduced substantially. So this should be the run rate going forward?

Manish Mohnot: I think Q4 is always a good quarter when it comes to collections from clients. And that's why our finance cost not now, but last 10 years, you look at it, you'll see that it's the lowest in Q4.

Also, current year Q4 had a positive impact of the QIP funds, which we collected of approximately INR 980-odd crores.

So that QIP funds, yes, that improvement is permanent in nature. Otherwise, on a Q-on-Q basis, from Q1 to Q3 interest will always be much higher than Q4. And Q4 is which balances because collections is always higher in Q4. So you'll see Q1 and Q2 debt as well as interest costs going up. That's the nature of our business.

Moderator: Next question comes from the line of Mahesh Patil with ICICI Securities.

Mahesh Patil : Sir, my question is on the order book. So out of the total order book, can you please guide us in terms of the -- how much of the order book is fixed price contracts? So just wanted to understand in terms of any cost escalations, how will this be absorbed?

Manish Mohnot: Sure. So if you look at today in terms of order book where we are, our fixed price order book is around 45—50% and variable is also around 45-50%. Significant portion of the variable order book is in more in that building and factories business where the entire order book is variable in nature. When you look at T&D, it is a lot more fixed, but B&F is variable in nature and some of the Railways business is variable in nature. But today, 45-50% is variable and balance is fixed in nature, approximately.

Moderator: Next question comes from the line of Bhoomika Nair with D AM Capital.

Bhoomika Nair: Yes, sir, you spoke about T&D activity being fairly strong. How do we see that kind of on such a high base kind of panning out for the next couple of years? Do we think that domestic T&D intake can jump up significantly? And also , if you can talk about the competitive intensity. While it has been quite decent so far, you've not really seen much of intensity kind of going up, but are you seeing any change now?

Manish Mohnot: So Bhoomika, in the T&D business, first, let me answer competitive intensity. You still have 5, 6 large players who are competitive enough and they've been in business for a long time. But the competition is a lot more sensible than what we had seen, let's say, 5 years, 7 years, even 3 years ago. As far as growth is concerned, the T&D business will require 3 critical segments.

One is your factory production capacity, which for us is significantly high, and we are further ramping up. We are adding further capacity of closer to 50,000 tons at the factories in the current

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year through investments in CNC machines and galvanizing facilities. Second is a requirement of a good team, which we already have, which we have built over the period of time.

Third is availability of bought-out items in the time of conductors, insulators, hardware, which we do not see any issues, except for some issues in high-end transformers, which are typically supplied by clients. And fourth is labor availability. I think to us, the biggest challenge in terms of growth would be the point number four because that's an area where you have to be cautious because T&D, unlike any other segment, is very, very scarce resources, right, whether it is erection, whether it is stringing, all of that. It's not easy to ramp that up at a level of the way you could ramp up any other business order book.

So to answer your question, we are very optimistic. We

assume that a growth of 20% plus in

terms of order book and T&D would be easy. We improved -- we assume that we were confident that margins will go up, but the biggest challenge will continue to be labor availability. And that's why we want to be more realistic rather than just running for order book where you start failing on delivery.

Bhoomika Nair: Sure, sir. This was helpful. Sir, similarly, on B&F, if I look at it in the last couple of years, the scale of the business or intake has really gone up materially. We used to be sub INR 4,000 crores of annual intake. And if we see FY'25 has been a very strong performance. And we've seen that order intake going up to about INR 8,000 crores plus with backlog also jumping up quite a bit. While obviously, the visibility for the next 2 to 3 years is quite high, do you think on this high base, I mean if you can talk a little bit of private capex, how are you seeing the ordering activity, etcetera, out here? And do you think that the order intake can go to a INR 10,000 crore kind of a number in the next year or two?

S K Tripathi: So Bhoomika, SKT here. So the whole B&F sector on the back of real estate growth across the country, is seeing a huge upsurge in all the regions, whether it is the NCR, Mumbai, South, right? And as we see the traction currently, so if you look at last couple of years, 2 years or so, a lot of projects have been launched by the developers, and there is a good demand across the country on the real estate side in all the segments, whether it is a lower segment, middle segment and the very high value segments of the real estate.

And that is -- whole thing is driving the sector. To answer your question for next 2 years, we still see current momentum may not hold, but what we have seen in the last 2 years, there may be some slowdown, but because all the projects which have been launched, they have to be delivered.

And next 2 to 2.5 years, the developers will be focusing on that. But still, we can see the 80% to 85% of current traction to continue over the next 2 years. And that will further broaden the base for us to ramp up the order booking as well as the growth.

Manish Mohnot: Just to add to what SKT said, Bhoomika, we're also seeing good traction coming on the industrial side, whether industrial coming from the central PSUs, whether it's industrial coming from Kalpataru Projects International Limited

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specific segments in ferrous and nonferrous, whether it's industrial coming in OEM. So that's also an area where we believe that opportunity could be very good as we have built this significantly over the last 3 to 4 years.

So on an overall perspective, just adding to what SKT said, this business looks good from all perspective, and we have an additional advantage of working on projects in B&F at least where RERA is there. So at least we do not have the risk of fund issues or credit risk issues in any form.

Bhoomika Nair: Sure, sir, on the INR 14,000 crore order book that we have roughly for this segment, how would it be split between real estate and say, factories?

S K Tripathi: So Bhoomika, about INR 1,500 crores or so will be the industrial and the major portion, INR 12,500 crores still remains the core building works

Manish Mohnot: So I'll just add airports INR 1,000 crores.

S K Tripathi: Yes.

Manish Mohnot: Airports is INR 1,000 crores, INR 1,500 crores is industry and the balance would be residential and commercial.

S K Tripathi: Yes.

Moderator: Next question comes from the line of Samarth Khandelwal with ICICI Securities.

Samarth Khandelwal: Sir, I wanted to understand, is there a difference between HVDC, T&D orders versus normal T&D orders in terms of margin profile and execution time line?

Manish Mohnot: So Samarth, in terms of margin profile, I think overall T&D domestic would be in a similar margin profile

of HVDC. There's not much big difference in terms of HVDC versus others. In terms of competitive spread, yes, HVDC, we still find some less competition, not everyone qualifies in HVDC substation projects.

In terms of delivery, yes, HVDC projects typically are slightly longer in delivery on substation

because of the lead long lead items on procurement. As far as transmission is concerned, HVDC similar 36 to 42 months, which is similar to some of our normal projects. But profitability is similar across the board.

Moderator: Next question comes from the line of Mihir Manohar with Carnelian Asset Management.

Mihir Manohar : Sir, you mentioned about this 8 to 10 large -sized projects, INR 1,000 crores plus ticket sizes, which we have won over the last 2 to 2.5 years. Just wanted to get a sense how would be the margins and working capital efficient working capital comes from these projects? I understand that margins would be better because that is where you are guiding a better margins in FY '26. On the working capital, how to understand these large -sized projects?

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Manish Mohnot: So Mihir, when you look at large -sized projects, typically, margin percentages do not vary significantly, okay . Because margin percentages, they are all mature markets, you can't expect that you'll be having a very different margin profile, maybe 25 basis points here or there. What is different is your ROCE numbers .

Because large projects in terms of you have a reasonably good advance, you have capex which gets out of your advance and your return ratios are much better than doing 3 smaller projects at a given point of time. What is better is your capability to deliver on or before time because we're very much focused on doing one project at a given point of time with a much better team.

So to answer your question, the capability requirements are very different, which only a few players in this country, maybe less than 5 players in the country would have on various segments. The balance sheet requirement in terms of capex is very high, which is where we have a big advantage. The margin profiles are slightly better, but I wouldn't say significantly better, but the ROCE numbers are much better on such large projects because the advances, everything else is very good.

Mihir Manohar : Sure. Understood. So against the blended working capital days of 90 to 95 days, what would be the working capital days on the large -sized projects?

Manish Mohnot: No, as I said earlier, it would be similar in nature. Maybe it would be 85 days in some, maybe 90 days. But typically, international large -sized projects, working capital tend to be more in the range of 50 to 60 days. The domestic projects all tend to be in the similar range of 85 to 100 days, depending on project to project.

Mihir Manohar : Okay. Understood. Sure. Second question was on the subsidiaries. I mean, when you say FY '24, the parent minus consol is INR 7 crores of loss. FY '25, consol minus parent is INR 79 crores of loss. If you can reconcile this INR 79 crores, how is this split? I mean how are the -- what is the PAT numbers for LMG, Fasttel, Saudi asset, road asset and real estate across these 5 companies for FY '24 and FY'25?

Manish Mohnot: Sure. So when you look at losses coming in significantly, the significant loss which came in from Brazil which includes Fasttel and , which is closer to INR50 crores in the current year.

There's a loss on IBN Omairah Saudi, which is what I said, some old Saudi projects, which are all at a closure stage, which is closer to INR 50odd crores.

And there's a loss coming on some of the other entities, which is around INR20-25 crores, which includes Senegal, Chile, some of them. On the gain side, there's significant gain which comes in from KPTL Sweden, which is around INR 65 crores. So that's how the tally on the road,

SPVs

has a loss of around INR 20 crores at a PBT level.

But more significant , as I said earlier, a significant percentage of the losses, whether it is Brazil, whether it is Saudi, whether it is Indore, all of that would no longer continue getting into FY'25-'26, and that's why we're guiding for much higher numbers on consol getting into FY'25-'26.

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Mihir Manohar : Sure. Just one last question on this consol. I mean, we have guided for 100 basis points of improvement of the consol margins. So this improvement would largely come from which part of the pieces of the subsidiary? And what sort of conservatism has been adopted while this guidance?

Manish Mohnot: So Mihir, you see improvement on all fronts, as I said earlier. Saicharan, we will be exiting fully Indore, so that will be a positive. Road SPVs, we are exiting one of them in Q2 or Q3, so that would be a positive. Kalpataru Brazil, while still would be negative, but it would not be as high a negative what we have seen. Saudi IBN Omairah would get into a positive zone because those projects are nearly completed. So it will be positive across the board. The only negative which would continue would be maybe Fasttel to a certain extent, but to a much lower extent.

Everything else should be positive getting into next year.

Moderator: Next question comes from the line of Mehul Mehta with Choice Equity Broking.

Mehul Mehta : Congrats on great set of numbers. My question is with relation to tax rate. For this year, FY '25, it has been 31% as compared to 26%. What explains this?

Manish Mohnot: So Mehul let me just start with and I'll ask Ram to add 2 or 3 aspects. One, a lot of our international projects have higher tax rate. Some of them as high as more than 30%. So that is one area where -- because majority of our projects are at a branch level and not through subsidiary. So that's where one tax rates are high.

Second is some projects where we have had losses, we've not necessarily created deferred tax assets. And that helped us because we realistically believe that creating that asset just for the balance sheet purpose makes no sense. So that's where some of those projects where we've had losses, but we've not taken the benefit of any deferred tax assets. So that's the second area. And I'll ask Ram to add anything else, which I might have missed out, Ram?

Ram Patodia : The third area is that earlier, we had a deferred tax asset in respect of capital gains. So that deferred tax assets rate has gone down. So there is an impact of about INR 11-plus crores because of the tax rate difference.

Manish Mohnot: Yes. I think that capital gains earlier it was 20%, is now 12.5%. So that is also some deferred tax asset was there, which -- to reduce the value. Yes. Thanks, Ram. That was it. But on an holistic basis, we still believe that our tax rates even for the current year would still continue to be in the range of 28% plus. We would not be at 25 %-26%. It would be 28% - 29% itself because given that international orders are at higher tax rates.

Moderator: Next question comes from the line of Mohit Kumar with ICICI Securities.

Mohit Kumar: One clarification, sir, on the consol minus stand-alone, is it most of the losses in the subsidiaries has been booked in the Q4? Is that right? I see the difference is the consol minus stand-alone is skewed in the Q4, while Q1, Q2, Q3 has a much lesser difference.

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Manish Mohnot: So to be specific, there are a couple of large losses which have come in Q4 driven by business. One, we have seen Saicharan properties, which is Indore where we have sold off the entire amount in Q4, you've seen some traction on that. Second, Kalpataru Brazil, typically, Q4 is where you see the highest revenue, so you see that cost incurrence ac-

cordingly.

So this two, yes, otherwise else, it's been uniformly distributed. As far as others are concerned, it's not been so bad in Q4, but only in Brazil and Saicharan, we have seen slightly higher number coming in Q4. And Saicharan was logical, we sold off our entire left out portfolio in terms of flats at Indore flats and commercial at Indore.

Moderator: Next question comes from the line of Ishan Verma with InCred Research.

Ishan Verma : Congratulations on the good set of numbers. I just wanted to know what is our L1 order book position as of now?

Manish Mohnot: Our L1 order book today should be in the range of INR 2,000 Crores and we have declared around INR 2,300 crores in the last week itself. Our L1 order should be in the range of INR 2,000 -plus crores.

Ishan Verma : INR 2,000-plus crores. And also on the Oil and Gas segment specifically, there is no order inflow in this year, but we have -- we expect some orders to come in FY '26. So what leads to this optimism?

Manish Mohnot: So in the previous year, we consciously did not take orders in the Oil and Gas business because just before that, we've taken a huge order on Saudi Aramco. So our focus in the previous year was primarily in making sure that we ramp up execution, build a further strong team and do capex and all of that.

Now that we have ramped it up and we have seen delivery happening at very good levels as far as these projects are concerned, we believe that in the Middle East, whether it is Aramco, whether it is Abu Dhabi, whether it is Qatar or Oman, any of that, where we are all qualified, there could be good traction. So previous year was a conscious call given that there was a huge order book.

Getting into next -- the current year, we started bidding again. And given that there are only a few large players from India working in that segment of the world, we believe that there's a good probability we should get some good orders in the current year. While we say so, on the domestic Oil and Gas front, we are not so bullish. Our bullishness is more on the international Oil and Gas front.

Ishan Verma : Okay. Makes sense. So one thing more. On the capex side, you are targeting 50,000 ton capacity expansion, right? So what kind of capex would go into that? And what the capex will be done to what other segments will you be putting?

Manish Mohnot: Yes. So we're looking at expansion of close to 50,000 tons per annum, which is around 4,000

tons per month. I don't see huge capex , maybe in the range of INR 20- 25 crores should be
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enough as far as capex is concerned for the plant expansion. We've already done some capex in Q4. So in totality, it will be INR 30- 35 crores out of which INR 10 crores we have done and INR 20-odd crores further in the next 6 to 12 months.

Ishan Verma : Okay. What is our current capacity for T&D?

Manish Mohnot: So our capacity is more than around 2.5 lakh tons is what we are aiming for the current year. Right now we are at around 240,000 tons out of our both plants, Raipur and Gandhinagar put together.

Ishan Verma : Okay. Got it. And one thing, we see that the cost of sales for the quarter 4 has significantly gone up and it used to be in the range of 75% of sales, similar for the consolidated as well as for the stand -alone level, maybe leading to increase in subcontracting or construction costs. Could you just give some gist on that?

Manish Mohnot: I think it's just the mix of projects more than anything else, right . It's just a mix of projects which derives that. So for example, if the Saudi Aramco project has done significant in Q4, there's everything is into subcontracting and there's no bought out there. So it's only a mix of projects more than anything else, and it would be good to look at it on an annualized basis instead of looking at it on a quarterly basis.

Mo

derator: Ladies and gentlemen, due to time constraint, we have reached at the end of question -and-answer session. I would now like to hand the conference over to Ms. Bhoomika Nair for closing comments.

Bhoomika Nair: Yes. I would like to thank all the participants for being on the call and particularly the management for giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best. Any closing remarks from your end?

Manish Mohnot: I think thank you very much for being on the call. We hope that we can deliver better results getting into the current year. Thank you very much.

Moderator: Thank you. On behalf of DAM Capital, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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"Kalpataru Projects International Limited
Q1 FY '26 Earnings Conference Call "
August 08, 2025

MANAGEMENT : MR. MANISH MOHNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. S.K. TRIPATHI – DEPUTY MANAGING DIRECTOR

MR. SANJAY DALMIA – EXECUTIVE DIRECTOR

MR. AMIT UPLENCHWAR – DIRECTOR GROUP
STRATEGY

MR. RAM PATODIA – PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to the Kalpataru Projects International's Q1 FY '26 Earnings Conference Call, hosted by DAM Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.

Bhoomika Nair: Thanks, and good morning, everyone, and a warm welcome to the Q1 FY '26 Earnings Call of Kalpataru Projects International Limited. We have the management today being represented by Mr. Manish Mohnot, Managing Director and CEO; Mr. S.K. Tripathi, Deputy Managing Director; Mr. Sanjay Dalmia, Executive Director; Mr. Amit Uplenchwar, Director, Group Strategy; and Mr. Ram Patodia, President, Finance and CFO.

At this point, I'll hand over the floor to Mr. Mohnot for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Manish Mohnot: Thank you, Bhoomika. Good morning, everyone, and thank you for joining us on today's earnings call. I'm happy to share that we have had a strong start to FY '26. The performance for quarter 1 of '26 marks our highest ever Q1 revenue and profitability in the company's history. This performance reflects the underlying strength and resilience of our diversified business model, robust balance sheet, and working capital management and relentless focus on project execution on back of strong capabilities to execute EPC projects across diverse geographies. Let us now move to the business performance. At the consolidated and stand-alone level, both revenue for Q1 grew by a strong 35% Y-o-Y, led by strong project execution and healthy order backlog.

In Q1 FY '26, improvement in profitability has significantly outpaced revenue growth as our consol EBITDA grew by 39% Y-o-Y, PBT grew by 112% Y-o-Y and PAT was up by 154% Y-o-Y. Similarly, at stand-alone level, EBITDA was up by 37% Y-o-Y, PBT grew by 67% Y-o-Y and PAT was up by 72% in Q1 '26.

This was on back of 20 basis point improvement in consol EBITDA margin, which stood at 8.5% and 170 basis point improvement in consol PBT margin. Our stand-alone EBITDA margin was up by 10 basis points to reach 8.5% and PBT margin improved by strong 100 basis points to 5.4% for Q1 '26. As guided earlier, margin expansion remains a major focus area for us on back of strategic bidding, diversified business mix, prudent working capital and operational efficiencies.

Our finance cost as a percentage of sales has come down to 1.7% at stand-alone level and 2% at consol level backed by efficient working capital management. We continue to maintain a strong balance sheet as we close the quarter with 33% Y-o-Y reduction in stand-alone net debt to INR1,940 crores and 26% Y-o-Y reduction in consol net debt to INR2,765 crores.

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Our net working capital has improved significantly compared to similar quarter last year with net working capital days at 106 days at stand-alone level and 91 days at consol level, which is an improvement of 19 days at stand-alone level and 12 days at consol level compared to the similar quarter last year.

Our order inflows remained healthy at INR9,899 crores till date in FY '26 with significant wins in the B&F and T&D business. Our order book stands at INR65,475 crores as of June 30, 2025, up 14% Y-o-Y with fairly diversified and provides strong visibility for future growth.

Now coming to the performance of individual businesses. Our Transmissi

on & Distribution

business delivered a strong revenue growth of 56% Y-o-Y, supported by robust order backlog and project execution in India and overseas market. We received new orders of INR3,188 crores in the T&D business, supported by India and international markets. Our T&D order book stands INR26,725 crores, a growth of 30% Y-o-Y, reflecting good growth visibility in coming quarters. We continue to strengthen our capabilities and market reach in the T&D business as we have secured new HVDC project and strengthened presence in the Middle East and Nordic region. LMG Sweden has reported revenue growth of 72% Y-o-Y to INR774 crores. LMG received orders worth approx. INR850 crores till date in FY '26 and have an order backlog of around INR3,500 as of 30th June '25.

We have initiated a strategic overview on LMG where various options are being evaluated, including options related to IPO, subject to market conditions. In this regard, merchant bankers and other advisers and intermediaries have been appointed to assist with such evaluation and LMG has initiated certain preparatory steps.

Overall, the outlook for our T&D business remains very optimistic in domestic and overseas market with tender pipeline in excess of INR1,20,000 crores in the next 12 to 18 months driven by investments in energy transition, grid modernisation and the growing demand for power. We are confident that our T&D business is well positioned to continue its growth trajectory with improved profitability going forward.

In Q1 '26, as Buildings & Factory business maintained its growth momentum, recording a 13% Y-o-Y increase in revenue. We have secured record orders worth INR6,711 crores, taking an order book to an all-time high level of over INR16,600 crores in the B&F business. This performance is driven on back of a strong capability to win and execute large size design and build contracts from both long-standing and new clients. Notably, we have secured our largest B&F order on design-build business till date in our history for development of over 12 million square feet of residential buildings in one single project.

Additionally, we expanded our presence in the data center business with additional works on an existing project. In the buildings and factories business, we continue to focus on establishing strong footprint in key markets expanding our portfolio with large-scale design-build projects while sharpening our competitive edge to robust execution and timely delivery.

Our Oil and Gas business delivered strong growth with revenue more than doubling to INR588 crores progressed with good progress on the Saudi project. Looking ahead, we are actively

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working to improve our presence in international markets to drive the next phase of growth in this business.

Our Water business saw a decline in revenue by 5% Y-o-Y to INR670 crores. Collections in the Water business has started to improve in a few states, while progress in certain states still remains very slow on the collection front. We expect collection intensity to improve going forward. With an order backlog of INR8,900 crores, we remain comfortable on the execution front in the coming quarters and also in the next few years.

Our Urban Infra business delivered strong performance this quarter with a 42% Y-o-Y growth driven by progress on metro rail projects, both elevated and underground. We are continuously building our capabilities in execution and delivering to capitalise on the growing pipeline of opportunities in metro systems, elevated corridors and tunneling infrastructure.

In our Railway business, we recorded revenue of INR254 crores during this quarter. This aligns with the current strategy of prioritizing project closures while being selective with new orders given the competitive intensity in

this business.

Lastly, daily revenue from our Road BOOT assets rose to INR72.6 lakhs in Q1 '26 from INR63.6 lakhs in Q1 '25. Importantly, we have not infused any funds in the 3 road SPVs during the first quarter.

Our subsidiary, Wainganga has issued termination - Wainganga Expressway, WEPL, has issued termination notice to NHAI on 15 July due to various contractual defaults on the part of the NHAI. The company does not expect any material impact on the termination of on our financials. We are progressing well on approval for sale of Vindhyachal Expressway and expect to complete the transaction in Q3 of '25/'26.

Moving now to our outlook. We remain confident to deliver on our targeted growth and profitability for FY '26. We are on track to achieve revenue growth in the range of 20% to 25% at both stand-alone and consol level with healthy improvement in PBT margin.

Our order visibility remains very positive in most of our businesses as we continue to target order inflows of INR26,000 to INR28,000 crores for full year '26. We also remain committed to efficient working capital and prudent debt management to support execution and competitiveness. With strong momentum across most of our businesses, we are confident in delivering sustainable and profitable growth in the quarters ahead.

Thank you for your continued support. We now look forward to your questions. Thank you.

Moderator: We have our first question from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: Congratulations on a very strong quarter. But sir, my first question on the despite very, very strong order inflow, it seems like the India T&D was slow in the Q1. Can you please comment on that? And how do you see that unfolding forward?

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Manish Mohnot: Mohit, if you look at our T&D order inflow in the India side, you would have seen Q3, Q4 we won orders more than INR7,000 crores. Typically, you see a lot of orders coming in Q3, Q4, driven by all the tenders of power grid and REC and PFC bidding. We have not seen much bidding in Q1, which is a typical strategy. But while we go ahead, there's a huge backlog. We've seen tenders of more than INR50,000 to INR60,000 crores to be bid over the next 6 months primarily for grid expansion, which are tenders are all being quoted by REC and PFC.

So we remain very confident that you'll see that growth coming in very, very soon. From the last 9 months perspective, we have got orders in domestic T&D of more than INR7,000 crores to INR8,000 crores. So it's just a timing issue. And getting into Q2, Q3, you see growth coming back in terms of order book also in domestic T&D.

Mohit Kumar: But is it fair to say that India saw roughly INR1.3 trillion of order of bid finalisation in FY '25?

Is it fair to assume that a lot of these projects are yet to close the EPC contract? And...

Manish Mohnot: So Mohit, it's a mix. It's a mix of a lot of orders have been closed. A lot of orders are in the stage of a pipeline in terms of bidding. But the plans going forward to achieve the 2032 target, which is the NEP target, I think we'll have to grow at least 20%, 25%, if not 1 more in the next 3 years in the T&D space.

Mohit Kumar: Understood. The second question is on the Building and Factory wins. This quarter was surprisingly very good. Can you comment on the spread, geographical spread? And is it driven by few clients or is driven by a large number of clients?

Manish Mohnot: On the B&F side, on the geographical space, our biggest strength continues to be Southern India, where whether it is in all the markets, whether it is Bangalore, Hyderabad, Chennai, Vizag, all of them. That would be closer to 60% of our order book 60%, 65%. The balance 35% would be driven between West and North primarily. As far as the client concentration is concerned, we work with sel

ective clients. The biggest clients of the country, whether it is Prestige, whether it is DLF, whether it is Godrej, whether it's Puravankara or whether it's Brigade. We work with

selective clients, but these are the biggest clients of the country.

We do not see any client concentration risk in any form because majority of the projects which we're executing have already been launched and significant sales are visible in those projects. And given the RERA, given the current RERA environment, we see minimal stress on any of those projects from a client concentration risk perspective.

Moderator: We have our next question from the line of Gaurav Uttrani from Axis Capital.

Gaurav Uttrani: Congratulations on the good set of numbers. Sir, I just wanted to comment on the Water segment, like how we are seeing recovery in the segment? And are we seeing new inflows to sort of come in the segment? Similarly, for the Railways, if you can highlight like what would be the progress going forward? And what would be our strategy to grow this segment as a whole?

Manish Mohnot: Sure. Thank you, Gaurav. Gaurav, on the Water segment, as I mentioned earlier, we're seeing some improvements coming in some states in terms of cash flow. So when I look at states like MP, Orissa, we're seeing good improvements coming on cash flows. We're getting paid whatever Kalpataru Projects International Limited

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we are billing today. But in some states, primarily UP and Jharkhand, we are still not seeing too much traction on release of our whole outstanding. We believe that it's only a matter of time because these are all projects funded by the Center and all budget allocation has been done. We are cautious in terms of delivering, we're primarily focusing delivering on states, which are paying us on time. So to that extent, we are slightly cautious, but I wouldn't say we have reduced it significantly. So going forward, we believe next couple of quarters, the balance states should also start paying, and that would help us, again, to actively look at projects from a long-term perspective. Our current order book on Water is good enough for the next 2-2.5 years. So we are not worried in terms of an order book building immediately, given the current constraint on cash flows.

As far as Railways is concerned, we've been slightly bearish in this business for the last couple of years because we've seen huge competition, plus 95% plus of the country is already electrified. We do see some projects coming up on electrification, on metro electrification as well as civil projects, but we are very, very cautious. So both Water and Railways, we continue to explore international opportunities, and I personally believe that during the current year, we should at least see one large win in both the segments on the international front.

Gaurav Uttrani: Got it, sir. And sir, our margins have been really good this quarter, like at 8.5%. So it's taking into consideration that Water segment would have performed well. So what would be the impact, negative impact that on the margins due to underperformance of the quarter segment, if you can highlight that?

Manish Mohnot: So we have already built in this when we gave our projections at the beginning of the year, where Water segment was not supposed to grow so much during the current year because we knew that these challenges might continue for some more time. So whenever we have given our profitability target of 5%, 5.5% PBT level, we had already included that impact.

So Water is right now at more at a, if you look at it on a quarterly basis, more at a breakeven level. They've not done highly positive, they've not highly negative. But that is what was already budgeted in the numbers when we gave projections to the entire market.

Moderator: We have our next question from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah:

Sir, firstly, on the B&F business. So we have seen a strong uptick in order inflows and order book also strengthened in the past few quarters. So how would you see the revenue growth in this segment? So it should be in line with the company's overall growth guidance? Or it can even surpass the growth given the strong order book position?

Manish Mohnot: Vaibhav, we believe that the order book, the revenue growth would be in line with whatever we expected for the company as a whole, the 20% to 25%. A lot of these new orders which have come are more design-build orders. So, converting them to revenue would take some more time. It would not happen in Q2, Q3. It would even only start in Q4. So, on an annualised basis, we believe that B&F business should be very similar to the growth target, which is given for the entire company?

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Vaibhav Shah: Okay. Sir, secondly, on the JJM side, will we see a decline in Water execution for the entire year like it was in the first quarter? And what are the outstanding receivables results as of June?

Manish Mohnot: So on an annualised basis, we believe that the Water business will do slightly better than what they did in the previous year. It might not be a huge growth, but it would still be a single-digit

growth in terms of revenue. As far as our JJM outstandings are concerned, they are in excess of INR1,000 crores as of 30th June, which includes billed, unbilled all of them. And we are monitoring that closely. And I said earlier, some of the states like UP and Jharkhand the outstanding is much higher. But the other states, the outstanding have improved significantly.

Vaibhav Shah: Okay. And sir, lastly, on the margin bit. So you mentioned that in Water, we are at breakeven levels and Railway also should be at similar levels or a negative level. So how do you see the margins, especially in the T&D and the B&F segment, which are the major contributors for us?

Manish Mohnot: So I think as we've guided earlier, T&D, B&F, Oil and Gas, all of them are in terms of margins are much stronger more in the range of 9% to 10% EBITDA for all of these businesses. And some of the other businesses are much lower on EBITDA, and that's why this consol - this mixed bag of 8.5%. We believe that this would continue for the balance part of the year also wherein some of our Transmission domestic and international, B&F and Oil and Gas will deliver much higher margins and the other businesses would be slightly subdued on margins.

Vaibhav Shah: And lastly, on LMG and Fasttel, how has been the margin performance in the first quarter? And what is the guidance for FY '26?

Manish Mohnot: I think the margin performance for LMG in the first quarter, I mean, I think at an EBITDA level, they have done 8% plus. As far as Fasttel is concerned, they continue to be negative on EBITDA even in the current quarter. We're not able to provide guidance for the current year given that the process of looking at options of fundraise have started for LMG.

Vaibhav Shah: So sir, execution was very much very strong in the first quarter for LMG. So this momentum should continue?

Manish Mohnot: Yes, because the order book looks very good.

Moderator: We have our next question from the line of Mihir Manohar from Carnelian Capital.

Mihir Manohar: Congratulations on a great set of numbers. Sir, I wanted to understand on the JJM side. You mentioned excess of INR1,000 crores billed plus unbilled put together. What is the bifurcation between build and unbilled? And what was this number individually on March quarter?

Manish Mohnot: Mihir, I might not have the exact details of that with me right now. I think compared to March quarter, I know that the incremental cash, which we have given in the current quarter is only around INR150 crores to INR200 crores. As far as details

specifically in terms of what is - how

much is billed and unbilled, if you can connect with any of our team members post the call, they'll be able to give you those details.

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Mihir Manohar: Sure, sir. I mean on the UP side, we were expecting the numbers - I mean, this recovery to happen roughly April or May around. But however, there are still August, but the number has not come in. Broadly, I mean, what is the reason for UP and Jharkhand that the money is not flowing in?

Manish Mohnot: No, we wouldn't know the exact reasons except that they have not got the funding from the center as of now. We are in continuous touch with them. We still continue to work on majority of the projects in UP. While Jharkhand, we have slightly slowed down our work execution. We have had discussions both at the state and the central level at across all levels.

We've been given to understand that we should see some cash flow coming in as early as August, September, this next few months itself. We'll just keep our fingers crossed, continue working and continue pushing to see that the cash flow comes sooner than later.

Mihir Manohar: Understood, sir. Second question is on the LMG side. I mean we are exploring options for either raising capital over there or a separate listing. I just wanted to understand the thought process because I mean, it is also T&D business similarly sitting in KPIL. So what is the strategy and thought process of getting it a separate subsidiary listing in subsidiary?

Manish Mohnot: As I said earlier, we cannot comment much as we're looking at various options, and we're exploring that, and we've appointed bankers and advisers for that.

Mihir Manohar: Understood, sir. And my last question was on the international side. On the international, just do we execute HVDC projects also?

Manish Mohnot: Yes, we do, but not across the globe. In some parts of the world, Latin America, Chile, we're doing an HVDC. So some parts of the globe, yes, we're doing HVDC projects but not across the globe. Brazil and Chile, yes. Sweden, not so much. But it's a mix. So it depends on whatever opportunities exist in any of those countries. But if your question is, are we qualified to do HVDC projects at a global level? The answer is yes, we're qualified to do HVDC projects at a global level.

Mihir Manohar: Okay. Understood. Just on the HVDC globally, I mean, are the margins and ROE, ROCE better than the non-HVDC or lower kV projects just from a fundamental perspective?

Manish Mohnot: No, I don't think there's any difference in terms of HVDC or non-HVDC projects when it comes to margins or ROCE or ROE because we built all that in the tender costing and effectively, we

build at similar margins. So it's not that if it is HVDC versus non -HVDC the margins would be different in any form.

Mihir Manohar: Understood sir. And my last question was just on the guidance. I mean, given a good trajectory, which I said in 1Q and also robust capex across the power T&D space, do we expect our guidance to be revised upwards?

Manish Mohnot: I'm sure you would have heard my opening remarks. At the beginning of the year, I said 20% plus. Compared to that, right now, we have said 20% to 25%, and I personally believe we should
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be more closer to that 25% level in terms of revenue growth guidance. With margin guidance being similar of 5 % and 5.5% at a stand -alone level.

Moderator: We have our next question from Amit Anwani from PL Capital.

Amit Anwani: Congrats for the good set of numbers. First question, sir, on the debt levels, what kind of target debt levels we are looking at this year? Also, the V EPL transaction, if it happens, what is the value we are expecting? How much we invested and will that help making up balance sheet

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better. Some color on the debt position and how V EPL is also going to benefit us in terms of the balance sheet ?

Manish Mohnot: Amit, we continue to stay cautious on our debt levels, and that's been our model all throughout the last 10 -15 years. We believe that our net working capital days will be below 100 days at the year-end, which is one of our targets. And driven by growth, you'll have appropriate debt. Q1, typically, you see debt going up. That's been a trend of the industry as a whole, and you've seen that now also.

So my own view is Q1, Q2 debt should go up, and it should start stabilizing in Q3/Q4. On absolute numbers, it will be driven by how much growth we achieved with working capital days below 100 - net working capital days below 100 at a standalone level. That's how we're driving it as far as debt and net working capital is concerned.

Amit Anwani: Right, sir. Sir, we are expecting in Indore real estate. So any update? Has that been closed? And is the money received? And the second, same for the Shree Shubham Logistics, what exactly you'll be looking for in the subsequent quarters as a strategy ?

Manish Mohnot: So Shree Shubham Logistics, we continue to explore opportunities of selling some of our warehouses and land parcels, which were there and reducing external debt. We should be selling at least 2 to 3 large warehouses in the current year. One of them may be in as early as Q2. Our target is to reduce external debt significantly by the end of the year, and then we could look at strategic options getting into the next year for Shree Shubham.

As far as the real estate is concerned, I think we have already given on the Indore side, majority of our projects are majority , if not majority, I would say 99% of residential and shops are sold. We have to collect close to INR100 crores, which we believe collection should all happen in Q2 or early Q3, not beyond that. That's on the Indore project.

Amit Anwani: The amount which we are expecting?

Manish Mohnot: It's closer to INR100 odd crores.

Moderator: We have our next question from the line of Abhijeet Singh from Systematix Group.

Abhijeet Singh: Great to see an amazing set of results from this quarter. My first question is, given the current mix of the order book, what is the sensitivity to an increase in commodity prices like steel, copper, etcetera, whatever the commodities that are the input costs. So what is the, I mean,
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proportion of, let's say fixed price contracts to the contracts for the PVC clause and other variables which could go into the sensitivity?

Manish Mohnot: So Abhijeet, just so that we are very clear, we are exposed to 3 or 4 kinds of commodity risk, steel being the largest, aluminum, second, copper and zinc. As far as aluminum and copper and zinc are concerned, we are significantly hedged if not fully hedged. So there will be no impact of any price movements going forward.

On an overall book , if you look at our order book, there's around 65% of our order book, which is fixed in nature. So that 65%, we do not believe that there will be any impact from any increase in any of the commodity prices. There's 35%, which is variable. And out of that 35%, significant is already hedged.

So personally, if you ask me, there could be very, very minimal impact in case prices go up significantly unless prices double from here, which we saw post -COVID when suddenly steel had doubled itself. So unless that happens, we do not believe there will be any impact on margins

given by volatility at least in the current year.

Abhijeet Singh: So only a sudden and sharp increase in steel could impact substantially?

Manish Mohnot: Yes. When I say sharp is if it doubles itself from here, which we've seen only once in the last 15 years, that was post-COVID. If it doubles - if steel doubles itself from here

, you still have a 3 -

to 4-month inventory. So you will not see that impact coming significantly in the current year.

It would only come in the next year for that order book, which is more fixed in nature.

Abhijeet Singh: Right. Sir, then you mentioned in your comments about the B&F and Water business that you are expecting on one order in the international geography. So could you comment on, I mean, the geography and the kind of addressable market that we are looking at there and the margin profile. So I mean, a general idea of how we're looking at those markets?

Manish Mohnot: So on my commentary, I spoke more about Water and Railway on the international front, it wasn't B&F. The segments for Water continue to be more focused on the Middle East side, where we're looking at options with a few large developers in the Middle East. This would be high-value projects and margins similar to what we quote in India in terms of EBITDA and PBT. As far as Railways are concerned, we are looking at options more in the Africa side, and we are looking for tenders more in the African region. It might still take some more time before we really get into which exact geography of Africa, but as I said earlier, it should be high value with margins similar to the Indian margins which we quote.

Abhijeet Singh: Right. So lastly, is there any impact of the increased tariffs by the US and Indian imports on our whole business?

Manish Mohnot: I think on our business, we have looked at - we have a nil impact because we have 0 exposure to US in every form and all the businesses. We do not do any imports. We do not do any exports nothing from US directly as well as indirectly.

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Moderator: We have a next question from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: Yes. Congratulations Manish -ji and team for excellent performance. Sir, my question is, one is, how do we see opportunity in European region? What was a year back and now? And how do we see it changing?

Manish Mohnot: Bharat -bhai, we, as KPIL, I have always been very bullish on the European segments on a few specific sectors. One of the sectors where we're very bullish is T&D. And I think we continue to stay bullish whether it is in the Nordic market or whether it is Germany or whether it's the neighboring markets. As of today, if you look at it at Sweden, we are among the leading player through Linjemontage.

So from a 2 - to 3-year perspective, we continue to stay very bullish. And personally, if you ask me, even from a 5-year perspective because majority of the European states now have becoming clean in terms of energy by 2035, which requires them to build a very strong grid. Given that, I think we continue to stay bullish in this market, at least from a 3 -year, 3 - to 5-year perspective.

Bharat Sheth: And how much capability investment that we are planning and what stage, I mean, to gearing up future opportunity?

Manish Mohnot: So Bharat -bhai, I might not be able to speak a lot on the future opportunities, given that we've started a process. I can only say that whatever business plan we had given at the beginning of the current year, we're confident of achieving that. And we've geared up in terms of competencies to make sure that we achieve that and further growth also if required.

Bharat Sheth: And how about the Fasttel? How do we see, I mean - and when do you expect to PBT breakeven?

Manish Mohnot: So we've had - we still continue to see some challenges on Fasttel. Q1 was good on revenue growth, but on profitability, it was not necessarily a good quarter. I personally believe getting into Q3 onwards, we should be at a breakeven level. Q2 is also slightly difficult quarter. But from Q3 onwards, at Fasttel, we should be at a breakeven level. We've also been very selective in terms of taking order

rs there and we will be revisiting our strategy in terms of future growth of Fasttel maybe Q3, Q4, and then we'll revert back to all of you.

Bharat Sheth: And sir, last question, see, after winning a large project in Oil and Gas in international market, so how we are seeing now? And how -what is your view from 2 -3 years perspective?

Manish Mohnot: So Bharat -bhai, on the international front, when it comes to Oil and Gas, today, we qualified with majority of the international Middle East players, whether it is ADNOC, whether it is Saudi Aramco or whether it is the neighboring countries there with the Oil and Gas utility. We're seeing a lot of opportunities coming up there. Our first aim was to make sure that we have taken a large project that we create a team and focus on delivery, and that's why we did not take any projects in the previous year.

Over the last 12 months, we are now seeing that our team has delivered better than what we had

expected. With this, we now continue to refocus on building an order book and this on the Kalpataru Projects International Limited
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international front. And we believe that before the end of the year, we should have some large wins coming up the international front on the Oil and Gas business.

Bharat Sheth: Okay. And sir, last question with your permission. When we are talking about 3 years opportunities, say, on India side, I mean, growing on T&D side, 20%, 25%. So again, I mean, what are the major opportunity - I mean challenges that you are taking and how really, we are building a company to gear up to encompass those opportunities.

Manish Mohnot: So Bharat -bhai today on challenges, our biggest challenge continues to be labor availability and also the movement of labor. To me, if you ask me, the biggest challenge 1, challenge 2 and challenge 3 continues to be only that. As far as our plant capacity is concerned, we are in the range of 2.25 lakh plus tons and we can easily expand that in a few months to whatever we need. As far as our management team as well as our design engineering team, our equipment base, our capex base, I think we can even do double of what we are doing today.

So today, we do not have a challenge on any front except labor availability and that's also improving in terms of where we were the same time previous year to where we are right now, I can see some improvements, but it needs to improve significantly for us to continuously growing this at 25%, 30% for the next 3 to 5 years.

Bharat Sheth: Okay. Okay. And same thing on B&F side?

Manish Mohnot: Yes, I think it's exactly the same on B&F. The opportunity looks good. We work with the large guys. We're doing large -sized projects design -build. Thanks to RERA, we do not have any challenges in terms of liquidity, cash flow, any of that. We've also invested hugely in capex over the last 3 years in the B&F side. So that also helps us having a good capex base. So our only challenge continues to be labor on the B&F side also.

Moderator: We have our next question from the line of Teena Virmani from Motilal Oswal Financial Services.

Teena Virmani: Congratulations for extremely good set of numbers. Sir, my question is related to the previous question on growth across segments. Given the way this pipeline is strong and order inflows for KPIL also have been strong in the last 3 years. Beyond this labor issue, which probably can be a temporary issue, what can be a constraint to grow even at a 30%, 35% growth rate going forward?

In the sense, like I just want to assess whether you can grow on a full year basis by more than 25% or 25%, is it possible or not? Because barring Q2 which has a seasonal impact. Q3 and Q4, generally, the execution ramps up and all those labor -related issues also get sorted out. So can you be at even 30%, 35% growth rate if things fall in line?

Manish Mohnot: So Tee

na, a good part of our business is that it is driven by external factors as much as driven by our own capabilities and competencies, right? On an order book front, yes, we have good visibility across all the business. You have seen in Q1, we've grown at 35%, and that's why annualized, we're confident of 25% plus.

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We do not believe that at least for the current year, we have any challenges on achieving a targeted growth. But our businesses always have internal and external factors, both. We would rather be cautious and continue growing at 25% and not target 35% for the year and then come back to 10% or 15% in the next year.

So our own belief is that we would like to continue this 20%, 25% growth for the next 2 -3 years, focus on improving margins and focus on selecting projects which we want to deliver in the shortest time frame. So to answer your question, we believe 25% is a good number. We can do better than that, but we'll be happy with doing this sustainable instead of doing it in a year and then coming down next year.

Teena Virmani: Got it. Because to some extent, FY '25 base also was lower and particularly for Q1, the base was lower. That's why I was trying to understand that on a low base also, can the growth be a little better than what you're guiding for. But I take your point that you want to maintain it as of now at 20%, 25%

Manish Mohnot: Sure.

Teena Virmani: And my second question is related to any kind of CTC provisioning. Have you done anything for this year in the current quarter? Is it part of the numbers? Or is there any provisioning done in the balance sheet?

Manish Mohnot: So we continuously do CTC provisioning on a monthly basis. It's not on an annualized basis, right? So projects wherever CTC provisioning is required happen on a monthly basis, quarterly basis. Now if your question is, have we created additional provisions in the current year on warranty guarantee, even in the current quarter, we have provided for additional INR28 crores. So that number compared to March has gone up by INR28 crores. On ECL, we had similar numbers as of March. On CTC, there would be some small movements, but not significant. There could be plus/minus INR5 crores, INR10 crores, but not significant.

Moderator: We have our next question from the line of Parikshit Kandpal from HDFC.

Parikshit Kandpal: Congratulations on a great quarter. So my first question is on the loss funding. So you said that this quarter, there's no loss funding. So is it right to assume now after the Wainganga termination that there won't be any loss funding from here on?

Manish Mohnot: Good morning, Parikshit, I just want to recorrect your understanding. We have stopped loss funding maybe a few years ago. We've been primarily funding to repay debt. Loss funding. There's a big difference but anyway, I'm sure we understand both of us. So our belief is that we might have to do some funding on WEPL to repay the small debt, which is with bankers now. Our debt with bankers is around INR40 crores. So while WEPL is being terminated, we do not want to get into this discussion with bankers of an NPA or any of that. This would eventually come back in the form of a claim, but our finance team is right now discussing with the bankers to see that how do we fund that.

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So that would be the only funding which might be required. So to answer your question, a max of INR50 crores, out of which INR40 crores would be more to repay debt of WEPL, closer to INR40 crores, I do not remember the exact numbers. And there could be INR5 crores to INR10 crores further, but we would target that to be kept at a minimal level.

Parikshit Kandpal: Okay. The second thing on the margin trajectory now. So the mix is not changing. We are seeing high gr

owth and high margin, I mean, double-digit segments like T&D, B&F and all. So as a trend from here on, on a quarterly basis, our Railways and other segments slow down in terms of growth contribution. Do you think that directionally, what kind of margin expansion are you looking at PBT level in FY '27?

Manish Mohnot: FY '27. Parikshit, it would be too early for me to give you a target on '27 in terms of margins. I can only say that the current order book in terms of margin visibility is much better than what we had in the last 2 years. So definitely, you would see margin improvements coming in next year also. I'm pretty confident about it.

But exactly, would it be 25 basis points, would it be 50, would it be 75, you will have to give us some more time to come back to you. Current year, we stay confident that we would be at a PBT standalone in the range of 5% to 5.5%, more towards the higher side. And going into the next year, we'll definitely see an improvement but give us some time to come back with exact numbers.

Parikshit Kandpal: Okay. Sir any views on the TBCB revival on the state side, sir? So what is the opportunity you're seeing? And how big can that opportunity be over the next few years?

Manish Mohnot: Parikshit, today, our state exposure on an overall basis is less than 2% or 3% of the total order book. We continue to stay cautious on state-funded projects across all segments and we would like to stay cautious going forward also, given the kind of opportunities we have with center funded with PSU funded and private sector funded. So as KPI L, we will be cautious on building an order book on state-funded projects across all segments.

Parikshit Kandpal: Okay. Just on the pledging now that Kalpataru real estate is listed, sir, any thoughts on how the pledge will move now? I mean, is it the peak? I know you've been talking about it last quarter, but now since the listing happens, how do we, how do we see the pledging over to mid-term to long term?

Manish Mohnot: No, I think we've seen a huge reduction in pledge over the last 2 years, with pledge being below 25%. We've been given to understand by the real estate team that you should see pledge only coming down. We do not have a definite time frame with them, but we have a commitment that pledge should only start coming down going forward.

Parikshit Kandpal: Okay. And just on the renewable opportunity in the Middle East, any thoughts there? How do you think that you can capture a market share in the Middle East on the Oil and Gas side, we're doing something and looking at other opportunities? But on the renewable side, what are you looking at? What could be the addressable opportunity for us?

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Manish Mohnot: So we have built a very strong team on the renewable side to look at the international business. While we speak, we have bid for 2 or 3 large projects and we remain very confident that we should have at least one large win on the solar project in Middle East before the end of this year. I might not be able to share details more than that at this stage. But once we have order win, I'll be happy to share more details on that.

Parikshit Kandpal: And when we say large, so generally, what is the quantum of this large win typically?

Manish Mohnot: A INR1,000 crores plus is large for us.

Parikshit Kandpal: Okay. And just last question, sir, on the interest-bearing mobilisation advance. So what is the quantum? And if any yes, if you can give me that number?

Manish Mohnot: So our average interest on customer advance on a totality basis is more in the range of 9%-9.5% in totality. Our total advances, customer advances are at this stage, I wouldn't have an exact number, but if anyone has a number in terms of what advances we have today. But you can take that one, but I know the interest cost on advances is more

in the range of 9.5% in totality. Average

advances - sorry, Ram is just giving us a number. So average advances in the range of - it should be, interest-bearing advances should be in the range of INR600 crores to INR700 crores.

Parikshit Kandpal: And any interest-bearing acceptances?

Manish Mohnot: That would be very minimal closer to 0 because we do not have interest-bearing acceptances at KPIL.

Moderator: We have our next question from the line of Ashwani Sharma from Emkay Global Financial Services.

Ashwani Sharma: Congratulations for a stellar set of performance. My first question is on the guidance. When you say 25% revenue guidance in the current year. Can you just give us some indicative indication on the mix in terms of segments and the domestic and international contribution?

Manish Mohnot: Ashwani, all our businesses, except Water and Railway, we expect them to grow at 20%-25% plus, which includes T&D, Transmission Domestic, Transmission International, B&F, Urban Infra as well as Oil and Gas. They will all grow in excess of 20% to 25%. Our Water and Railway business would not see any growth.

Some of the businesses will grow more than 25%, and that's how it will get compensated on an overall basis. As far as geographic growth is concerned, I think our order book is primarily 60% domestic and 40% international today. And I see in terms of growth, international growing at a similar level at what the domestic business is growing.

Ashwani Sharma: Internationally, so you did allude to the labor challenges. How are you managing challenges as far as labor is concerned mainly in the interaction geographies, especially in the Middle East or in the South Africa, if you can just what is your strategy? And what has been your strategy to overcome this challenge?

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Manish Mohnot: Our international labor channel is not as much higher domestic labor challenge, primarily for only one reason, that on the international front, we can take labor from various countries, including our neighboring countries, including some European countries, including some African countries. And that's why on the labor front, internationally, we have not seen such high challenges as what we have seen in the Indian projects.

Ashwani Sharma: Okay. My third question is on the capex. If you could just spell out your capex plans in the current and next year?

Manish Mohnot: I think for the current year, our capex plan is more in the range of INR600 crores to INR700 crores, what we had guided at the beginning of the year also. As far as next year is concerned, we are still not decided our capex plans, but we would be slowly moving to a capex target, which is more equivalent to depreciation kind of things. So we should be looking at a minimum of INR500 crores even getting into the next year. Current year is more in the range of INR600 crores to INR700 crores.

Moderator: We have our next question from line of Balasubramanian from Arihant Capital Markets.

Balasubramanian: Congratulations for a good set of numbers. Sir, on the data center side, what kind of ticket size we are bidding right now? And how does this margin ROCE profile compared to traditional P&L projects? And what is the pipeline visibility?

Manish Mohnot: On the data center side, we are right now bidding for 2 or 3 large projects both in South India as well as West India. The new project which we've got is not very big in size because it's an additional building on the earlier project, which we did for our international client in Mumbai itself.

But we build competencies to do the end-to-end data center, which includes civil, electrical as well as MEP. We believe that there should be some very good opportunities coming on that, and we are bidding for 2 or 3 projects while we speak.

Balasubramanian: Okay, sir. Sir, that V

indhyachal Expressway monetisation, what is the expected time line for closure? And how will proceeds will be utilised and any other noncore assets under review for monetisation?

Manish Mohnot: So as guided earlier, we believe that Vindhyachal Expressway we should get approvals in Q3. The total expected cash flow on that budget, as we guided earlier, should be in the range of INR700 crore INR800 crores with half of it going for debt and half of it should come back to us as equity. Primarily the cash flow would be utilised either for working capital or to reduce debt, but we'll take a call on that closer to the date when the money is expected to be received.

Balasubramanian: Okay, sir. Sir, on the Oil and Gas side, almost one third of the project is delivered for Saudi Aramco. I just want to understand how we are managing our subcontracting like steady cost structures. And if you could throw some light on like how is the domestic Oil and Gas, and how we are prioritizing Middle East market compared to domestic markets? And what kind of order inflows we can expect both Middle East and domestic side?

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Manish Mohnot: So, we're seeing a good traction on the Middle East front, as I mentioned earlier, and we're bidding for large -scale projects because there are only limited players from India who qualify with the large Oil and Gas utilities in Middle East. So we are bidding for some large projects. I wouldn't be able to give you a target as of now.

But the international front opportunities look much bigger on Oil and Gas as compared to the Indian front. On the Indian front also, we're seeing some good opportunities coming up on both the pipeline as well as the plant side. But in terms of quantum, our focus is a lot more international as of now as compared to India.

Balasubramanian: Okay, sir. So on the subcontracting side, how you are managing how these cost structures?

Manish Mohnot: I think we're managing subcontracting the way we do it across all projects in the country. There's nothing different for Oil and Gas. It's exactly the same for Transmission and Oil and Gas. It's a team which manages this - exactly the same way for all our businesses. I do not understand what is the exact question on this.

Balasubramanian: Actually, I hear this Oil and Gas cost structure is a little heavy compared to other projects?

Manish Mohnot: No, I don't think that's factually correct statement.

Moderator: We have our next question from line of Mahir Moondra from Nuvama Institutional Equities.

Mahir Moondra Yes. So my question is on the tax rate. So you've seen in the past two quarters, the tax rates have normalized to around 25% - 26% levels and it was much higher before that. So how do you expect it to be throughout this year? And how does it work out?

Manish Mohnot: So our tax rate is primarily driven by the profits on specific projects in the quarter. So there are some international geographies, which have a higher tax rate. And also, there are some geographies where we are making losses, which you will not get a tax benefit.

So I think we believe for the current year, we should be more in the range of this 26%, 28%, 30% not beyond that. But on a quarterly basis, it depends on the profits, which projects we earn that profits. On an annualised basis, we should be more in the range of 28% to 30%.

Moderator: We have a follow-up question from the line of Bharat Sheth from Quest Investment Advisors.

Bharat Sheth: To understand that on labor front, there is a more challenge on domestic side rather than the international. And since we are winning a lot of large projects now, even real estate, what is the opportunity for automation, which can, I mean, offset this? And what are the stage we are in and how we are investing in automation?

Manish Mohnot: So Bharat -bhai, we've been v

ery focused on automation and mechanisation of a lot of our processes. A lot of our projects, whether it is B&F, whether it's Transmission, whether it's Oil and Gas, we have moved to a higher level of automation on every aspect right from the basics of, let's say, civil in terms of concreting to the basics of staging shuttering where we've moved up to aluminum formwork and even going beyond that to using cranes for tower erection for Kalpataru Projects International Limited

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T&D to using automatic welding machines for Oil and Gas to using steel prefabricated structures for building.

So a lot of it is happening today. And today, a big focus of KPI L is on mechanisation, automation and related capex to it. Even at a plant level, we have automated to a great extent, whether it is on raw material handling, finished good storage, all of that. So it's a continuous process. I can

assure you that we are completely on top of it, but it's also something which changes so fast that it is something which happens yesterday is obsolete tomorrow.

So we continuously want to be making sure, and we have a lot of consultants helping us on this process also. A lot of our capex in the last 3 years. Last 3 years, we have done capex on more than INR1,700 crores has also gone in that. So whether it's the entire staging shuttering, whether it's a plant automation, whether it is automatic welding machines, all of that. So it's a continuous focus, but we need to also remember that this industry still is primitive in nature, right ?

We're still in that brick -and-motor, right? We can't move to automation like, let's say, OEM or an iPhone manufacturing or any of that. But within what we are able to do, we're doing one of the best things is what we believe.

Moderator: As there are no further questions, I now hand the conference over to Ms. Bhoomika Nair from DAM Capital for closing remarks. Over to you, ma'am.

Bhoomika Nair: Thanks for being on the call and particularly the management for giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best. Any closing remarks from your end?

Manish Mohnot: Thank you, Bhoomika. Thank you, everyone, for being on this call. And we assure you that we'll continue to deliver similar results going forward. Thank you, everyone.

Moderator: On behalf of DAM Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

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"Kalpataru Projects International Limited
Q2 FY '26 Earnings Conference Call "
October 31, 2025

MANAGEMENT : MR. MANISH MOHNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. S.K. TRIPATHI – DEPUTY MANAGING DIRECTOR

MR. SANJAY DALMIA – EXECUTIVE DIRECTOR

MR. AMIT UPLENCHWAR – DIRECTOR GROUP
STRATEGY

MR. RAM PATODIA – PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to the Kalpataru Projects International's Q2 FY '26 Earnings Conference Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Bhoomika Nair from DAM Capital Advisors. Thank you, and over to you, ma'am.

Bhoomika Nair: Yes. Good evening, everyone, and a warm welcome to the Q2 FY '26 Earnings Call of Kalpataru Projects International Limited. We have today the management being represented by Mr. Manish Mohnot, Managing Director and CEO; Mr. S.K. Tripathi, Deputy Managing Director; Mr. Sanjay Dalmia, Executive Director; Mr. Amit Uplenchwar, Director, Group Strategy; and Mr. Ram Patodia, President, Finance and CFO.

At this point, I'll hand over the floor to Mr. Mohnot for his initial remarks, post which we'll open up the floor for Q&A. Thank you, and over to you, sir.

Manish Mohnot: Thank you, Bhoomika. Good evening, everyone. Thank you for joining us for the Q2 FY '26 earnings call of Kalpataru Projects International Limited. Our financial results and investor presentation have been uploaded on the stock exchanges, and I trust you had the opportunity to review them.

We are pleased to share that KPIL has reported yet another good quarter with highest ever second quarter revenue and profitability. The performance highlights the underlying strength of our diversified business portfolio focused towards on -ground execution, efficient working capital management, and proactive approach in investing to build capabilities to scale high -growth

businesses. I'll first start with some key highlights from quarter 2, and then we'll share updates on individual businesses.

Our consol revenue for the quarter recorded a growth of 32% Y-o-Y and stand-alone revenue grew by 31% Y-o-Y. At profitability level, EBITDA was up by 28% Y-o-Y. PBT grew by 71% Y-o-Y, and PAT reported a strong growth of 89% Y-o-Y for Q2 '26 at consol level. Similarly, at stand-alone level, EBITDA grew by 28%. PBT was up by 48%, and PAT growth was 51% for Q2 '26. Our consol EBITDA margin was at 8.6% and stand-alone EBITDA margin stands at 8.3%.

Likewise, the performance on EBITDA margin front reflects the nature of project mix, lower progress of water projects and impact of extended monsoon in India. Our finance cost as a percentage of sales is in line with the guidance of 2% for both consol and standalone business. Our consol PBT margins witnessed a sharp improvement of 110 basis points to 4.9%, and stand-alone PBT margin was up by 60 basis points to 5% for Q2 FY'26.

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To update on the working capital and debt front, our focus clearly remains on further strengthening our balance sheet. We have closed the quarter with standalone net debt at ₹ 2,189 crores and consol net debt at ₹ 3,169 crores. Even after considering the inflows from QIP last year, our debt levels have moderately increased despite delivering strong revenue in excess of 30% for the first half of the year.

This is on top of the fact that we continue to witness delay in collections from water projects, particularly in JJM projects of UP and Jharkhand, where the progress on payments have remained slow compared to our expectations.

Furthermore, we have incurred capex of around ₹ 340 crores in first half of the year, mainly to support execution of large-scale orders in the B&F business. In the last 4.5 years, we have incurred capex closer to ₹ 2,4

00 crores to improve our project delivery and competitiveness in high-growth T&D and B&F businesses.

Our net working capital days has further improved, both on a year-on-year basis and quarter-on-quarter basis. Our consol net working capital stands at 90 days and standalone net working capital has improved to 102 days.

Now on the order book position, our consol order book remains strong at ₹ 64,682 crores as of 30th September 2025. The diversification of our order book across T&D and Civil businesses provide stability and ensure a healthy growth trajectory for the coming quarters. During the year, we secured orders worth ₹ 14,951 crores led by major order wins in the B&F and T&D business. Further, we have positively placed in tenders worth ₹ 5,000 crores, mainly in the international T&D business.

On the business visibility front, our addressable markets in the near and long term remains very strong, spanning across power transmission distribution, Solar EPC, residential and commercial buildings, oil and gas pipeline network, underground and tunneling, urban mobility and select international projects in the Civil business. While we anticipate some temporary headwinds due to lower capex, geopolitical issues, etc, but the long-term opportunity remains very robust and exciting for established EPC companies like us.

From a long-term perspective, we remain confident and undeterred in our growth strategy. Our focus remains to bid strategically with focus on improving profitability, enhancing return ratios, secure projects that have fair working capital terms and build differentiated capabilities to maintain our competitive edge. Looking ahead, based on our current order book position and the immense potential of our addressable market, we remain confident in our trajectory to further scale our T&D and Civil businesses going forward.

Now coming to the performance of some of the large businesses. First, I shall talk about the performance of our T&D business. We delivered a strong revenue growth of 51% Y-o-Y in Q2 FY26 supported by robust execution in India, Sweden and other international markets. We received new orders of ₹ 6,864 crores in the T&D business till date in FY26.

Additionally, we are positively placed in order projects over ₹ 4,500 crores, mainly in the overseas market. Our T&D order book stands at ₹ 26,276 crores, reflecting a growth of 18% Y-o-Y.

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o-Y. Overall, the outlook for our T&D business remains very optimistic in the domestic and overseas market, with a tender pipeline in excess of ₹ 150,000 crores over the next 12 to 18 months.

LMG Sweden continues to deliver strong performance with Y -o-Y revenue growth of 8 9% to ₹ 720 crores in Q2 FY26. LMG received orders worth approx ₹ 1,100 crores till date in FY26 and have an order backlog of around ₹ 3,600 crores as on 30th September '25. Our B&F business maintained a strong growth momentum, recording a 20% Y -o-Y increase in revenue in Q2. Our order inflows are at record level as we have secured orders over ₹ 8,000 crores till date in FY26. Our B&F order book has grown by 43% Y -o-Y to an all -time high of ₹ 18,758 crores. Our focused business development and robust execution capabilities has helped us to improve our competitive position in large -sized design -build projects, which places us favorably to secure repeated projects from large market developers in India. Our oil and gas business delivered strong Y -o-Y growth of 21% in Q2. Our progress on the Saudi project remains on track. We are actively working to expand our international presence to drive the next phase of growth for this business. Our water business saw a decline in revenue by 5% Y -o-Y to ₹ 517 crores. As informed earlier, collections in the Water business improved in few states while progress in UP

and Jharkhand remained very slow. With an order backlog of over ₹ 8,379 crores, we remain focused to complete the existing projects. At the same time, we continue to evaluate new opportunities in new areas and international markets.

Our Urban Infra business delivered strong performance this quarter with a 65% Y -o-Y growth, driven by progress on Metro rail projects. In our railway business, we recorded revenue of ₹ 210 crores during the quarter, reflecting a growth of 9% Y -o-Y. Lastly, on our Road BOOT Assets post the termination of WEPL in July '25, we have handed over the asset to NHAI with effect from 30th September '25. With respect to Vindhyachal Express, VEPL, we are progressing well on approval for sale and expect to complete the transaction in the second half of FY26.

Lastly, as you can see, that all key parameters of most of the businesses have done well. The quality of the performance is just getting better over the quarter, and we expect good stability in the performance and earnings going forward. This record performance has clearly set a strong tone for the fiscal year ahead and reinforces our confidence to achieve the revenue and margin guidance set for the full year '26.

On the guidance front, we are on track to achieve targeted revenue growth of 25% plus at both standalone and cons ol level, compared to our earlier guidance of 20% to 25%. On the standalone and cons ol PBT margin, we reaffirm our guidance of FY26 of improving PBT by a minimum of 50 basis points. Further, we are positive to achieve a targeted order inflow of ₹ 25,000 crores plus for full year '26.

In conclusion, we are excited about the opportunities ahead, and we remain committed to drive profitable growth and creating long -term value for our stakeholders. Thank you for your continued support. Now I request the moderator to open the floor for Q&A.

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Moderator: Thank you very much. The first question comes from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Congrats on a good set of numbers. My first question is with respect to the tender pipeline for the power T&D space. So initially, last call, you had mentioned that it was around ₹ 1.2 lakh crores, and now it is ₹ 1.5 lakh crores. So there has been quite a bump up in the tender pipeline over quarter-to-quarter?

Which are the subcategories like power grid, SEB, private players, international, where we have seen the biggest delta in terms of tender buildup? And because of the significant growth, are we seeing an improvement -- further improvement in margin profile of Power T&D orders, margin and working capital of Power T&D orders?

Manish Mohnot: Ravi, we are seeing traction across both domestic and international front. On the domestic front, whether it is the new HVDC lines, which are further expected to come in for tenders, the southern part of the grid, the Southern India grid, which is further getting strengthened, all are expected in between November to February. So on the domestic front, whatever we had planned looks visible.

What has changed in the last 2 quarters, we're seeing a lot of traction in some of the LatAm markets like Guyana and the neighboring countries around there and also in Middle East. We've seen a lot of tenders come in Middle East in the last 2 to 3 months, whether it is in Abu Dhabi, Kuwait, some of the interconnection lines.

So personally, if you ask me what has changed is international order book visibility has improved significantly in the last 2 to 3 months, whether it is Middle East, Africa or LatAm. And also on solar EPC projects, we are looking at some big opportunities in the Middle East market, and that's also an opportunity which we are looking at.

So on an overall basis, the market still looks very good. Now from , on your second question, give

n that the orders are under tendering now and will get awarded only in Q3, Q4 or later part of that -- later than that, I don't see any improvement in revenue because of these tenders coming in the current year. Definitely, they will help us in forecasting for revenue going forward.

Ravi Swaminathan: And in terms of margin profile, sir, because the market itself is expanding, are we seeing improvement in margin and working capital terms further for the Power T&D orders? Or is it like this is getting maintained at the same level?

Manish Mohnot: So if you ask me at an India level, I don't see a significant improvement, although margins are much better than what they were in the past. But on the international front, there are a lot of markets where we have a competitive edge of an early -- being there early or being -- not having much competition. So there, we can see some improvement. But on an overall basis, we still continue this business at the same 9% to 10% EBITDA levels.

Moderator: The next question comes from the line of Sumit Kishore from Axis Capital.

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Sumit Kishore: My first question is on the T&D business. When I look at your disclosed orders so far this fiscal, it appears that a fairly small portion has come domestically and mostly it's overseas. And you mentioned that in your mature L1 positions pipeline, also international T&D is quite strong. What we are noticing is that award of interstate TBCB projects on a year-on-year basis has been much lower so far this fiscal. So I just want to understand that in this backdrop, is it possible that second half also would largely be dominated by international and T&D? And what percentage of your T&D order book is international right now?

Manish Mohnot: So Ravi, just so that we have clarity on the domestic front also, we have got orders in excess of ₹ 2,500 crores plus in the first 6 months, which is around 30% higher than what it was in the previous year. We are L1 also in a few projects. On the international front, obviously, including Linjemontage, we've got orders in excess of ₹ 4,000 crores in the first 6 months -- in Q2.

Now my point is I do not see orders coming down because a lot of tenders, which Power Grid has not taken, but some private sector players have taken would get into that award stage maybe Q3, Q4. So some of the large TBCBs have not been necessarily been taken by Power Grid and that also would come up for tendering soon or have already the tendering process started, but the award would happen later part of the year.

So I personally stay confident from a long-term perspective on getting very good orders coming in. Now from a timing perspective, maybe Q3, maybe Q4, maybe it could be 1 quarter here and there. But the reality is that both the businesses, whether it is TLD and TLI, are sitting on very good order books right now, right? They are sitting on order book, which is closer to 2.5, 3 years, even if I assume a 20% growth.

So I'm not desperate in that sense to go and take an order just for the sake of getting an order book because they have good visibility, the opportunity is good, and there are limited players of the size and scale who can deliver this kind of projects. So I am very optimistic about it. I believe the next 6 to 12 upto 18 to 24 months, there will be good orders, both domestic and international. One quarter here and there could happen depending upon when the tenders happen.

Sumit Kishore: Okay. And sir, second question is in relation to water, while revenues are down about 5% in the quarter. How has been the movement on receivable dues for water over the past 6 months?

Manish Mohnot: So over the past 6 months in the business, we have invested additionally closer to ₹ 700 crores, basically focused on execution of a lot of projects which were at 70%, 80% complete

on, which

we want to complete at a very soon much sooner than later. We have seen good traction coming in from a few states.

We have seen good traction coming in from MP. We have seen good traction from Punjab. We have seen good traction from Bihar. We're not seeing as much good traction coming from UP and Jharkhand when it comes to receivables.

We've had meetings at various levels, and we believe this should change soon. So -- but in the first 6 months, we have invested closer to ₹ 700 crores in that business, additionally ₹ 700 crores.

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Sumit Kishore: Okay. So basically, the working capital improvement that we are seeing slightly is not being helped by water. Water is just still being a drag there. Ex of water, your working capital would be much better.

Manish Mohnot: 100% agree.

Sumit Kishore: Okay. Just one last point clarification for WEPL, when is your dues going to come to you? After the transfer to NHAI?

Manish Mohnot: It will take some time because as far as the dues are concerned, there are some arbitration and

there's some claims also. Even our KEPL dues, which the termination happened 3 years ago have not yet come, while we have provided for full KEPL in books.

So given the lengthy process at NHAI and given that there are some claims which we have won and which are under arbitration, I do not expect this to happen very, very soon. It could take maybe a few years or could be more than that. We are trying to settle this with them, but that it's a lengthy process. So I'm not expecting any dues on WEPL to come in even this year and maybe even next year.

Sumit Kishore: Okay. And what is the total quantum of the claim?

Manish Mohnot: No. So we might not be able to quantify that today because we have a lot of arbitration claims, which we have won and there are some claims which are under process. So the quantification is difficult, but we believe there might not be a large amount or any amount of equity hit, which might come on this project.

Moderator: The next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Parikshit Kandpal from HDFC. So my first question is on the domestic. So if you can give us the breakup of the T&D order book in domestic and international, and also the breakup of the prospect pipeline in the T&D both international and domestic.

Manish Mohnot: So you want the order book as of September '25, right? T&D order book as of September '25 is closer to ₹10,000 crores, excluding L1. If you look at the international order book, that's approximately ₹16,000-odd crores as of 30th September '26. Sep'25, my mistake.

Parikshit Kandpal: And sir, also, if you can give us the breakup of the prospect pipeline of ₹1.5 trillion, which you highlighted, both domestic and international?

Manish Mohnot: So of the ₹1.5 trillion, which we are looking at it, more than ₹50,000 crores to ₹55,000 crores of orders, I think, would come under T BCB bidding itself in the next 3 to 4 months, which includes 2 big HVDC order and 2 large orders in Southern India. So that itself would be in the range of ₹50 odd thousand crores plus a few more orders, which are already shortlisted for tendering. The balance would be international with a lot of focus on Middle East, LatAm, excluding Brazil, Sweden and neighboring countries and Africa. But our focus would be primarily on domestic LatAm and Africa and Europe, not as much on the neighboring countries.

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Parikshit Kandpal: So can you just -- on the 2 HVDCs, which are these HVDC, sir, if you can help us.

Manish Mohnot: There's one in Gujarat and there's one in Southern India. I don't have the exact names of those lines, but there's one more coming up in Gujarat, which is connecting Gujarat

Rajasthan and one

in Southern India. I'll be happy to give you those details. Maybe my team can do it or you can -

- it's already on the REC and PFC site. If you look at it, you'll get those.

Parikshit Kandpal: But okay. Understood, sir. So my second question is total on the Saudi expansion, which you mentioned. So what are the areas beyond the pipeline project which you currently have and the T&D which you do? So what are the other areas you're looking at? And how big the opportunity is that? And what kind of conversions we can see over the next 2 to 3 years coming in incrementally from these geographies?

Manish Mohnot: So I think our focus on as far as the Saudi market is concerned, continues to be on 3 areas. One is oil and gas itself. We are doing a large project, and we'll continue to make sure that we are in that leadership position there. Second, T&D, we have a few projects going on right now, which are all getting completed in the next 6 to 9 months. So we would like to take some more projects. And third is solar EPC, where we are looking at one large opportunity in Saudi Arabia.

Which hopefully will have that clarity coming in soon. So that's also an opportunity which we are looking at. So right now, as far as Saudi is concerned, we have all 3, oil and gas, transmission as well as solar EPC. We're also exploring some projects in the water business, but it might take some time. It might not happen in the next 6 to 9 months, maybe after that.

Parikshit Kandpal: And this one large opportunity, if you can quantify how big is it?

Manish Mohnot: No, it might be difficult for me to quantify it today, but I can tell you it's already included in our L1 opportunity, which we have declared.

Parikshit Kandpal: Okay. So waiting the conversion, all owing to come in. Just on Linjemontage and LMG and Fasttel. So you can help us understand on the revenues which you have disclosed. So what has been the EBITDA and the PBT margins on these 2 entities?

Manish Mohnot: So on Linjemontage, we have seen a very healthy growth in this quarter, which we have expected to be very good. So if you look at Linjemontage number in terms of revenue, we have touched in revenue of closer to ₹1,500 crores in H1, a growth of more than 50%.

On EBITDA margin in H1, Linjemontage has done in excess of 7.5% and PBT margin closer to 7%. As far as Fasttel is concerned, the quarter saw revenue of approx.. and first half saw a revenue of ₹370 crores. It's much lower than what we had projected. And on an EBITDA and PBT, Fasttel continues to be negative. We have had some hits coming on some projects, and it

continues to be negative.

Parikshit Kandpal: And just the last question around JJM receivables. So now what are the overdue receivables, which is yet to be collected? If you can help us quantify in case if they would have got realized, so what should have been our debt position? Just wanted to get a sense on that.

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Manish Mohnot: Sure. I'll ask SKT to respond.

S K Tripathi: Parikshit, this is SK T. So total receivables from the last quarter, they have gone up by about ₹ 125 crores. As the end of the quarter 1, we were roughly at about ₹ 1,427 crores. And today, we stand to almost ₹ 1,551 crores. Out of that, highest is in UP, which is ₹ 737 crores.

And the next one is the Orissa is about ₹ 330 crores. Jharkhand is about ₹ 246 -- and out of the 5 states, there is no movement, particularly in UP and Jharkhand. Otherwise -- so in this quarter, we collected about ₹ 420 crores and majority of this, it came from the MP and Orissa. So in nutshell, we have gone up by ₹ 125 crores during the quarter in spite of collecting ₹ 420 crores, yes.

Parikshit Kandpal: So is it right to understand that if I club both UP and Jharkhand, which is about ₹ 983-odd crores. So this is the overdue. I mean, beyond the

time, I mean, this should have actually come in now.

So this is as of now maybe beyond 180 days receivables?

S K Tripathi: No, no, they are more than that. Maybe out of this, 50% is more than 8 to 9 months, right? So in case of UP, we have not got our due payment from almost 15 to 16 months. It is so in nutshell, these 2 states, you can say more than a year, in fact.

Parikshit Kandpal: If this had come on time, our debt should have been lower by at least like ₹ 800 crores, ₹ 900 crores?

S K Tripathi: Yes. So if you look at the debt number and the water receivable, they match with each other.

Parikshit Kandpal: So what are you doing? I mean why this -- I mean, why UP is not paying or Jharkhand is not paying. So what are the challenges? And you keep -- you must be representing it, but what are the challenges? Are they not getting funds or Center not giving them money? So what is the challenge, if you can help us understand that?

S K Tripathi: Yes, yes. So UP and Jharkhand, they are 2 states. And JJM -- and these are the receivables, which are part of the JJM, where the major funding has to come from the central government.

Now in UP, about 15 days back, there was a meeting even at a CM level, where he assured that they will do some funding from the state.

So in nutshell, if states which have some money, they are paying from their own corpus.

Otherwise, they are waiting for the central government to support the project. Now central government, maybe at this point of time, they have different priorities. Also in the JJM at a nation level, there is a cost overrun, which at the cabinet and the PMO is yet to approve.

Now because of this non-approval process from the central government, the money is not flowing to the states and then the bills are kept pending. This is a real situation. Now representation as the industry through the SHM, there is a representation to the ministry. At a CM level, there was a discussion. From FICCI, there is a representation. So UP, about 15 days back when we met CM, he assured that after Deepavali, the state government will fund about ₹ 3,000 crores.

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Their outstanding in UP alone is about ₹ 18,000 crores. For all vendors. They will similarly, in case of Jharkhand, the total outstanding to the contractor is about ₹ 4,000 crores. Now Jharkhand, they are not at all ready to support any even a single rupee from the state government.

You can understand why. And they will wait till the time the money comes from the central government. Now there is a but some of the states like MP and the Orissa, they are paying from the state coffer and the central government will pay them later.

So this is where exactly, but I think there is enough pressure created by industry in UP and Jharkhand. And we are hopeful something should happen in this quarter, but we can believe only when it happens.

Manish Mohnot: And just to add to what SKT said, Parikshit, our focus continues to be in completing whatever civil projects we have a 50% plus because we have taken a call that while we might not supply additional materials, but at least the civil portion of all these projects we are completing, we are not worried about the money because central government-funded projects, the money will come sooner than later, but the delays impact the margins in a big way. So and that's why we've been funding these projects to make sure that we complete as many projects as many we can.

Parikshit Kandpal: Okay. And Manish, just one last question on the margin. So now trajectory -wise, when do we see that we reach closer -- cross 9% when do you expect we cross -- look at crossing EBITDA margins at 9% and moving more towards high single digit, moving towards double digit. So is there any possibility in the near future or now it's a thing of the past?

Manish Mohnot: Parikshit, on

a lighter note, we have been saying PBT margins 50 basis point plus and which we are nearly on track. We should be doing better than that going forward. If you look at it on a totality basis, we have also in the current quarter, provided for around ₹30 crores of warranty guarantee provision.

And if you give impact of that, we are already at those levels where we want to be. So let me not go ahead and commit anything at the EBITDA level. But on PBT level, I believe that margins should only go up from here. I don't see any reason why it should come down on an annualized basis in any form. And we are on track to achieve that 50 basis points plus improvement in the current year also.

Moderator: The next question comes from the line of Amit Anwani from PL Capital.

Amit Anwani: My question pertains to, as you highlighted that the margins will go up from here and this year also, you're expecting 50%. So wanted to understand considering the current order book and the pipeline of ₹150,000 crores in T&D, what sense you're getting in terms of the favorable mix change and over the next 2 years, will we be towards double -digit margins in especially T&D? And in the overall improvement, is it only T&D where we are seeing improvement since we are -- or the other segments also since we are facing headwinds in water, railways. So just a sense what will be driving this, basis your understanding on the current pipeline also?

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Manish Mohnot: Sure. So Amit, first, so that we have clarity, we have targeted for minimum 50 basis points improvement in PBT for the current year as a whole. I'm not saying further 50 from here. It's from what we started is what we have targeted for the year. As far as the business EBITDA is concerned, our B&F and T&D business, both in totality are at a closer to double -digit level. So Building and Factories business, T&D business and Oil and Gas business, all 3 are at double -digit level, more in the range of 9% to 11%. Some of the other businesses for reasons we discussed earlier in the call, are at lower margins. And I think these 3 businesses will continue to be in this range given our current order book and visibility going forward.

Amit Anwani: Understood, sir. Sir, with respect to the international pipeline, which you talked about almost ₹1,00,000 crores, how much should be Middle East? And like we already won one large order, I think, some time back. Are these lumpier orders in Middle East? And will this be the high -margin orders? And some more color on the Middle East pipeline, if you could provide?

Manish Mohnot: Amit, as I said earlier, I think there are a lot of tenders in Middle East, Abu Dhabi, Saudi and some connectivity projects and solar EPC projects. Our philosophy on Middle East projects have always been that the projects in terms of margins might not be the best, but are very good from a revenue and delivery ROCE perspective.

As far as and when I say not very good, they might not compare to, let's say, an Africa or a LatAm project, which we have won at Guyana or Chile or any of them. So in totality, I think if you look at the international order book also, we are focused on that double -digit margin, and we are targeting that. And Middle East, in totality might be slightly lower than double digit, but reasonably good ROCE numbers because the projects get done very quickly.

Amit Anwani: Understood, sir. Sir, lastly, on the railway business, and you have been highlighting in the past also that we'll be focusing for a few international railway orders and also the value -added metro orders in domestic market. Some color, if you could, so are we progressing there? Anything in pipeline in terms of domestic, international market, which can really change the things in railways?

Manish Mohnot: So while we continue to explore

a lot of opportunities in railway, we've not had any significant developments to say that something is visible in the near future. We have submitted PQs in a few countries. We've got qualified also. But from a 6 to 9 month perspective, I would say no thing is visible as of now on the railways international front.

Moderator: The next question comes from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, firstly, on the international subsidiaries. So how do you see the growth in Fasttel in the next couple of years?

Manish Mohnot: On the Fasttel front, I'm not very bullish in terms of growth. We've had some challenges at Fasttel and delivery as well as some delays and some client issues and all of that. So as far as Fasttel is concerned, we're not running for growth in any form. We are focused more on stabilizing that business and coming back to profitable numbers instead of losing money. So if

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you ask me from a KPI L's perspective, next couple of years, Fasttel will degrow and not look at growth in any form.

Vaibhav Shah: And LMG?

Manish Mohnot: LMG, we continue to stay bullish. The current year itself, we are looking at a growth, which is more in the range of 30% to 40% and improved margins. That business, given the visibility on order book, I think a double -- 20%, 25% growth from a 2 - to 3-year perspective should be very easy.

Vaibhav Shah: In terms of margins, what could be the stable margins for the LMG business, say, in next 2 to 3 years, given the strong growth?

Manish Mohnot: So I think at a PBT level, that business looks like easily, we should be doing anywhere between 6.5% to 7.5% in the Linjemontage at a PBT level.

Vaibhav Shah: Okay. Okay. Sir, secondly, what would be your order inflow guidance on a consolidated stand-alone basis for FY '26?

Manish Mohnot: So I think we stick to our guidance of ₹ 25,000 crores plus on a consol basis for FY26. And normally, on order inflow, we normally give guidance on a consol basis only. So that number of ₹ 25,000 crores plus, I think, given that we have already received around ₹ 150-odd thousand crores, and we are favorably placed in ₹ 5,000 crores, I think we should be surpassing that ₹ 25,000 crores, but I'll be able to revise that guidance, if at all, in December, January.

Vaibhav Shah: Okay. And sir, what has been the funding for the BOT portfolio in second quarter? And for the entire year, what are we expecting?

Manish Mohnot: I think my colleague is just telling me it's less than ₹ 20 crores what we have funded in the first 6 months. It's hardly any funding, which is required. And now that we're pretty confident that we're working hard to get the approval in November, December, we should be positive as far as road assets are concerned because we're pretty confident before March '26, our VEPL transaction should be done.

Moderator: The next question comes from the line of Balasubramanian from Arihant Capital.

Balasubramanian: For Shree Shubham Logistics, the plan is to sell 2 to 3 warehouses. What is the expected net debt reductions from these sales? And what is the carrying value of these assets on the books?

Manish Mohnot: So I think if I look at it from a debt perspective, on Shree Shubham Logistics, the external debt is now reduced to a number of closer to ₹ 90 crores. Our target is to bring this -- reduce this by at least a further 50%, get it to levels of ₹ 40 crores to ₹ 50 crores by the year-end.

And we're working on that direction by selling some warehouses. We will continue to focus on reducing that debt as we go forward. And hopefully, by the end of next year, the debt -- our external debt should be closer to 0. I'm not exactly aware of the gross book or gross value of assets, but I can ask you to connect to my team who can give you the exact gross book value of the fixed asset

s in the Shree Shubham balance sheet.

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Balasubramanian: Sir, for the Oil and Gas segment, I think we are qualified with Aramco and ADNOC. And could you please quantify the size of the quantified big pipeline and the typical margin profile we are looking at in those oil and gas segment?

Manish Mohnot: I'll just ask my colleague, Amit to respond to this question.

Amit Uplenchwar: Yes. So Bala, we've got several projects where we are now qualified between Saudi and ADNOC and some of the other geographies in the Middle East. Some of these tenders which were planned for middle of this year are getting pushed towards Q4 or probably Q1 of next year because of volatility in prices of rent and the crude prices.

So let's see where that goes. But the qualifications are in place. Tenders are expected either by Q4 or first half of next year. So we'll be able to give a better view then. But from a pipeline perspective, there doesn't seem to be any issue with number of projects that are planned in the next 2 to 3 years in the Middle East.

Moderator: The next question comes from the line of Bharat Sheth from Quest Investment Advisors Private Limited.

Bharat Sheth: Congratulations, Manish ji and the team for good numbers.

Manish Mohnot: Thank you, Bharat Bhai.

Bharat Sheth: We have already got, I mean, clarification on all business verticals, except building and factories. How do we see, I mean, the way real estate also, I mean, again, reviving as well as a lot of commercial and data center things are coming. And what I understand, real estate also requires

a lot of capex . So how do we think about it from a 2 to 3-year perspective? ?

Manish Mohnot: So Bharat Bhai , first of all, we continue to stay very bullish on this business on all aspects, right? One is our capability and competency to deliver on large projects. Now we have 2 or 3 projects, which are like 10 million square feet and above design build. Second, our ability to work with large marquee clients in the country, right .

There are 5 or 6 clients who constitute more than 75% to 80% of our order book. And third, we have a very good capex base, which we can use it again and again. So we built this capex over the 5 years. So incrementally for the growth, we don't need to put in similar kind of capex .

So with the combination of a great team on delivery, great opportunity in all sectors, whether it is residential, commercial, airports, data centers and industrial projects, a history of working with the large clients very, very well and a great balance sheet, I think we are very bullish on this opportunity.

So I do not see this business doing less than double digit on EBITDA, and I do not see us growing at less than 20%, whatever happens, even with those challenges on labor and all of that. So in a nutshell, I think -- and you can see in the last 18 to 20 months, our 90% order book has come only in 2 business, building and factories and transmission. And we're very happy with Kalpataru Projects International Limited

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that because from a resource allocation perspective, we believe this is the best time to give resources to both the businesses where the return ratios look very, very attractive.

Bharat Sheth: Am I audible?

Manish Mohnot: Yes. Now.

Bharat Sheth: Sir, one bookkeeping question out in this quarter, our other expenses should have almost double Y-o-Y as well as Q -o-Q also, it has gone up. So is there any one -off there in the expenses?

Manish Mohnot: I'll ask CFO Ram to respond to this question.

Ram Patodia: Bharat, the costs have gone up because of the manpower. There are certain costs which is...

Moderator: Sorry to interrupt you, sir, but you are not audible.

Manish Mohnot: Okay. Sorry. Okay. Let me just quickly help on this one. So first, there isn't any

one -off expenses

which have come in Bharat Bhai . Previous year, we had some gains coming out of forex market to market , which were there in other expenses.

And that impact this year, there's no gain. That impact is closer to ■ 90-odd crores. which was more on -- so otherwise, there's no one. Second, there's rent expenses, which has gone up primarily on the Saudi project, which comes in other expenses, and that's a big, big impact. Otherwise, there's no one -off.

Bharat Sheth: Thank you and all the best sir.

Moderator: The next question comes from the line of Abhijeet Singh from Sy stematix.

Abhijeet Singh: Sir, I wanted a state on the order book of Middle East between oil and gas, renewables and other segments.

Manish Mohnot: So right now, in Middle East, Abhijeet, we have only oil and gas and transmission. My oil and gas order book approximately should be in the range of \$600 -odd million, so let's say, around ■5000 -odd crores.

And as far as my transmission order book is concerned, which includes Saudi, which includes Abu Dhabi, which includes Iran and Kuwait, it should be in the range of \$150 -odd million. So let's say -- so total would be more in the range of ■6,500 crores. I could be off by a few hundred crores but should be in range of ■ 6,500 crores to ■7,000 crores.

Abhijeet Singh: So you said 5,000 and 2,000?

Manish Mohnot: Yes 1,500 to 2,000. I'm talking of unexecuted order book. I'm sure you're looking at that only.

Abhijeet Singh: Yes, sir. Yes, sir. And sir, what is the outlook on both of these segments in that particular geography going forward? And the reason I ask this question is that Middle East, especially Kalpataru Projects International Limited

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Saudi and a few of the larger economies there, they are looking at a significant expansion in their gas evacuation capabilities and other infrastructure, right?

Also, a lot of orders are coming in for T&D segment? So in that context, I'm assuming the growth should be pretty robust in that particular geography. So if you can throw some light on this aspect?

Manish Mohnot: So Abhijeet, I think my colleague, Amit did speak about this just a few minutes ago, but I'll repeat that just for the sake of clarity. While we continue to be bullish on the sector, we still are cautious because some projects have slightly got delayed given that oil prices have come down.

From a long-term perspective, we believe that there's huge opportunities coming in Middle East. Even in the short term, at least in transmission and a few large projects in ADNOC, we see some opportunities coming through. So it's a mix kind of thing. But today, we have around ₹ 7,000 crores of opportunity already there, which we have to deliver over the next 2 years. We continue to be focused. We continue to be cautiously optimistic on these opportunities.

Moderator: The next question is from the line of Ms. Bhoomika Nair from DAM Capital Advisors.

Bhoomika Nair: Yes. Sir, just on Linje, I just wanted to understand how is the outlook out there, and we were looking at some fundraising opportunities. If you can just throw some color on ordering activity there? What are the prospects?

How are we looking at that business because we've seen a very strong momentum this year, both in terms of revenues, and I think also profitability has picked up quite a bit. So if you can just talk on that part of the business a little more in detail?

Manish Mohnot: So Bhoomika, I think we continue to stay bullish as far as the opportunities at LMG are concerned, one in Sweden and the neighboring countries also. We are among the top 3 players today in that business in the T&D space and have a very good team, which is delivering on across all projects, whether it is transmission, substation or services.

Our growth in the current year has been exceptionally good, and we believe that next 2, 3, 4

years, that opportunity is intact, and we'll only grow one way. As far as margins are concerned, I think that those are mature markets where a PBT of 6% to 7% is very reasonably good because the ROCE numbers are very, very high and they are cash positive always. So we believe that margins should stay in that range of 6.5% to 7.5%. Growth is visible and good growth is visible and with very high ROCE.

As far as the fundraising options are concerned, as we had said earlier, we have appointed advisers to look at fundraising options. We are in continuous dialogue with them. And at an appropriate time, once we have decided the path which we are choosing, we will communicate back to all of you.

We are continuously exploring opportunities of fundraising there. And I believe that in '26, '27, we should see some light in terms of getting some valuation of fundraising in whatever form we can.

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Bhoomika Nair: Okay. Got it. Got it. Sir, the other thing is in terms of working capital, despite the strong execution in the first half, we've not really seen working capital kind of rising and that has also been in control. Now as we continue to see further momentum into the second half and perhaps some uptake from more of the water railways, etc, how do you see the working capital for the rest of the year and the year-end debt looking like per se?

Manish Mohnot: So on working capital, Bhoomika, I think we continue to stay on a target of less than 100 days for standalone and less than 90 days on consol or less than 85 days on consol. Obviously, these numbers could look very different if we get majority of our collections coming in from water, but I don't want to be overoptimistic at this date.

As SKT said earlier, as and when the money comes, it would have a direct impact on working capital. I think we will stick to our given numbers at the year-end of less than 100 days and debt numbers should improve -- shouldn't go deteriorate from here because typically Q3, Q4 debt only improves. But given the growth, it might slightly be in a similar range, not significantly up, not significantly down.

Bhoomika Nair: Got it. Got it. And I know this was discussed to a certain extent earlier in the call in terms of the margin profile. As we're seeing more T&D-led execution, should we see margins further improving maybe obviously, at the PBT level, we are looking at an improvement. But more at the operating level, can we see margins going back to that crossing a 9% level over the next 1, 2 years? Or you think right now, the mix is quite diverse, which will not allow us to kind of cross that level?

Manish Mohnot: So I think the margins would definitely improve, right? And I have no issues about it because the order book, which has been built over the last 2 years is much better than the order book which we had built earlier.

Would it go up from here? It's definitely yes. Can it go to 9% plus levels getting into next year? It sounds feasible, but let's just come back to you at the end of the year with exact numbers. But definitely, it should be going up only, and I don't see any reasons on this current order book for margins to be lower.

Moderator: The next question comes from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, a couple of clarifications. You mentioned that last year, there was a one-off in the margins, some FX gain. So what was the amount?

Manish Mohnot: No, I did not mention of an asset sale last year. I mentioned about gain, not in margin. It was in other expenses. There was some FX gain, which was closer to -- so just to give you a perspective,

the forex loss in H1 FY26 is around ₹ 29.7 crores and forex loss in Q2 FY26 is ₹ 35.5 crores.
So forex gain in H1 FY25 was ₹ 66.6 crores.
So the delta between ₹ 66 crores and ₹ 26.6 crores is around ₹ 90 odd crores. There w

as a gain
of ₹ 66 crores previous year in the first half. There's a loss of ₹ 29.75 crores in Q2, in the first half of this year.

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So the delta is around ₹ 90 crores in other expenses. But just so that we are very clear, this gain and loss directly does not hit P&L, it goes through hedge reserves. So it's only in other expenses, but does not directly hit P&L in a larger perspective.

Vaibhav Shah: Sure. And sir, were there any provisions in Q2?

Manish Mohnot: Provisions in terms of what warranty guarantee, I've already said that we have created a provision of closer to ₹ 30 crores in Q2. In half 1, our warranty guarantee has increased by ₹ 60-odd crores, right ₹ 70 crores.

Vaibhav Shah: So ₹ 30 crores is in other expense?

Manish Mohnot: The ₹ 30 crores would normally be in other expenses, it's in resection expenses.

Moderator: The next question comes from the line of Deepak Purswani from Svan Investment.

Deepak Purswani: Sir, just wanted to check it out recently, there has been a spike in some of the commodity prices, especially copper and aluminum. So in this context, if you can also give us a sense in terms of the margin profile, what is the fixed price contract firstly in the current order book? And is there any margin impact we are expecting because of this? And on an incremental basis, how should we see the margin profile because of the rising commodity price?

Manish Mohnot: So I think in totality, if you look at the order book, it's as of now, 50% fixed and 50% variable when I look at the consol order book. As far as specifically on commodities are concerned, today on aluminum, we are hedged at 90% plus of whatever orders we have, including some L-1 orders, which we are definitely sure to get.

We are hedged at 90% plus. So I believe the impact of any increase in aluminum at any levels would be very, very minimal, if not closer to 0 because this aluminum needs to be delivered over the next 2 to 2.5 years. Also on the copper front, our exposure is very, very minimal because on copper front, our railway order book is minimal and there's not much exposure, and we are nearly hedged on that also.

So if you ask me personally, from aluminum, zinc and copper perspective, the impact on margins might be very, very minimal. As far as steel is concerned, we have not seen much volatility in the last 12 to 15 months in terms of increase in price. So I don't think that should also have an impact on our profitability in any form.

Moderator: As there are no further questions, I would now like to hand the conference over to Ms. Bhoomika Nair for closing comments. Please go ahead.

Bhoomika Nair: Yes. I would like to thank all the participants for being on the call, and thanks a lot to the management for giving us an opportunity to host the call. Thank you very much, sir, and wish you all the very best.

Manish Mohnot: Thank you very much, everyone.

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Moderator: On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Manish Mohnot: Thank you.

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Q3 FY '26 Results Earnings Conference Call "
February 05, 2026

MANAGEMENT : MR. MANISH MOHNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. S.K. TRIPATHI – DEPUTY MANAGING DIRECTOR

MR. SANJAY DALMIA – EXECUTIVE DIRECTOR

MR. AMIT UPLENCHWAR – DIRECTOR , GROUP
STRATEGY

MR. RAM PATODIA – PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to the Kalpataru Projects International Ltd. Q3 FY '26 Results Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kishan Mundhra from DAM Capital Advisors. Thank you, and over to you, sir.

Kishan Mundhra: Hi. Thanks, Alaric . Good morning, everyone, and thanks for joining in. And a warm welcome to the Q3 FY '26 earnings call of Kalpataru Projects International Limited. Today, we have the management, which is represented by Mr. Manish Mohnot, who is the Managing Director and CEO; Mr. S.K. Tripathi, who is Deputy Managing Director; Mr. Sanjay Dalmia, Executive Director; Mr. Amit Uplenchwar, Director, Group Strategy; and Mr. Ram Patodia, President, Finance and the CFO.

Now at this point, I'll hand over the floor to Mr. Mohnot for his initial remarks, post which we'll open the floor up for question and answer. With that, thank you, and over to you, sir.

Manish Mohnot: Thank you, Kishan. Good morning, everyone. Thank you for joining us today and for your continued interest in Kalpataru Projects International Limited. We trust you have had a chance to review our financial results and the presentation available on the stock exchanges and our website.

To start, this has been an exceptionally strong year operationally, financially and strategically. Before we dive into the specific performance metrics, I would like to provide a broader perspective on our progress achieved in the last 3 quarters. First, our revenue has consistently improved over the last 3 quarters, driven by robust execution and a healthy order backlog. At the consol level, we achieved 27% Y-o-Y growth for 9 M FY 26, while stand-alone growth

reached 28%. Both at stand-alone and consol level, we are already ahead of our full year guidance of 25% of revenue growth.

Second, we have maintained a steady trend of securing new projects with better margins. The same is reflected from improvement in consol and stand alone PBT margin of 110 bps and 80 bps, respectively, for 9 M FY26. This performance exceeds our guidance of consol PBT margin improvement of 100 bps and stand alone PBT margin increase of 50 bps for FY '26.

Third, our achievement on the net working capital front reflects our relentless focus on timely project delivery and disciplined bidding approach with an aim to improve returns on the invested capital. With net working capital at 79 days at consol level and 97 days at stand-alone level, we are performing significantly better than our year-end target of 100 days.

Fourth, we have significantly elevated our competitive positioning this year by securing several large-scale strategic orders in our T&D and B&F business. With INR19,456 crores in YTD order book.
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inflows and an additional INR7,000-plus crores in a favorable position, we are well positioned to meet our annual inflow target of INR26,000-plus crores.

Fifth and the most important, our balance sheet is at its strongest point in recent history. We have reported a notable decline in net debt due to improved operational performance.

Furthermore, we have completed the divestment of the Vindhyachal Road asset in January 2026, and we are on track to fully monetize the Indore real estate project by March 2026. These steps align with our commitment to redeploy capital into our core EPC businesses to enhance our return

ratios.

Let me now get in more details on the financial performance. At consol level, we delivered Q3 FY26 revenue of INR 6,665 crores, a 16% Y-o-Y increase. For 9 M FY26, revenue rose 27% Y-o-Y to INR 19,365 crores. Similarly, stand-alone revenue grew by 20% in Q3 '26 and 28% for the 9 M period. The growth in revenue is broad-based with most of the business verticals delivering a healthy double-digit growth led by strong execution and healthy order backlog.

Our consol EBITDA rose 23% Y-o-Y for the first 9 M of FY '26. At a stand-alone level, EBITDA grew by 20% Y-o-Y in Q3 and 28% Y-o-Y for 9-month period FY26. For 9 M FY '26, our consol and stand-alone EBITDA margins remained healthy at 8.3% and 8.4%, respectively.

We continue to deliver a solid earnings performance characterized by a healthy improvement in PBT margins. Our consol PBT before exceptional items grew by a robust 37% in Q3 and 69% for 9M FY26. Similarly, for the stand-alone business, PBT before exceptional items rose by 44% in Q3 and 52% for the 9 M period. For 9 M FY26, our consol PBT margins expanded by 110 bps to 4.6%, while the stand alone PBT margin increased by 80 bps to 5.3%.

More importantly, we have continued to strengthen our balance sheet through notable improvements in working capital management and leverage. Our net debt at both consol and stand alone levels declined significantly, dropping by 29% and 16%, respectively, compared to the previous quarter.

As of 31st December 2025, our consol net debt stands at INR 2,240 crores, while stand-alone net debt is at INR 1,849 crores. The debt numbers would further improve in Q4 given the inflows of Vindhyachal and normally healthy inflows in Q4.

Our net working capital days have shown further improvement in both on a year-on and quarter-on-quarter basis. For the period ending December 2025, NWC days for both consol and stand alone basis improved by 15 days.

As a recent and significant update, we successfully completed the divestment of a 100% equity stake in the Vindhyachal Road asset in Jan '26. This transaction was based on an enterprise value of approximately INR 799 crores post-closing adjustments and has resulted in net cash inflows exceeding INR 600 crores for KPIL.

Looking ahead, we are on track to complete the full monetization of inventory in our Indore real estate project before the end of March 2026. These strategic divestments will help us to further reduce leverage and strengthen our financial position as we approach the end of the fiscal year.

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Turning now to our order book position. Our consol order book remains exceptionally strong, standing at INR 63,287 crores as of 31st December '25. This provides us with significant revenue visibility for the quarters ahead. We have maintained robust business momentum in FY '26, securing INR 19,456 in new orders year-to-date. Furthermore, we have favorably placed additional orders exceeding INR 7,000 crores, predominantly in our T&D business. We continue

to gather substantial T&D orders, both domestically and internationally, alongside several significant wins in our B&F business. These orders win further solidify our leadership in the global EPC landscape.

Now coming to the performance of individual businesses. First, starting with T&D business. Business visibility in the T&D business continues to improve and remains strong on the back of global push for renewables and development of grid infrastructure, both domestic and internationally. We have solidified our position as a global leader in the T&D business with key wins in the strategic markets and repeated clients. We have received orders of INR 7,826 crores in the T&D business till date in FY26 and further our L1 or favorable placed in projects over INR 5,800 crores.

Our T&D business order

backlog stands at over INR 25,752 crores as on 31st December '25, reflecting a growth of 12% Y-o-Y. T&D revenue saw a strong Y-o-Y growth of 37% for 9 M FY26 to reach INR 8,992 crores on the back of improved execution and healthy order backlog in India, Sweden and other international markets.

Talking specifically on the Indian T&D market, we expect the growth momentum to remain strong, led by major impetus on renewable energy integration and rising electricity demand. This is amply supported by PGCIL capex numbers and annual pipeline projection of INR 90,000 crores per annum for the next 4 years.

With a strong order book and robust tender pipeline in the focused markets over the next 3 to 4 years, we remain confident to deliver strong growth in the T&D business going forward.

Our B&F business has reported one of the best performances with order inflow crossing the INR10,000 crores mark in 9 months. We have secured orders worth INR 10,911 crores till date in FY '26 and further have L1 of INR 1,100 crores.

Our B&F order book has grown by 40% Y-o-Y to INR 18,596 crores. During the year, we have added prestigious projects in terms of data center, large -sized residential projects, hospitals and industrial works. Our strong execution capabilities and ability to deliver large -sized projects has helped us to improve our competitive position across marquee developers in India.

Our B&F business maintains its growth momentum, recording revenue growth of 17% Y-o-Y for 9 M FY '26. Our Oil and Gas business delivered strong Y-o-Y growth of 58% for 9M FY '26, led by robust execution in Saudi project.

Our water business saw a decline in revenue in Q3 and 9 months FY '26. Collections in the water business have started to improve, especially from UP JJM project starting January 2026. Till date in the current year, we have received collections of over INR 1,250 crores. Of which, in the Kalpataru Projects International Limited

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month of January, we have received collections in the range of INR 250 crores. We remain confident on improving collections from water projects in Q4 itself.

In our railway business, revenue improved by 31% in Q3 and 15% for 9 M FY'26. Our order book in the railway business is INR 2,713 crores and further, we are L1 in the metro rail electrification project. The outlook for railways business remains positive with considerable opportunities in areas like high -speed rail, RRTS, safety and signaling works.

Our urban infra business delivered strong performance this quarter with a 79% Y-o-Y growth driven by progress on metro rail projects. We have strengthened our presence in the Metro Rail segment with major order win in the Thane Metro Rail project.

Before I conclude, I would like to reiterate my opening comments that we continue to deliver consistently strong results underpinned by 3 key pillars: First, strong growth in revenue and earnings. Our operational performance has consistently outpaced our guidance, reflecting robust execution across most of the business verticals.

Second, a robust order book with significant new wins mainly in T&D and B&F businesses, we have built a high -quality order backlog that ensures long -term revenue visibility with improved margins going forward.

Third, a strengthened balance sheet. We are successfully reducing debt and maintaining an efficient net working capital, ensuring we remain financially agile without compromising on capex. We have incurred more than INR 500 crores of capex in the first 9 months of the current financial year.

More importantly, we are well positioned to deliver on the strategic priorities and guidance set for FY 26. We expect revenue growth for the full year to be approx 25%, accompanied by improvement in earnings of minimum 50 basis points at stand alone and 100 basis points in consol.

Furthermore, we

remain confident in reaching our target consol EPS exceeding INR 50 per share for the current year. We are well placed to achieve targeted net working capital and order inflows guided for the year.

Lastly, we expect growth momentum to remain buoyant, supported by clear visibility in T&D, B&F and Civil businesses. We're strategically aligned with evolving market needs and occupy a strong position in the global EPC landscape backed by an integrated expertise, robust execution capabilities, global reach and a resilient financial profile. On back of this, we expect growth momentum to continue along with margin improvement in financial year 2027.

With that, I conclude my opening remarks, and moderator I now open the floor for Q&A. Thank you.

Moderator: Thank you. Our first question comes from the line of Amit Anwani from PL Capital. Please go ahead.

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Amit Anwani: Congratulations for a good set of numbers. So first question, sir, on -- there's a kind of decent decline in the consol versus stand alone. And you did explain that legacy projects are getting executed in quarter. So just want more explanation what led to kind of 10%, 12% decline on consol? And where are we today with respect to the legacy executions in this year?

Manish Mohnot: No. So Amit, as we have explained in our presentation also on the consol level, at a PBT level, obviously, we have done reasonably well. When you look at the EBITDA level, there were 3 specific areas.

One, water EBITDA is much lower than what it was in the previous year, driven by results driven by reasons. All of us know that. And I'm hoping this will improve in Q4 because in January itself, we have collected INR 220 crores, as I said earlier, and it looks like majority of the states now have the budgets to start paying us. We're keeping fingers crossed.

Second, in the previous year, we had our road assets with us, all the 3 of them, now it's only 2. So there's some decline in consol EBITDA coming from there also in Q3.

And third, we continue to suffer on Brazilian operations as we are just closing some of our old projects, while we have claims and all of that with client, but normally, we don't take that in books till the claims materialize. So I think Brazil has been a dampener in some form. The good part is the Brazil order book is nearly completed the historical order book. We have less than INR 100 crores of orders left to be delivered.

And we are reviewing what we need to do in terms of Brazilian operations going forward. So it was a combination of 3 things at EBITDA level, while EBITDA has grown not exactly in the same from a revenue on a quarterly basis. But if I look at it on a 9-month basis, while our revenue has grown at 27%, EBITDA has also grown by 23% and PBT at 69%.

So this was a few challenges in EBITDA, and I think it's maybe one more quarter or if not, maybe this was the last quarter where because road assets could continue in terms of comparison from previous year. Water should improve in Q4 and Brazil losses should start coming down at least consol level given that we have a lower order book there.

Amit Anwani: Yes. Sir, in terms of pipeline, since I think the budget is also over and so just wanted to understand this year definitely would be strong. With 12 to 15 perspective, what is the pipeline for domestic T&D, international T&D? Any changes you have seen post budget where you feel that the pipeline can improve or can be reasonably okay, especially metro, if you would like to highlight there in terms of pipeline additionally, yes.

Manish Mohnot: No. So post budget, I think on an infrastructure overall, given the kind of thrust by the government and given the thrust of all the PSUs, I think pipeline has only improved significantly. We're still looking at finer details, but whatever numbers have

come out, whether it was PGCIL

yesterday increasing their capex guidance significantly, whether it was in metro projects where we're seeing a lot of tenders now coming in, whether it is even on B&F where you're seeing industrial projects coming in, whether you're seeing data centers coming in, whether you're seeing airports coming in and residential and commercial continue to come in.

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We're also seeing some good traction on the international front on oil and gas. So if you ask me from a pipeline perspective, all businesses, T&D, B&F, Oil and Gas, Urban Infra as well as Sweden, they only look more promising than what it was prior to budget. We are looking at the final details now. And hopefully, in the next few months, we'll get a lot more clarity.

The good part is, today, we have a visibility of orders in excess of 2.5 years. So and even if we grow at a reasonably good number, we have good visibility for the next 2 to 3 years. So with

improved pipeline and strong visibility, I think performance should improve only going forward.

Amit Anwani: All right, sir. So fair to assume that even next year, the growth can be 20 -plus percent?

Manish Mohnot: I would come back with exact numbers in the April call, but yes, it would be definitely a very good growth with improved margins. This 2 commitment you can take. But exact numbers, give me some more time to come back.

Moderator: The next question comes from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a great quarter. So my first question, if I see your order growth, so now T&D is about 41% and 29% is B&F. I understand these will have excess of double -digit margins. So if I have to look at profitability from here on in the coming quarters, every quarter from here on, so what are the pain points currently are facing in terms of legacy order book? How do you think the margin trajectory will move quarterly from here on into the next years, whether it will improve on a sustainable basis given 70% of these order backlog is from double -digit plus kind of margins?

Manish Mohnot: So Parikshit, first to answer the pain points. The pain points clearly where we exist today, one still continues to be water where our outstanding is in 4 -digit crores, a very high number of crores. While collections have improved, and we're keeping our fingers crossed, that still as of today is a pain point, and we are hoping that, that would improve significantly in February, March.

Second, from a pain point perspective, today, it's just the volatility in whatever is happening in exchange or whatever else, while we're 90% plus hedged, but that's second pain point because on tendering and all our businesses, that continues to be its calls which needs to be taken. But while we say so, I completely agree with you that at least 3 of our business units, transmission, B&F and oil and gas are at a double -digit EBITDA level. And going forward also, they'll continue at that level.

So assuming that the water business cash flow improves, definitely margins should improve going forward, including in Q4 itself. We would just like to wait for guidance post March once we have this clarity on water. But the current order and on the legacy order, I don't think I have anything left now, maybe on INR 63,000 crores, maybe INR 1,000 -odd crores.

Otherwise legacy orders with lower order margins are all gone. Yes. On some of our business segments, like Urban Infra, we have not taken orders at similar double -digit margins because these are businesses we have grown in the last 3 years. But even with that, overall, you'll see margins improving reasonably well going forward.

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Parikshit Kandpal: So on these water orders, I mean I

NR 8,000 crores of backlog, so what kind of margins will be there? I mean is it more of an overhead issue because you are only progressing to the extent you're receiving cash flows? Or is it that these now have much lower margins given that projects have been significantly delayed. So how does one evaluate or look at this profitability in this segment, supposing the payments are coming on time?

Manish Mohnot: So Parikshit, out of the INR 8,000 crores of orders, you'll have to divide this into two parts, around INR 5,500 crores are orders which have to be delivered. And there's around INR 2,500 crores, which is O&M for the next, say, 5, 6, 7 years across various projects. So on the balance, INR 5,500 crores orders to be delivered, if I look at it at a gross margin level, I don't think there's a big dent.

The dent is only coming because of interest cost, interest costs typically with all those delays get hit at a project level. So at a gross margin level, the dent is minimal. If I was at whatever x level, it is maybe 100 basis points dent, not more than that. But the bigger dent comes out of interest cost. So that's where we're waiting and watching. Second, I think it's the speed of execution, right.

Today, we are, while we are delivering on water projects, we're not delivering at the speed ideally, which we would like to, given the constraints on cash flow. The moment cash flows come, you can work on everything. You can increase the speed and deliver this quickly. You can also build a healthy order book also because tenders would also start coming. And you could rationalize these cash flows to do better things on other business units also. So it's a combination of all of this, all dependent on water. But dent in terms of EBITDA could be 100 to 200 basis points, not more than that as far as water business is concerned.

Parikshit Kandpal: On the monetization, you've received, I think, INR 600 crores from VEPL. So now directionally, how one should look at that at? And what are the other low -hanging fruit? I think you have some arbitration in progress and well you have WEP L gone for termination. So over the next 2 to 3 years, how do you think further cash flows can come in? And also from Indore real estate monetization point of view, what is now pending from there?

Manish Mohnot: So on monetization, to first answer your question, whatever cash flow receiving are just going

into working capital and debt improvement and some capex . So that's clearly our indication going forward. As far as Indore is concerned, as of 31st December, we had an outstanding of approximately INR 75 crores .

And we believe the entire amount should come in, maybe a few crores here and there should come in before March. We're pretty confident that all collections would be done by March. So we would be done as far as Indore is concerned, and that would also go in debt reduction only. As far as monetization of the other assets are concerned, I think now we have all transmission assets are monetized. We just have one road asset left. We have Shubham Logistics , which we have declared as noncore, where also we are selling specific warehouses to reduce debt. And you can see that debt reduction coming at a consol level also. So I believe there also debt reduction should happen by selling specific assets at a Shubham level.

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Besides this, as we had indicated earlier also that we have appointed bankers to advise us on fundraising at Sweden, which is also progressing well. We do not know which options and what timing it exactly is, but we have appointed bankers to look at exploring fund option raising at Sweden also, which I'm expecting in FY26-27 should give us further cash flows.

Parikshit Kandpal: And from arbitration, where you've gone for termination, so what kind of realization do you think you can get

over the next 2 to 3 years?

Manish Mohnot: So Parikshit, it's a very difficult question to answer. I can say that on arbitration, we have a lot of awards and the total amount of those awards might be in 4 -digit crores. But whether it would happen, whether we would get that money in year 1, year 2, year 3, difficult to assess that. We have not taken any of these awards in books. So as and when this comes through, we would take that in the quarterly numbers, but difficult to assess from a 3 to 5 -year perspective.

Moderator: The next question comes from the line of Ashish Shah from HDFC Mutual Fund.

Ashish Shah: Sir, my question is on the commodity cost inflation. So with aluminum, copper, etc , going high, can you just explain or walk us through how we are protecting ourselves from any potential pressures? And where does the risk, if at all, exist still on this particular issue?

Manish Mohnot: Sure. Ashish, on the commodity front, we have exposure primarily on aluminum, zinc, copper and steel. As of today, as per our risk management policy on aluminum, zinc and copper, we are 80% to 90% hedged, if not 95% plus hedged in some of them. I can confidently tell you that whatever levels we are hedged are lower than our tender cost on 99% of our tenders.

And so to that extent, our profit margins, whatever we have bid at tender level is reasonably protected. At the steel level, we obviously cannot hedge steel because there isn't a market available for that. We're carrying an inventory, which is in excess of 50,000 tons when I look at raw materials, finished goods and WIP. And we have continuously loaded the steel increase expected cost into our tenders.

So to the extent on steel, our total order book is approximately 3 lakh tons as of now. We have a visibility of already 50,000 and some would be on in terms of we would have ordered for Q4 also. So there could be some exposure to steel. But at a tender level, we have adequately provided contingency for that. So my view is even on steel increase from here of INR 5,000 to INR 7,000 further, it shouldn't dent our margins to any extent on a totality basis.

Ashish Shah: Sure. And sir, particularly coming to transmission projects in India from PGCIL, etc. Now are these sort of fixed price EPC contracts for you? Or there is a provision for commodity cost pass - through in some of these projects?

Manish Mohnot: I think majority of our transmission projects are fixed price projects, and we have to load the expected increase in cost at a tender level itself.

Ashish Shah: Right. And then you do go and hedge for the commodity again.

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Manish Mohnot: Except steel, as I said, we are 90% to 95% hedged on all our commodities. Including some of our L1 positions, we are hedged, which we are reasonably sure we should be getting them sooner than later.

Ashish Shah: Right. Sir, also the other issue is on the water side, where you did mention that you're expecting things to improve. So this is your expectation primarily from the central budget starting to flow?

Or you expect state to really come and chip in more and hence, your cash flow will improve in the water?

Manish Mohnot: So Ashish, it's a combination of both. Before the budget came in, the state level, we had already collected closer to INR 220 crores in the month of January. The budget just came in a few days

ago. Even in the budget, I think the allocation to water at INR 67,000 crores is a huge number. And they also indicated that out of the current year, INR 67,000 crores hardly 25%, 30% has been spent. So with that message of saying that they would be spending more at a central level and with states coming in with their own cash flow.

And we're seeing that improvement at the ground also. So except Jharkhand, UP, MP, Orissa, Punjab, we're seeing improvements across. So today, if y

ou ask me, except Jharkhand,

everywhere, I'm reasonably sure that Q4, you should see good inflow coming in. But I would still like to keep my fingers crossed because we get this hope several times in the last 6 to 7 quarters. But I'll just keep myself positive right now and hope that it goes the way we have planned.

Ashish Shah: Right. And sir, last one, L MG could be on what sort of a margin range right now?

Manish Mohnot: So L MG, if you look at the margin range is more at a level of 5.5% to 6%, both EBITDA and PBT because their EBITDA is nearly equal to PBT, they hardly have interest cost. I think it was 5.9%, if I'm not mistaken, but more in the 6.9% for 7.8% EBITDA for 9 months and PBT at 6.9%. I expect this should be on an annualized basis more in the range of 6% to 7% only.

Ashish Shah: At the PBT level?

Manish Mohnot: At the PBT level.

Moderator: The next question comes from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Yes. Sir, firstly, what capex are we targeting for the entire year this year and for FY '27?

Manish Mohnot: So for the current year, I think we had already taken approval of capex outflow of closer to INR 700-plus crores. We have already incurred capex outflow of INR 500-plus crores. So if you ask me for the current year, capex outflow should be in the range of INR 700 crores to INR 750 crores in terms of outflow. I believe that we should be in a similar range going forward also because we are seeing good traction across all our businesses.

And given the healthy cash flows, which we have and some more cash flows which have come in January, I think we believe that that's the best place to invest from a long-term perspective.

So I think on a cash outlook basis, next year should be also similar numbers. But we'll come

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back to you in April with exact trend on that or exact numbers, which we are projecting for the next year.

Vaibhav Shah: Okay. Sir, secondly, when you mentioned the revenue growth guidance of 25% for FY 26, it is for stand alone as well?

Manish Mohnot: Yes. At the stand alone level also, we believe that we should be in the range of 25% for the current year.

Vaibhav Shah: Okay. Secondly, what is our plan at Fasttel now going ahead in the next couple of years, given the almost negligible order backlog right now. So are we looking to slow it down or close the business or we will be doing at a nominal level?

Manish Mohnot: So Vaibhav, we are reviewing the business in detail in Q4, including some detailed presentations at the senior-most level and meeting clients and all of that. We clearly are not very optimistic about the business where we stand today. And in the last few years, we've seen several challenges coming on that business. So as far as optimism is concerned, looks slow. As far as way forward, I think we'll have a lot more clarity in the next 2 months. And clearly, the business is on a downturn and not an upturn in any form.

Vaibhav Shah: Sir, so currently, what would be the EBITDA loss right now at the Fasttel level in 9 months?

Manish Mohnot: In the 9 months, I think at a Fasttel level, we have already provided at a consol level a number closer to INR 230-odd crores, INR 238-odd crores. And if you look at it, in the last 2 years, we have provided closer to INR 325 plus crores at a consol level. So at a consol level, we provided for majority of the losses, which is equivalent to the amount we have already invested in Fasttel.

Vaibhav Shah: So EBITDA was negative INR 230 crores in the first 9 months?

Manish Mohnot: Yes, in the current year.

Vaibhav Shah: Okay. And lastly we have received...

Manish Mohnot: So sorry, I just correct myself. At the EBITDA level in Fasttel, it's INR 186 crores. At a PBT level, it's INR 237 crores. I correct myself for 9 months.

Vaibhav Shah: EBITDA is INR 186 crores

?

Manish Mohnot: Yes, yes.

Vaibhav Shah: Okay. Okay. And sir, lastly, in terms of the VEPL -- so the money we have received, so we have received INR 600 crores already in the Q4, right?

Manish Mohnot: Yes. We've already -- the money is in the bank.

Vaibhav Shah: Yes. So how you see the...

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Manish Mohnot: Plus there's a debt reduction at a consol level because there was around INR 190 crores of debt, which has been taken over by the acquiring entity. So at a consol level, the impact of the cash inflow plus debt is closer to INR800 crores.

Vaibhav Shah: Sir, so how do you see the debt number which we have right now, gross debt of around INR 3,100 crores as of December. So how do you see it moving ahead at around March?

Manish Mohnot: So at a net debt level, I believe March should be lower than December. On account of everything, normally, Q4, your cash inflows are normally very healthy in our business. Also the VEPL and also what is coming from Indore. So at a net debt level, we would be much lower. And also on the net working capital, we would like to be lower than where we are. Difficult to give you exact projections, but I can tell you it will be much lower than Q3, whatever we've reported net debt at Q3, it will be much lower than that, both at stand-alone and consol.

Vaibhav Shah: And our total investment in VEPL would be somewhere around INR 420 odd crores?

Manish Mohnot: Total investments in?

Vaibhav Shah: In VEPL, loans and equity put together?

Manish Mohnot: I think it was around INR 340 odd crores. Sorry, Sorry, my team just said it's around INR 417 crores, you're right.

Vaibhav Shah: Okay. So the gains will be booked in Q4?

Manish Mohnot: Yes, for sure.

Moderator: The next question comes from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: Very strong performance on factors that are within your control. The first question is your working capital days are again well below your guidance. Ex of water, what would be your working capital days at the consolidated level?

Manish Mohnot: Sumit, ex of water, the working capital days could come down by 6 to 7 days at a stand alone and consol level. Assuming that the cash inflows were normal, it could be in the range of 6 to 7 days because we have not done so much revenue also for the current year. If it was a normal situation, the numbers could have been and if the revenue would have been on target, numbers could have been lower by 8 to 10 days also. But as of now, 6 to 7 days is what impact us.

Sumit Kishore: Understood. And following up from an earlier question from Ashish, what is the hedging cost that you have incurred for commodity and/or exchange in Q3 FY 26 and 9 M FY '26 in case you have the number handy?

Manish Mohnot: I do not have the hedging cost number, but I'll be happy to explain you that as far as FX is concerned, we are a net exporter, so there is never an hedging cost. We always get a premium.

And as far as commodities are concerned, whatever is the cost, it's loaded at a project level. So at a project level, when we bid, we take the, let's say, the 3-month forward plus assuming that it is required 9 months, we add that forward cost also at a project level itself.

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So typically, our forward cost, which is, let's say, a 12-month, 18-month, 24-month forward cost is what is bid at a project and what is charged also at a project level. As I said earlier, today where we stand on 99% of our projects, whatever is hedged at actual cost forward, including the forward premium, it's lower than what we have bid at a project level. It's significantly lower, and that's where you'll see margins improving going forward.

Sumit Kishore: Okay. But this cost of hedging would be sitting as part of you

other expenses?

Manish Mohnot: So not necessarily. The cost of hedging is sitting as a part of the project cost. As and when delivery happens, it comes into P&L. It sits in the project cost as a CTC cost, of saying that this is the cost to be incurred going forward. As and when delivery happens, the revenue and cost both comes into P&L, not in other costs, it would come in the direct cost itself.

Sumit Kishore: Right. So it would be as part of the landed raw material cost for you in your RM expenses for your commodity hedging after the whatever?

Manish Mohnot: Perfect, perfect, perfect.

Sumit Kishore: Understood. Yes, that is very clear. And just for bookkeeping, what was your Fasttel EBITDA loss in Q3, if you can tell us, help us adjust numbers better?

Manish Mohnot: In Q3, Fasttel EBITDA loss is around INR 63 crores in Q3 itself. Yes. And total for 9 months around INR 186. This is one area where we believe against whatever we had projected for the year, this is one area where we have not been able to achieve on whatever projections we did. So that's something which is a setback for us. But in totality, at whatever we have guided at a PBT level, we have exceeded our guidance on all accounts.

Sumit Kishore: No. So with the INR 100 odd crores of Fasttel backlog remaining, even if you have to quantify remaining pain, it should be less than INR 100 crores?

Manish Mohnot: Yes, much lesser than that at a consol level.

Moderator: The next question comes from the line of Mohit Kumar from ICICI Securities.

Mohit Kumar: My question is on the T&D opportunity in India, especially, right? I think last quarter was pretty weak, right? Can you just talk about the T&D opportunity pipeline or tender opportunity which you see in there, especially for the next 6 to 12 months?

Manish Mohnot: So Mohit, as I said earlier on the call, we're seeing a lot of tenders coming on T&D. While we - and we presented that earlier also, as of now, out of our INR 7,000 crores, around INR 5,800 crores we L1 in T&D itself, both domestic and international.

Also, if you look at the guidance of Power Grid in terms of what capex they plan, they've increased their guidance significantly, and it's visible now. So whether it is tenders coming up on HVDC, whether it is in Rajasthan and Gujarat to support renewable, whether it is Southern India, whether it is Northeast or whether it is Jammu Kashmir. So overall, we continue -- we believe that next 2 to 3 years, these opportunities will only increase multifold level, both domestic and international.

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And we're well positioned in terms of that because we are among the top 2, 3 globally in all markets, except China in the T&D space. So it always -- it's a good position to be in, and that would be one of our biggest drivers of growth from a 3-year perspective.

Mohit Kumar: And what was the international T&D inflow in the last 9 months compared to FY '25?

Manish Mohnot: So if you look at the T&D international in the last 9 months, we have received orders of around INR 3,600 crores and we are L1 in orders of around INR 4,500 crores. There's some order we declared yesterday. So I believe by the end of the year, TLI should get orders closer to INR 8,000 crores. And this includes -- this excludes the Sweden orders. So if I include Sweden also, TLI should reach a number around INR 9,500 crores to INR 10,000 crores order inflow in the current year.

Mohit Kumar: And how was this number is the base year?

Manish Mohnot: If you look at the previous year, TLI plus Min International, all put together was around INR 5,500 crores, which includes TLI, LMG and Fasttel for 9 months in the previous year.

Moderator: The next question comes from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: So now -- so in this

year, how much loss funding you have provided? And from Q4, so how are you looking at the loss funding for the road projects?

Manish Mohnot: I don't think we have provided a significant amount of cash funding to any of the road projects. As far as loss funding is concerned, the first 6 months, we had approximately INR 40-odd crores, but that was more a P&L. I don't think funding, we did significantly. 9 months, if you look at it. We did some INR 40 crores for loan repayment. It was not for loss funding. I think going forward, we just have one asset. So there's no more loss funding required, and that asset is positive in every form, both at a P&L level as well as on a cash flow level. So going forward, I expect 0 loss funding to be done on road assets.

Parikshit Kandpal: Okay. Sir, on the pipeline, so if you can quantify segment-wise total prospects pipeline, both domestic and international. And also wanted your view on the pipeline opportunity after the last big order, I have not seen anything major coming up. So if you can give us some sense in terms of quantifying the pipeline, both international and domestic, segment-wise, that will be helpful.

Manish Mohnot: So as I said earlier, Parikshit, on the oil and gas front, our major focus continues to be on the international market. We had taken a large order at Saudi Aramco last year and we were focused more on execution of that project. I'm happy to say that as of now, we are closer to 50% of the project, what needs to be delivered closer to that where we stand today, and I expect the balance project to be done in the next 15 to 18 months. We are on track as far as execution of Saudi project is concerned.

As far as pipeline is concerned, we're seeing a lot of tenders coming from Saudi, Abu Dhabi as well as Qatar. We are now qualified for maximum projects, and there's no size restrictions. And now that we have already delivered a significant portion of the project, we would continue to bid for a lot of these projects. We ourselves were conscious in bidding in the last 12-odd months

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because this size was itself very big. And you know our typical approach is being cautious when it comes to taking large-sized projects.

Given that, I don't have the exact quantification, but I know while we speak, we have bid for at least 4 or 5 large projects in Saudi and ADNOC, which in the next 3 to 6 months, we should hear from them. Clearly, as I said earlier, going forward, from a FY26-27 perspective, one of the largest drivers of order book will be oil and gas in the international front.

Parikshit Kandpal: And what about -- if you can quantify domestic and international T&D opportunity in the next 12 months?

Manish Mohnot: So from a bidding -- so if you look at it in the current year, when I look at T&D, out of our INR 26,000 crores expected order book, T&D itself would be around INR 150 odd crores. Going forward, next couple of years, I expect the inflows to increase by at least 15%, 20% on an annualized basis, if not more than that. If I have to give you a number perspective, it could be trillions of dollars differently at different places. But clearly, the focus today for us is India number 1 focus, CIS countries, number 2 focus; Sweden, number 3 focus and neighboring countries.

And LatAm, which is a big area for us, not necessarily Brazil, but LatAm, Chile, Guyana, all of that is our number 4 focus. So and we're seeing opportunities everywhere. I don't have the exact quantification of what kind of orders, but I can say it's trillions of dollars of tenders expected over the next 24 odd months. Clearly, that business growing at 20% to 25% on order book would be a bare minimum for us and with improved margins, which is very, very important for us, Parikshit.

Parikshit Kandpal: And given the robust pipeline and

ordering expected, so how are you looking at capex in T&E

segment and looking -- I mean, go from tower expansion. So how are you looking at?

Manish Mohnot: So on the T&D front, typically, the capex is much lower than when I compare at a B&F level, right? So typically, on the B&F front, our capex is more in the range of capex is more in the range of 5% to 6% of our revenue if you need to do the entire capex. On the T&D front, our capex would primarily and which is continuing would come in plant expansion of capacity. Our plant has already reached closer to 275,000, both plants put together in terms of capacity on transmission itself.

Besides, we do staging shuttering, girders, all of that separately and railway projects. So some capex would go on plant expansion. Some capex would go in terms of TSE equipment and cranes and all of that for the transmission side. But it's not going to be as significant as we're looking at B&F side. So if you ask me a number of INR 100 crores to INR 150 crores or max INR 150 crores should be enough as far as capex on transmission is concerned for the next year.

Parikshit Kandpal: And what kind of bookings, I mean, is your book capacity of 2.7 lakh tons, is it completely booked? So what kind of like -- just to get under current on the ordering, so the orders which we have currently, so is the capacity fully booked for the year or like how one should look at it?

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Manish Mohnot: As we stand today, we are at 90% plus capacity booked for the next year. And if I include the L1 orders, we are nearly fully booked. But the good part is capacity expansion in this business is very -- it's very simple. We have huge galvanizing capacity. So it's only about adding CNC machines, which takes 3-odd months, and you can easily increase your capacity to a higher level. But as of now, it looks like 275,000 to 3 lakh tons should be enough for us from a next 2-year perspective.

Moderator: The next question comes from the line of Sucrit Patil from Eyesight Fintrade.

Sucrit Patil: I have 2 forward-looking questions. As Kalpataru operates across multiple infrastructure segments and geographies, where project selection and execution discipline matter as much as order inflows. From a strategic point of view, what factors now play the biggest role in deciding which projects to aggressively pursue versus where to remain selective, especially as competition and execution risk are involved? That's my first question. I'll ask the second question after.

Manish Mohnot: Sucrit, I think a very valid question. I think we are very clear that we all our 6 businesses are cyclical in nature. And if you look at the last 5, 6 years itself, you saw first 2 years, T&D domestic, there were hardly any orders, the orders in water and railways. Last 2 years, you've seen T&D and TLI and B&F running at a different speed. So starting point is assessment of what the market is and what competitive strength we have and what is the strength in terms of delivery is a starting point.

The second point is which markets to focus. So it's domestic, international, which clients to focus, private, public, out of which, which clients. Third important aspect is availability of labor because there are some projects which are very high -- where labor requirement is very high versus some projects, for example, Urban Infra for the same volume, labor requirement is much lower than B&F.

Then the fourth aspect comes is capex. What are the capex requirements. So it's a mix of 5 or 6

things based on which we decide resource allocation strategy, based on which we decide our bidding strategy, based on which we decide our margin strategy, which we need to bid and based on which we decide what is that our balance sheet can afford.

If you ask me personally, that's been our

biggest trend for the last few decades, not even for the last few years. And that's why you see that even with growth, which has happened over the last 10 years of around 15% per annum, our net debt number nearly stays the same, right? Even after we have done capex every year. Last 3 years, we have done capex of closer to INR 2,000 crores. So it's a mix of 6, 7 factors which go in, and it's a larger team which gets involved. So it's not about 1 person, but it's a team which -- 5, 6 man team, including guidance from the risk management committee and what we need to do. I don't -- it's not an excel spreadsheet based or it's not something which is a yes or no, but a combination of various factors based on which this gets decided.

As far as execution methodology is concerned, which is the point you asked, I think our strategy has been very simple. We first build teams and then we take work. That's been a strategy always.

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Whether I look at Urban Infra, whether I look at Saudi Aramco, whether I look at the solar business, which we are looking at the international front, where we already have one large L1, we -- our strategy first is to build a team, a reasonably good team before we bid for an order and then continue building that business. And that's been very effective for us all across.

Sucrit Patil: This is to Mr. Ram. Again, along the similar lines, from a financial point of view, as the order book mix changes across different segments and regions, what internal metrics help you assess whether the execution quality is improving or not, particularly in terms of cash flow, working capital discipline and returns on deployed capital. I just want to understand how you look at this beyond just the reported margin numbers?

Manish Mohnot: Well, I think maybe it might help for you to have a specific discussion on this Ram separately, but Ram is on the call. But I can just say that, as I said earlier, for us, one of the biggest drivers is balance sheet strengthening. And last 5 years, our ROCE has improved by more than 500 basis points through various aspects, improvement of profitability through reduction in non-core investments, all of that.

So at a project level, we have all 3 components, PBT level tenders, ROCE, ROE and capex. When we tender, all of them are available. And if you need to further deep dive, you could meet Ram separately in office. I can ask my office to schedule that meeting with you.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.

Manish Mohnot: Thank you, everyone, for joining us on this call. We expect results to improve going forward. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of DAM Capital Advisors Limited, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

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Q4 FY'26 Earnings Conference Call "
May 15, 2026

MANAGEMENT : MR. MANISH MOHNOT – MANAGING DIRECTOR AND
CHIEF EXECUTIVE OFFICER

MR. S.K. TRIPATHI – DEPUTY MANAGING DIRECTOR

MR. SANJAY DALMIA – EXECUTIVE DIRECTOR

MR. AMIT UPLENCHWAR – DIRECTOR GROUP
STRATEGY

MR. RAM PATODIA – PRESIDENT , FINANCE AND CHIEF
FINANCIAL OFFICER

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Moderator: Ladies and gentlemen, good day, and welcome to Kalpataru Projects International Limited Q4 FY '26 Earnings Conference Call hosted by DAM Capital Advisors Limited. As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Kishan Mundhra from DAM Capital. Thank you, and over to you, sir.

Kishan Mundhra: Thanks, I qra. Good morning, everyone, and thanks for joining in early in the day, and a warm welcome to the Q4 FY '26 Earnings Call of Kal pataru Projects International Limited. We have the management, which is represented by Mr. Manish Mohnot, who is the Managing Director and CEO; Mr. S.K. Tripathi, who is the Deputy Managing Director; Mr. Sanjay Dalmia, the Executive Director; Mr. Amit Uple nchwar, who is the Director, Group Strategy; and Mr. Ram Patodia, President, Finance and the CFO.

Now at this point I'll hand over the floor to Mr. Mohnot for his initial remarks, post which we'll open the floor up for question and answer. With that, than k you, and over to you, sir.

Manish Mohnot: Thank you, Kishan, for setting up the call for us. Good morning, everyone, and thank you for joining us today. Let me begin with the performance for fourth quarter and full year FY26 and what it represents for Ka lpataru Projects International Limited. We previously established clear targets for FY26, starting with revenue growth of 20% to 25%, improv ement in consol PBT margins of 100 basis points, a net working capital cycle under 100 days and order inflows of INR 26,000 crores to INR 28,000 crores. We also committed to finalizing the Vindhyachal transaction and the Indore real estate project. Today, I'm proud to report that we have fully

delivered on each of these promises.

In FY26, our consol revenue grew by 22% Y-o-Y to reach INR 27,143 crores, while stand-alone revenue reported a growth of 23% Y-o-Y. I'm particularly encouraged by the high quality of this growth, which was well diversified across our business portfolio in both domestic and international markets. Except for the Water business, all business units reported robust growth driven by strong execution.

From a profitability standpoint, our consol PBT before exceptional items rose sharply by 62% Y-o-Y to INR 1,334 crores for FY '26. Consequently, the consol PBT margin expanded by 120 basis points to 4.9%, exceeding our guidance range of 4.5% to 4.75%. Additionally, our stand-alone PBT margin, excluding exceptional items and a one-off dividend income from VEPL, reached 5.9% in FY26, which is also ahead of our annual guidance of 5.5%. This step-up in PBT margin reflects a strategic business mix, strict operating discipline and accelerating operating leverage as we gain size and scale.

I'm delighted to report that our consol PAT surged 82% Y-o-Y, crossing the INR 1,000 crores threshold to hit INR 1,031 crores. This profitability translated into a 71% jump in consol EPS to INR 61 per share, while stand-alone EPS expanded 24% to INR 49 per share. Our balance sheet

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highlights excellent financial health, anchored by a strong cash position, sharp debt reduction and disciplined working capital management. At the consol level, we reduced net debt by over 50% to INR 915 crores, optimized our working capital cycle to 75 days and reduced finance cost to sales by 80 basis points to just 1.8%. Our consol and standalone net debt to equity is at a multiyear historic low of 0.1x.

This operational efficiency fueled a massive 68% jump in o

perating cash flow, reaching INR

1,535 crores and ROCE improving to exceed 21%. Similarly, we delivered robust performance at the standalone level, where net debt fell by 32% Y-o-Y to INR 749 crores with working capital improving to 90 days and finance cost to sales coming down 40 bps to 1.6%. We managed to achieve this optimal leverage levels and cash position despite collection delays within the Water business.

What makes this balance sheet performance truly remarkable is that we delivered it while continuing to invest nearly INR 900 crores in capex and pursued a strong top line growth of 22% in FY26. This underscores our core commitment to disciplined growth and strict capital management.

Moving on to the ordering momentum. Robust tender activity in the T&D, B&F and Urban Infra verticals drove our order wins past the INR 26,000 crores mark in FY26. What stands out is that nearly half of the bookings came from large ticket orders exceeding INR 1,000 crores plus. This clearly highlights our strategic shift towards high-value, large-scale projects in our top-performing business lines. This strong momentum pushed our total order book to an all-time high of INR 65,457 crores at the end of FY '26, offering excellent diversity across businesses, clients and markets.

Furthermore, our growth pipeline remains robust across T&D, B&F, Oil & Gas and Urban Infra business. Since the closing of the fiscal year, we picked up new orders worth INR 1,833 crores. And additionally, we have placed L1 in project worth INR 3,200 crores.

Moving on to business level performance. Our T&D business continues to capitalize on the multi-decade super global capex cycle. Our order inflows reached closer to INR 13,000 crores in FY '26 with India accounting for nearly 35% of inflows and the remaining 65% spanned across Nordics, South America, Africa and the Middle East.

We have successfully wrapped up all ongoing projects in Brazil and took a full provision for our exposure in Brazilian subsidiaries in Q4. We closed this year with a strong T&D order book of INR 28,572 crores. For the full year, the T&D business reported revenue growth of 25% Y-o-Y. We expect the T&D business to remain on robust growth trajectory in FY '27 and beyond, backed by healthy tender pipeline in India, Middle East, South America and Nordics.

Moving on to our Buildings and Factories business. The business delivered a strong 19% top line growth in FY '26. Our order inflows in B&F business surged by roughly 40% to reach INR 11,460 crores, closing the year with an order book of INR 18,295 crores. Our key highlights include major wins in the residential space, particularly through high-value orders across South

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and NCR regions. What is highly encouraging is that nearly half of our B&F project portfolio

has shifted towards design -build projects.

Looking ahead to FY '26, we expect this business to deliver continued robust growth as we optimize our portfolio mix. The ordering pipeline remains vibrant, anchored by residential real estate and fortified by emerging opportunities in data centers, airports and industrial plants. Turning to our Oil & Gas vertical. The business continues to perform exceptionally well, looking in on a phenomenal 55% Y -o-Y revenue growth for FY '26. On the ground, execution across our Saudi projects remained steady and resilient despite ongoing Middle East headwinds. The pipeline looks very promising. We expect tendering activity to accelerate sharply in FY '27, led by large -scale, high -value Oil & Gas infrastructure bids, primarily in the Middle East market. This business is rapidly scaling and is positioned to be a major engine of our growth moving forward.

In our Water business, we achieved a revenue of INR 2,112 crores as we maintained our focus on

the execution and completion of Jal Jeevan Mission projects. Our Q4 delivered strong results in terms of collection, and we expect this positive receivables trend to continue going forward.

In line with our strategic road map to expand our global footprint, we are favorably placed in our initial foray into the high potential overseas market in the Water business.

Our Urban Infra business recorded revenue growth of 49% Y -o-Y in FY26 led by execution of metro rail projects. During the year, we secured orders worth INR2,000 crores, further improving our presence in elevated and underground metro rail projects. We continue to strengthen our organizational capabilities in line with good visibility infrastructure sectors like elevated and underground metro rail, tunneling works, elevated roads, et cetera.

We maintain a cautious and selective bidding strategy in our Railway business. Our Railway business reported a growth of 9% Y -o-Y. Beyond the numbers, I want to step back and talk briefly about what has structurally changed at KPIL over the past 3 years and how it is strengthening the quality, resilience and sustainability of our business.

First, we have sharpened our competitive position across EPC contracts. Today's market demand partners will deliver speed and cost efficiency without compromising quality. We are rapidly becoming the partner of choice, uniquely capable of executing complex projects at scale. This is driven by a rigorous project management framework that ensures productability and predictability.

The proof is in our order book. A significant share of our recent wins come from repeat business with major customers. Second, strategic capex has become our core execution enabler. We invested nearly INR 3,000 crores over the past 5 years to upgrade our asset base. This infrastructure compresses cycle times, elevates quality and allows us to secure massive multi -geography contracts with high confidence. This capex -led strategy establishes KPIL as a long -term strategic partner and accelerates our upcoming project pipeline.

Third, we are aggressively scaling our internal capabilities. Over the last few years we've expanded our specialized design engineering and project execution teams. This intellectual

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capital is a strategic wedge. It creates a distinct competitive advantage, embedding us in high barrier, large -scale projects where few can compete. This capability drives both scale and global expansion. By executing complex multi -geography EPC mandates, we validate our credentials with the world's most demanding customers.

Our recent breakthroughs in international oil & gas, airports, underground metros and utility scale solar, combined with major design B&F wins provide clear evidence of an organization built for the future. Collectively, these strategic enablers enhance our geographic reach and customer diversification, improving revenue visibility and support a more resilient growth trajectory.

To conclude, our constructive demand environment and excellent visibility reinforce our confidence for FY '27. We expect full year order wins to exceed INR30,000 crores in FY '27. Further, we are guiding for around 15% plus top line growth, coupled with robust profitability. This bottom line performance will be driven by a 75 basis point expansion in the consolidated PBT margins. Above all, our core focus remains unchanged. We will back this growth with unwavering operational rigor and capital discipline.

Our biggest challenges continue to be managing the issues coming from the geopolitical scenarios, ensuring minimal disruption in labor availability and managing cost structure in the current environment.

With that, we can open the call for Q&A. Thank you.

Moderator: Thank you very much. The first question is from the line of Ashish Shah from HDFC Mutual Fund.

Please go ahead.

Ashish Shah: Sir, congrats on a wonderful performance. My first question is on how does the bid pipeline look today? You did just say that you're looking at INR30,000 crores of inflow. But if you could just give us more color in terms of what is the bid pipeline, which segments are expected to drive this inflow? And particularly, you mentioned about large prospects in Oil & Gas. A little more color on that will help.

Manish Mohnot: Sure. So Ashish, as I mentioned earlier, we continue to stay bullish on 3 to 4 businesses in the current year. T&D continues to be as healthy as it was in the previous year with more than INR1 lakh crores of bidding happening in the domestic sector in domestic T&D and a similar amount, if not higher, in the international business, although in the next 6 to 9 months.

On the B&F side, we continue to stay bullish on residential and commercial in some geographies, a lot of airport projects coming up, industrial projects where we are now qualified for large -scale projects, as well as data centers. We are currently working on a few of them already.

On the Oil & Gas front, we are seeing a lot of traction coming from Middle East, whether it is Saudi, whether it is Abu Dhabi, whether it is Qatar. Yes, it might take some time for this traction to get converted to bids and to orders. But at least the traction is already visible while we speak. So that's also an area which we believe going into Q3, Q4 could be very, very healthy in terms of order book.

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Even on the urban infrastructure side now we are seeing a lot of tenders coming, whether it's for underground metro or elevated metro, both on domestic and international. So on all the 4 businesses, I think we continue to stay positive. Oil & Gas might move at a much faster speed in Q3, Q4, whereas T&D, B&F as well as Urban Infra would start right from now. We will stay cautious on the Water business in the domestic front. But on the international front, that business also shows some good visibility, and we have already placed L1 in a small order while we speak. As mentioned earlier, on the Railway business, we continue to be very watchful and I'm not very bullish in terms of prospects of growth there. But at least 4 businesses out of 6, we're very, very positive, and that will help us target INR30,000 -plus crores of order inflow in the next year -- in the current year.

Ashish Shah: Sure, sure. Sir, I know it's a little too early, but if you can just split this INR30,000 crores into what would you look forward to in terms of, let's say, T&D, B&F and Oil & Gas and maybe Urban Infra. Any broad thoughts we have on how this inflow look?

Manish Mohnot: So my own view, and as you rightly said, it's too early, at least 1/3, 1/3 of this would be T&D and B&F, minimum, right. And the balance 1/3 would be taken by projects which comes from either Oil & Gas or Urban Infra or even Water international. But still, at least in the next from a 6-month perspective, it's T&D and B&F, which are going to drive significant growth in order book.

Today, when you look at it, including L1, we have visibility around INR5,000 crores. We declared INR1,800 crores yesterday, plus L1 in around INR3,200 crores. This entire INR5,000 crores is only in T&D and B&F. So the first 6 months, significant inflow coming from T&D and B&F. The last 6 months, you'll see significant inflows coming from Oil & Gas and Urban Infra.

Ashish Shah: Right. Sir second question is on whether there are any margin pressures at this point of time. Obviously there's been a huge surge in the commodity prices. So how does the situation look for us? And what kind of mitigation measures we have, including any pass-throughs, et cetera, in our contracts?

Manish Mohnot: Sure.

Ashish, our order book today is 50% fixed and 50% variable. So nearly 50%, it could be 49% or 51%, in that range. From a margin perspective, if you look at specific commodities, on aluminum, zinc, copper, we are 90% plus hedged on our exposures. So we do not see significant impact coming on that, at least on the current order book on at least things like aluminum, zinc and copper.

Steel, we have seen some expansion in prices come through in February, March, but they have again stabilized in April, May. We've not seen much happening in April, May. So to that extent, steel, whatever increase has come in, we have budgeted that. We've also budgeted slightly more coming into Q2 and Q3, and that's already inbuilt when we have given our 75 basis point guidance in margins.

One of our biggest challenges could be the diesel cost for which also we have budgeted a huge amount, a significant amount in our current P&L. But that's something we will wait and watch because that's something which number could be x would be 2x. And we would come back to

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the streets, hopefully, Q1, Q2 . Would it have a very big dent on the margins? Maybe not because diesel as a percentage of the overall revenue would be minimal, but that's the cost we need to be watching for. But otherwise, on commodities, we are nearly hedged.

Even on forex , we are hedged at more than 80% of our exposure. So even forex , we are at 85% actually of our exposure. So I do not see volatility hitting us in a big way, except maybe diesel and petrol prices and except some supply chain disruptions if they happen in the Middle East area.

Ashish Shah: Sure, sir. Last quick one from me, sir. The T&D business revenue was just about 1% of Y-o-Y. For the year, it was 25%, but for the quarter, it just seems 1%. So what could be the reason for this?

Manish Mohnot: I think the primary reason was the disruptions in March, which happened in Middle East, which picked up again in April in some form. So a lot of material which was ready as we were not able to supply because of the supply chain disruptions and those 15 to 20 days of problems. So primary reason for T&D to be low is driven by two aspects. One, our Fasttel business reduced closer to 0, which was at a reasonable number in previous year Q4. And second, our T&D international in March impact because of the geopolitical scenario.

Ashish Shah: And as we speak, some of the disruption continues, right? That's what you're saying?

Manish Mohnot: As we speak, while work continues at the site on all projects, work has not stopped in majority of our projects, but supply chain disruption still continue.

Moderator: Next question is from the line of Amit Anwani from PL Capital.

Amit Anwani: So first question, as I can see the order inflow guidance which you have given and wanted to understand especially for the T&D and since we are expecting very robust performance. I think the order inflow, which I can see for full year was roughly about INR 13,000 crores and last year, it was about INR 14,400 crores. So definitely there is a decline. And even if I take 45% to 50% of the INR 30,000 crores, INR 31,000 crores which you are expecting, it still will be about INR 14,000 crores. So there is no meaningful growth from the financial years and probably the expectation this quarter. Is that the correct understanding?

And what exactly you are factoring in, in terms of international T&D, domestic T&D, some trends, if you would like to highlight with the current geopolitics because that is still not solved and we are also expecting probably the domestic government finances, they might have to also rethink the budgets across various sectors. So your thoughts on that in terms of pipeline for you and overall scenario?

Manish Mohnot: Sure. So Amit, yes, you're right in terms of

absolute inflow. FY25 T&D was higher than FY 26.

We were L1 in a couple of large projects which got shifted to FY27 and which you'll see coming in, in the month of April, May itself. Now on a totality basis, do I expect this number to be beyond INR 15,000 crores . In all likelihood, we should be at levels of INR 15,000 crores max as far as T&D order inflow is concerned in the next year.

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As I mentioned earlier, Amit, for us, it's more important to work with selective clients, high - margin projects and large -scale projects. It's not only about top line growth because for us, capital allocation, resource allocation and making sure that what we commit to deliver is equally important.

So we believe that even at a growth of INR 15,000 crores, even if we get back in T&D, which is on the upper side, my view could be more in the range of INR 13,000 crores to INR 14,000 crores would be a very good number because we already have order visibility today, which is more than 2.5 years in the T&D business.

So if you look at the business in terms of revenue versus order visibility, we have a 2.5 -year order book visibility even today. So we will continue to focus on not as much on volume, but as much on strategic projects, large projects, design -build projects and solar EPC projects where margins could be slightly better than what we are getting across normal projects, and that's our philosophy.

So in terms of market, the market continues to be bullish. In terms of our capacity at the plant, I think we have capacity more than 2 lakh tons at our Raipur and Gandhinagar, 2, 40,000 tons. So that's not a challenge. But yes, INR 15,000 crores is a good number because remember, all projects now come with a delivery , which is more 2.5 to 3 years.

And it's not only about getting orders, it's also about delivering that on time with that labor scarcity, which continues to be a big challenge. So you're right. Our order inflow on T&D might not grow at 20%, which is what our business is growing, or at 15%, which is where the business is growing. But profitability improvement and return ratios improvement would be much higher than what we have seen, and that's visible even in the last 2 years.

Amit Anwani: Right. Some color on the segmental margins, international T&D, domestic T&D and all, how they have done for this financial year? And what are the expectations forward? And also for your PBT improvement, if I got it correct, 70 bps, which we are expecting this year. Is it going to come from the segmental margin improvement or the overall balance sheet structure and the interest savings which might have -- that is driving the PBT. So some color on these 2 aspects.

Manish Mohnot: Sure. So I do not have exactly segment-wise margins, but I can tell you our T&D and B&F and Oil & Gas, all 3 businesses at EBITDA level are double digit plus. They are at good levels of double digits, 10 % to 11% plus. Our Urban Infra, Water and Railways business are at single digit when it comes to EBITDA.

And I think this trend would continue getting into next year also. All 3 businesses, which is T&D, B&F and Oil & Gas will continue to be at double digit. I don't see them coming down as far as EBITDA margins are concerned.

As far as margin enhancement is concerned, I think it's going to be a mix of margins coming from the business segment as well as some balance sheet improvement because, as you rightly said, our debt levels are low. So it's going to be a combination of both. We will not deep dive into exact details of seeing that how much of the 75 basis points would come from where, but

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it's going to be a combination of both, driven primarily by improvement in margin on the business units.

Mode

rator: Next question is from the line of Sumit Kishore from Axis Capital.

Sumit Kishore: My compliments on your strong PBT margin performance and the extremely strong operating cash flow performance. The question is that the capex in the cash flow seems to have gone up meaningfully year-on-year and that is reducing the extent of flow through to the free cash flow. So basically, there is INR 9 billion plus of capex versus INR 6.6 billion last year. So what is this capex going into, why the sharp increase? And what's the outlook for the next year? That's my first question.

Manish Mohnot: Sure. Sumit, last 3 to 4 years, post -COVID at KPIL, we took a call that there is good visibility on growth. And we, as a company, believe that to take care of that growth, we need to put in investments, whether it is on aluminum shuttering, whether it is on equipment at the site, TSEs, cranes, whether it is on plant modernization and whether it's on international front, which includes Saudi and some of the other geographies. We continue to be on track on that, and all of that is coming out of our free cash flows.

Second, what is it going forward . I believe that, again, next year, we might be incurring capex more in the range of INR 800 crores plus. That is what we have budgeted and which is into a right mix of B&F business, T&D as well as international as well as some modernization at the plant. We might be further expanding our plant capacity and for which we'll come back to you by the end of Q2. So we believe that in the current year also we should be doing capex of INR 800-plus crores.

We as an organization are a firm believer that in the EPC business, having your own capex is a big advantage, at least on large-scale projects because these are projects where you start everything at the same time. So for example, one of those large projects which we are doing for a big client in Southern India, 15 towers together, we were able to start across, right. And that's something which we built the ability over the last 2 years. So we will continue to put in capex , at least for the next few years, but all out of our internal cash flows.

We also have some events of free cash flows coming in next year, whether it is through a few more divestments which are left, which might happen either next year or a year after that or whether it is through some strategic investment coming into our Swedish subsidiary in whatever form it comes. So we expect some more cash flows to come out of our noncore businesses also, which will also help us further strengthen the balance sheet in every form.

Sumit Kishore: My second question is you have been talking about that you're reasonably well hedged on the raw material commodity side. The question is that, look, copper prices started rising meaningfully Q3 onwards. The most liquid contract on the LME is maybe the 9-month contract. So will the rollover of these hedges, if the issue on commodity prices continues for 3 quarters, let's say, will that create some pain in terms of the commodity hit on margins?

Manish Mohnot: So, Sumit, just to be very clear , our copper exposure is extremely small. It is so minimal because copper isn't required.

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Sumit Kishore: Aluminum, Aluminum business

Manish Mohnot: So aluminum, Sumit, we have hedge which go up to even 2 years. We have significant hedge, which is 2 years and above. There's enough liquidity for that in the international market. And today, if you ask me, we are hedged on the 90% out of which half of them is hedged for beyond 18 months. So from a 2 to 3 year perspective, you ask me, on aluminum, we are adequately hedged.

We don't need to even worry on the rollover risk first. Second, even during rollover, if you have hedged it at the right price, it's only about the differential in terms of premium, which

is very,

very small more often than not. So that's not such a big issue. So would that rollover create impact on margins? My view is closer to zero.

Sumit Kishore: So those contracts for 2 years are liquid on the other side, who is taking position, people are willing to pay for.

Manish Mohnot: On the international market, yes, they are available.

Sumit Kishore: Excellent. Just the last follow-up question. Good to hear the 70 basis point guidance on increase in PBT margin, that's at the consolidated level? Or should we read that at the standalone level?

Manish Mohnot: So I think on the consol level, we are targeting improvement of closer to 75 to 100 basis points. On a standalone level, it will be more in the range of 75 basis points. Consol level would be slightly better than 75 basis points.

Sumit Kishore: Excellent. And finally, the 40% Q-o-Q increase in the Water segment in terms of revenue growth was good to see. Now what is the situation in terms of the total sort of cash flows money that is sort of still showing up in the working capital as a receivable? And just your brief comments on how the situation on domestic drinking water as a percentage of your order book and growth looks like in FY27?

Manish Mohnot: So on the Water business, if you look at the previous year, we collected more than INR1,800 crores, but we invested around INR2,500 crores in that business because we continue to focus on delivery. So even in the previous year we had a negative cash flow of closer to INR 700 crores in that business. In April, we have collected more than INR100 crores. And in May also things look like going fine. And even collections from all states have started, including UP and Jharkhand. Jharkhand has remained slightly slow.

While we speak today, our total outstanding receivables on that business is closer to INR1,600-odd crores. And we're pretty confident that majority of this should get recovered in the first 2 quarters itself. That's the feeling we're getting from the ground level. We continue to focus on execution of our Water projects, and we believe that majority of our Water projects, except maybe 5 or 6 would all get completed physically in the current year and get into the O&M phase. So we continue to be hopeful in getting this money, and we're working hard to make sure this happens. Previous year was much better than the year before that. So if you look at the year before that, our collections was maybe less than INR 500 crores, previous year, INR1,800 crores.

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Current year, we're expecting INR 2,500 crores plus. And I'm reasonably sure we should be able to get that collections.

Moderator: Next question is from the line of Parikshit Kandpal from HDFC Securities.

Parikshit Kandpal: Congratulations on a great quarter. Sir, my first question is, we have done substantial improvement in our balance sheet with both NWC days and net debt coming down significantly. So are these numbers sustainable? And especially on the debt side, when do you expect that you'll be net cash?

Manish Mohnot: So Parikshit, as far as the current debt levels are concerned, based on where we are, clearly they look sustainable. But with that growth plan for the next year and with the capex plan, debt would go up in proportion to the growth plan, excluding that one-off inflows which we might get in the next year also. But for business as usual, I expect that to grow up in relation to the business growth, not significantly higher than that, one.

As far as free cash flows are concerned, at operational level, we are doing very well. Just given that our capex given the kind of opportunities, we are focused on investing in the business, and that's why out of our operational cash flows, a lot of cash flow is going into capex. But while we continue doing that, we are very clear that ROCE from here

will continue to go up. So as far as

ROCE is concerned, you should see that moving up every year, whatever, 100-plus basis points even in the current year. So ROCE should go up.

Debt would go up in proportion to the growth, not significant, but yes, small amounts. Capex will continue to be at INR800-plus crores, as I said earlier. But our net working capital days, we definitely believe that we have reached that level where if we maintain this, it would be very

good for the business.

Parikshit Kandpal: Second question is, what are the steps or what are the -- so how are you positioning ourselves to the entire renewables capex, both in domestic and international market? And even on the data center side, so beyond the T&D, so what are you planning to do to capture the bigger opportunity from the ordering side?

Manish Mohnot: So Parikshit, on the renewable side, our focus is a lot more in the international markets, primarily the Middle East markets where there are large solar projects which we are looking at. We are already favorably placed in one large project, which I'm hoping to conclude in May, June itself.

On the domestic front, we're not doing anything significant on renewable, and that's not also on our radar as of now. As far as T&D projects are concerned, as I said earlier, we continue to stay bullish with growth from majority of our large clients, both in domestic and international. And that's one of our enablers for improving margins and return ratios going forward.

Parikshit Kandpal: Okay. So what, so this one large project you're saying is it the one which you included in the L1 of INR 3,000 crores or it is beyond that?

Manish Mohnot: No, no, it's included in the L1 of INR 3,000 crores. It's included L1.

Parikshit Kandpal: Okay. How big is that, sir?

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Manish Mohnot: That's closer to INR 2,000 -odd crores in the range of INR 2,000 crores.

Parikshit Kandpal: And what is the scope of work here?

Manish Mohnot: It's a solar project in the international market. I might not be able to share more with you because it's still at the stage where we have not signed the contract. But hopefully, the moment we sign we'll be able to share a lot more.

Parikshit Kandpal: Okay. The other question is, I mean, whilst we have done strong work on the balance sheet and NWC, but one thing which keeps somehow stock or maybe the concerns around the pledge. So now the promoters, other entities already listed and the expectation was that over a period of time, the pledge on the KPI L share will come down to 0 because 2 are different entities, these 2 are different entities. So what are the steps? And so how are you thinking what the management and the promoters are thinking that KPI L will at some point of time, become a pledge free?

Manish Mohnot: So Parikshit, I'm not sure we have ever said that the intent is to become pledge-free. I've never said that. But we have always said that pledge will continue to come down. That's what is the comfort given by promoters. And we've seen that over the last 6 quarters, every quarter pledge has come down. I think the promoters from whatever discussion I've had with them, continue to be on the track of bringing down pledge. We have never said that it would be zero and I have never heard that from the promoters ever. But you see that traction going down. That's one side. Second, I think it's also important to understand that on the pledge, the borrowing is very minimal. If you look at the borrowing on the pledge, it's like 1:4, the value versus or maybe 1/3 less than 1/3 or 25% is what they borrow. So isn't a risk. We will raise, discuss this again with promoters. And our view is that it should only keep on coming down over a period of time. And quarter-on-quarter, there should be healthy movement on that.

Parikshit Kandpal: Okay. And j

ust the last question on the domestic T&D side, sir, how are you seeing both from the state side and even on the HVDC pipeline, if you can help us understand the PSU capex likely in this year and what is the HVDC pipeline looking for this year and next year? And any state transmission projects where you see potentially can add to the order inflow for you?

Manish Mohnot: So Parikshit, today, our significant focus continues to be more on power grid and a few large private sector clients, and that would continue to be a focus at least for the current year. We do not see a lot of traction coming from state electricity boards as of now, but that could change. Every 3 to 4 years, you see a few years where there's a lot of traction which comes from there. So for the current year, focus primarily continues to be projects coming from power grid and a few private sector players.

As far as the HVDC traction is concerned, we see a couple of large projects coming out in Q2 itself, maybe later part of Q1 and Q2. And that's something which I'm sure will focus both on transmission and substation side. And let's see who wins and then accordingly we will have an EPC order coming from either private sector or from the PSU side. But our focus continues to be more on PSUs in private and not as much on SEBs in the current year.

Parikshit Kandpal: And in terms of project cost, how much -- what will be the size of the HVDs to HVDC?

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Manish Mohnot: So I think, I do not have the exact numbers, but I have seen INR 30,000 crores to INR 35,000

crores minimum, including the transformers and the reactors, maybe in the range of INR30,000 crores, to INR35,000 crores but I do not have the exact updated numbers. I remember the numbers from a few quarters ago.

Parikshit Kandpal: So each of them will be INR30,000 crores to INR35,000 crores?

Manish Mohnot: No, total HVDC both put together will be in the range of INR30,000 crores, INR35,000 crores.

Moderator: We will take the next question from the line of Vaibhav Shah from JM Financial.

Vaibhav Shah: Sir, earlier we were looking for a growth of close to 20 -odd % in terms of revenue for FY27. So this moderation in the number would largely be due to the Middle East challenges we are seeing, especially in the first half of the year?

Manish Mohnot: I think our growth projections are more in the range of 15% for the current year, and we could revisit this number at the end of Q2 because as we stand, Q1, we have disruptions on the global environment. We have disruptions on labor availability, thanks to the elections. So while we stand where we stand Q1, Q2 are going to be difficult quarters, but our guidance is more in the range of 15% and 20% to start with.

And this comes across various businesses. Our B&F business, we expect that to grow at 20% plus. Our T&D business also, we expect that to grow at 20% plus. And our Oil & Gas business also. The businesses which would not grow would continue to be mainly Water and Railways. But clear visibility on our core businesses to be growing at 20 % plus while we speak, more at an annualized basis, but not on a quarterly basis because as I said, quarterly, Q1, Q2 could be challenging times for reasons completely beyond our control.

And as I said earlier, our biggest challenges are only this, geopolitical managing labor in this first 3 to 6 months given the geopolitical and supply chain disruptions. Pretty confident we'll be able to manage that on an annualized basis, but Q1, Q2 would be challenging times from a growth perspective, not necessarily from a margin perspective.

Vaibhav Shah: Okay. Sir, secondly, on the Oil & Gas business. So we had submitted a few bids. We have started submitting bids in the Middle East region. So any progress over there?

Manish Mohnot: So yes, we've submitted a few bids

in Q4. We continue to submit bids now also. Technically, we have qualified in majority, if not all the businesses. A few price bids have opened where discussions have continued. But are we L1 in any of them, if you are asking me that question, not as of now.

But I would also like to highlight a lot of these clients do not necessarily award project based on L1 basis. So it's more an ability to deliver in a defined time frame and your commitment and your historical performance. So you could be L3 and still win a project. But as of today, is there anything included in L1 in Oil & Gas. The answer is no.

Vaibhav Shah: Okay. And sir, lastly, what would be our water order backlog as of March, the J JM portion?

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Manish Mohnot: So if you look at our order backlog, it's closer to INR 7,900 crores, out of which around INR 2,100 crores is O&M. So if you remove that, the Water backlog is around INR 5,800 crores, out of which significant portion would be J JM, more than 75% of this would be J JM, which we expect majority of them to get completed in the current year itself, except for a couple of projects of Punjab everything should get completed in the current year itself.

Vaibhav Shah: Okay. And you expect that INR 1,600 crores receivables we have right now to be cleared by September?

Manish Mohnot: Yes. We continue to stay optimistic on this. So we would like it to be cleared in June itself. But the indication from the ground level, and you've seen this traction in February, March and April also, the indication from the ground level is next 4 to 5 months, entire things should get cleared.

Moderator: Next question is from the line of Mohit from ICICI Securities.

Mohit: Congratulations on a very good set of numbers. My first question, sir, can you help us with the lower EBITDA at consolidated level versus stand-alone in the quarter? Is it a little bit higher probability?

Manish Mohnot: So Mohit, I think the impact as far as quarter is concerned is because of that exceptional loss which we have taken at the Brazilian level, one. Second, you had road assets which were contributing to EBITDA last year, which do not exist now. So it's a combination of both road assets we have divested and surrendered and so we hardly -- we only have one small road asset now BBEPL. And second is the Fasttel losses which have come through in Q4, which we have taken. So it's a combination of both of that which has impacted EBITDA in Q4.

Mohit: Can you please quantify the provision number, sir, if possible?

Manish Mohnot: So at a Fasttel level, we have done a provision of closer to INR 515 crores on a standalone number. So INR515 crores, our entire investment in any form in Fasttel has been provided for.

Today, the investment stands are closer to 0 in our books. And the entire thing has happened in Q4 on a stand-alone level. On a consol level, there's an impact of closer to INR70 crores, which

have come in Q4 on account of Fasttel . We have taken already around INR330 crores till Q3. So that's the impact on EBITDA on a stand -alone and consol basis when you look at the Brazil numbers.

On road assets, I don't have the exact numbers, but clearly, that EBITDA was there. So if you look at the EBITDA from an EBITDA perspective, my team tells me there's impact of closer to INR100 crores at EBITDA level. But I'll have to just reverify the numbers.

Mohit: Understood. My second question, Oil & Gas, the pipeline. Are tendering activity in the Middle East getting postponed as you speak? Or are you seeing the dates are being adhered to given the volatility in the region?

Manish Mohnot: So Mohit, we have seen discussions have already started. Tender documents have started coming out. Clients have started conversations with us in terms of what is our capacity, how much work Kalpataru Projects Internati

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can we take, what is our capability, all of that. Those things have started. We've also seen some tender documents come out. Some had come out in March, which got deferred.

Are these tenders due immediately, maybe a few in June, maybe a few after that. But discussion s across every geography, whether it is Saudi, whether it is ADNOC, Abu Dhabi, whether it is Kuwait, whether it is Qatar have started. And when I say discussions are serious, interactions on our ability and competency to deliver on large -scale projects and our ability to put in capex . So my own belief is, as I said earlier, Q1, Q2 would be where all the discussions and tendering should happen. And Q3 onwards, we should start seeing some wins coming in.

Mohit: Understood. My last question, sir, on the outloo k of domestic T&D. Of course, you spoke about the near -term opportunity. But how do you think about the medium -term outlook for next 2 to 3 years? Do you think that opportunity is picking in the domestic market and our order inflow would be maybe have peak ed out?

Manish Mohnot: So Mohit, in terms of opportunity, I think the opportunity continues to look extremely good. Driven by everything, driven by the grid connectivity to solar, driven by the Northeastern expansion, driven by HVDC, driven by thermal comi ng in for which further requirement of transmission network is required and given by the capex plans of power grid, right? Given with all of that, I think opportunity looks very good.

As I said earlier, for us, the opportunity is driven by making sure we focus on large -scale projects where our competency and our design ability comes in. I think opportunity from a next 2, 3 year perspective looks very, very attractive on this. As I said earlier, overall T&D, we'll be happy to have an orders in the range of INR 14,000 crores to INR15,000 crores. We could even do more than that, including solar orders.

But our focus is more on improving return ratio and not necessarily because we have good visibility on B&F, we have good visibility on Oil & Gas. And at the end of the day, as I said earlier, it's all delivery in 3 years. You need to be cautious on not building an order book which you can't deliver in that time frame.

Moderator: Next question is from the line of Ashwani Sharma from Emkay Global Financial Servi ces Limited.

Ashwani Sharma: Congratulations for a great set of performance. So my first question is on the bookkeeping side. What was the revenue loss because of this war in the Middle East?

Manish Mohnot: So, Ashwani, if you look at the revenue loss, it was divided into 3 aspects, the site construction, the bought out and the tower manufacturing. I think if I include all of them together, it will be more in the range of INR200 crores to INR250 crores because there was more disruptions coming out of supply chain rather than site. And that would be a number more in the range of INR200 crores to INR250 crores.

Ashwani Sharma: Okay. Secondly, sir, since this fund release has started on the J JM side, while you did indicate on the collection side. But then how i s the tender pipeline over there? Has the J JM-2 has kind of started seeing -- we started seeing anything on the tender pipeline side?

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Manish Mohnot: While we speak, Ashwani, we've seen a few tenders come up in one particular state. But if you ask me, are y ou seeing a lot of tenders come out as presented by honorable FM in the budget, not yet. We're still waiting for that. But as of now, a few tenders, which clearly we're not focused as of now, but not so much traction seen in the last 2 months as far as J JM tenders are concerned.

Ashwani Sharma: Okay. And my final question is, sir, given the fact that now we are very -- at a very strong footing in terms of now balance sheet and the

n growth visibility. I wanted to have some sense that over the next 2 to 3 years, what would be our key priorities from here on?

Manish Mohnot: So Ashwani, clearly, if you look at it strategically, where we have positioned ourselves, we are -- our priority is more focused on large -scale complex projects across all business units where we are driven by our design capability. We have now more than 500 people at our design center of excellence across various business units. We have the best tools, which are used for productivity monitoring, planning, all of that. We're investing in automation. We are increasing our capacity at the plant. So our first focus is large -scale projects with clients who we have worked for more than -- in the last few decades.

Today, more than 50% of our order book, if not 60% comes from our top 10 clients. And some of them have been with us for the last 20 years, if not, one of them has been with us for 25 years. So the first priority is large -scale strategic complex projects with minimal competition, which will help us get into higher margin and return ratios.

Our second focus is also making sure that some of our businesses look at the international footprints also. So today, if you look at the international footprint, it's primarily transmission and Oil & Gas. But the other businesses have also done well, built themselves over the last 8 to 10 years. So we would be taking some of our other businesses also on the international footprint. Our third priority would be, again, reduce some of our other noncore assets, maybe this year, maybe next year, so that at least we are out of majority of our noncore in the next couple of years. And our fourth and the largest, and the biggest priority, if you ask me, is to make sure that we can keep our team intact, right, because that's our biggest challenge today in terms of attrition and all of that. So make sure that we keep this culture of keeping the team together focused on profitable growth, and that's what our senior leadership, we are driving towards.

Ashwani Sharma: Just one more, if I can squeeze in. Sir, in the Middle East, you just alluded to the fact on the labor issues or how are you kind of managing this labor availability, especially in the international geographies given the scenario that we have?

Manish Mohnot: So Ashwani, I think labor issues today are more dominant on the Indian front. What we have seen people leaving March end after Holi and West Bengal elections and continuing till Bakri Eid. It's a large impact coming on the Indian front, not necessarily on the international front. As I said earlier, international sites all continue to work at different speed levels, some at maybe the similar productivity, some at lower productivity. And there isn't such a big challenge on labor at the international front. It's a much larger challenge in April and May on the domestic front than the international front.

Moderator: Next question is from the line of Vaibhav Shah from JM Financial.

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Vaibhav Shah: Sir, firstly, on the LMG side, revenue growth was very strong at 64% to INR 3,000 -odd crores. So how have we performed at the EBITDA level and PAT level?

Manish Mohnot: So as we had guided earlier, given the order book visibility, we said that revenue would do well and they've done well. If you look at it on a FY26 level, at EBITDA level also, they have grown at more than 100%. So on a revenue of INR 3,000 -odd crores, the EBITDA was closer to INR 200 crores.

At a PBT level, they were at closer to INR 170 odd crores, which is again a growth of 100% plus. So at EBITDA level, they've been at more at 6.7% to 6.8% and at a PBT level, they're more at 5.6 % to 5.7% which is much higher than what they did in the previous year. Previous year, if you look at it, there's an improvement of more than 100

basis points both on EBITDA and PBT

as far as LMG is concerned.

Vaibhav Shah: Okay. Sure. Sir, lastly, what is the amount of warranty guarantee sitting on the book as of March?

Manish Mohnot: So Vaibhav, over the previous year, we have provided for an addition of closer to INR 100 crores in warranty guarantee on our balance sheet. And at the end of March, our numbers should be approximately INR 550-odd crores of warranty guarantee in our books.

Besides warranty guarantee provision of INR100 crores, we have also done an ECL provision of closer to INR100 crores in the previous year. And that number on books should be closer to INR 250-odd crores, if I'm not wrong. At ECL, we are at around INR320 crores. So warranty guarantee and ECL put together is a number closer to INR 870 crores to INR 880 crores.

Vaibhav Shah: And have we received the money on -- entire money from Indo re real estate now?

Manish Mohnot: Yes. I think we have already declared that on our -- in our investor presentation. I think we have received nearly the full amount. I think the full amount is what the team tells me, the full amount.

Vaibhav Shah: Okay. And sir, in FY27, any plans on Shree Shubham Logistics to either monetize it or...

Manish Mohnot: So Vaibhav, as far as Shubham Logistics is concerned, our focus is now to reduce debt, and we have reduced that significantly. We believe that our outside debt would be closer to 0 by June.

We are selling off some of our assets, some of our warehouses and moving to a rental model. So our first focus is to make external debt closer to 0, which I expect would happen in Q1, Q2 itself.

Post that, we will rationalize the business more with rental warehouses and look at maybe strategic opportunities getting into the next year.

Vaibhav Shah: What would be your debt right now, the external debt?

Manish Mohnot: It's closer to INR 60-odd crores as on 31st March. I think this would get closer to zero by June itself.

Vaibhav Shah: Okay. Sir, lastly, on tax rate, what would be the tax rate for FY27 at a standalone level?

Manish Mohnot: I think it's difficult to give you an expectation on that. Clearly, our tax rate, if I look at it from a 3-year perspective, has been more in the range of 28% to 30%. And given that international

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profitability still will drive a significant number of our profit, I expect it to stay in the range of 28% to 30% only.

Vaibhav Shah: At standalone level, it has been around 26%, 27% for last 3, 4 years, so...

Manish Mohnot: Standalone, 26% to 28%, consol 28% to 30%.

Moderator: Next question is from the line of Ravi Swaminathan from Avendus Spark.

Ravi Swaminathan: Congrats on a good set of numbers. Sir, every quarter -- every call, you give a broad idea in terms of the pipeline of orders which are there in the market, both broadly at the overall level and domestic and international, if you can give that number. And also the power T&D breakup between domestic and international, if you can give it for this year and next year. And you had told that the power T&D, we expect it to grow by 20%. How both the domestic and international segments subsegments are likely to grow?

Manish Mohnot: So Ravi, I know you're asking me exactly what we have planned in the strategy for the current year. Let me give it to you in a short synopsis. I'm just repeating something which I said earlier. T&D, B&F, huge visibility across all clients we work, and that continues to be a big focus in the first 6 months. Building on Oil & Gas in the first 2 quarters, which we expect would give us good wins in Q3, Q4.

Urban Infra, we continue to be selective on projects because it's very capex intensive. Now we already have 6 TBMs which we have invested in the last 2 years. All of them are already occupied while we speak or committed while we speak.

So Urban Infra, we continue to be selective and cautious in terms of what we bid, but we will continuously focus on growth there also.

So from an overall perspective, domestic T&D, INR1 lakh crore plus visible pipeline to be focused on. International T&D, the markets which we are looking at itself is a few trillion dollars, which we have to bid for in the next 6 to 9 months. Oil & Gas, from what I hear from these 4 markets, this number could be easily in the range of INR50,000 crores to INR70,000 crores, if not higher than that, which we have to bid for the next 6 months. And Urban Infra, the numbers could be high, but our focus would be on selective bidding, as I've said earlier.

As far as T&D is concerned, if you look at FY25 and FY26, FY25, a significant portion of our T&D order came from TL domestic. More than around INR 7,000 crores is what we got in TL domestic in FY '25, which came down to closer to INR 4,500 crores in '26, but we expect this to again go up significantly in the next year.

When I look at the international markets, there was LMG, Fasttel and TLI all put together, which have been very similar in the last 2 years. In FY '25, they got orders of around INR6,500 crores in FY26, around INR 8,000.

I expect this business to do more than INR8,000 crores, INR8,500 crores in '27 also, including some solar projects which we are bidding for. So focus is a right mix of both domestic and international in the range of INR 8,000 crores to INR 9,000 crores international in the range of

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INR 6,000 crores to INR 7,000 crores domestic, and that's what will continue to drive growth going forward.

Moderator: That was the last question for today. I would now like to hand the call back to the management for closing comments.

Manish Mohnot: Thank you very much for attending the call. Hopefully we will continue to deliver as we have done in the past. Thank you.

Moderator: Thank you very much. On behalf of DAM Capital Advisors, that concludes this conference. Thank you all for joining us today, and you may now disconnect your lines.